Deloitte.



CARTER'S INC

Briefing Book
Saturday, November 07, 2026

Table of contents

3 Key information

Company overview 4
Corporate structure....6
General info 7
C-suite and board members matrix....8
Executive movement (last 12 months)....10
Deloitte relationships 15
Cross-board relationships 16
Parent client team....17

18 Financials

Financial snapshot 19

20 Corporate activity

Disclosure report 21
Key developments (last 6 months) 23
Proxy fees....24
Peer comparison....25
Mergers & acquisitions 26

39 Perspectives

Governance report 40
ESG report....84

163 Current awareness

News 164

Key information



Carter's, Inc.

Atlanta, Georgia, United States
+6787911000 · www.carters.com
Publicly Traded Company

EMPLOYEES
1650 (Total)
15400 (Total)

D&B LEGAL STATUS TYPE
Corporation

CORPORATE LINKAGE
1380 Companies

TRADED
NYSE:CRI

INDUSTRY
Clothing and Apparel Manufacturing

FORTUNE 1000 RANK
952

SALES
2.9B

FISCAL YEAR END
01/03/2026

REPORTING CURRENCY
USD

TOTAL ASSETS
2.57B

MARKET VALUE
1.2B

D-U-N-S NUMBER
160068433

CREDIT RATING
Low Risk

ADDRESS
3438 Peachtree Rd NE Ste 1800
Atlanta, Georgia, 30326-1595 United States

Latitude: 33.85286
Longitude: -84.36369

Company summary

Carter's, Inc. is a leading global marketer of branded apparel and accessories for babies and young children. The company operates a multichannel business model, selling its products through its own retail stores, eCommerce sites, and wholesale channels across North America and internationally. Its portfolio includes well-known brands such as Carter's, OshKosh B'gosh, and Skip Hop. Carter's has a significant wholesale business, with exclusive brand offerings at major retailers like Amazon, Target, and Walmart. The company's top ten wholesale customers accounted for approximately 35% of its consolidated net sales in fiscal 2024. In 2024, the company recorded a $30 million impairment charge on its OshKosh tradename.

Operations

The company also provides products for playtime, travel, mealtime, bath time, and home gear, as well as kid's bags. In addition, it offers bedding, home decor, cribs and baby furniture, diaper bags, footwear, gift sets, hair accessories, jewelry, outerwear, paper goods, socks, shoes, swimwear, and toys.

The company, together with its subsidiaries, designs, sources, and markets branded childrenswear. The company operates through three segments: U.S. Retail, U.S. Wholesale, and International. Its Carter's products include babies and young children products, such as bodysuits, pants, dresses, layette essentials, tops and t-shirts, multi-piece sets, sleep and play products, and sleepwear; and OshKosh brand products comprise playclothes, such as denim apparel products, overalls, core bottoms, knit tops, t-shirts, and layering pieces.

Short company profile

Carter's, Inc. is a leading global marketer of branded apparel and accessories for babies and young children. The company operates a multichannel business model, selling its products through its own retail stores, eCommerce sites, and wholesale channels across North America and internationally. Its portfolio includes well-known brands such as Carter's, OshKosh B'gosh, and Skip Hop. Carter's has a significant wholesale business, with exclusive brand offerings at major retailers like Amazon, Target, and Walmart. The company's top ten wholesale customers accounted for approximately 35% of its consolidated net sales in fiscal 2024. In 2024, the company recorded a $30 million impairment charge on its OshKosh tradename.

Company operations summary

Carter's manages its business through a combination of retail, eCommerce, and wholesale operations. As of December 2024, the company operated 804 retail stores in the US, 191 in Canada, and 62 in Mexico. Its U.S. Wholesale segment contributed approximately 36% of consolidated net sales in fiscal 2024. The company's supply chain is global, with nearly all products sourced from third-party suppliers, primarily in Asia, and coordinated through its Hong Kong office. A small number of vendors supply a significant portion of its products, with the top ten accounting for about 62% of purchases in 2024. A large portion of its U.S. distribution is handled by its 1.1 million square foot facility in Braselton, Georgia.

Geographic reach

Carter's has a significant presence in North America, with corporate headquarters in Atlanta, Georgia, and retail operations across the United States, Canada, and Mexico. The company's sourcing operations are global, with a principal office in Hong Kong and other offices in Asia. In addition to its direct operations, Carter's products are sold through international partners and wholesale customers in 90 other countries. In fiscal 2024, foreign currency fluctuations had a $7.4 million unfavorable effect on consolidated net sales.

Sales and marketing summary

Carter's utilizes a multichannel sales strategy encompassing wholesale, retail, and eCommerce. The wholesale channel is a major contributor to revenue, with the top five customers—including Amazon, Target, and Walmart—representing about 31% of consolidated net sales in fiscal 2024. The company's direct-to-consumer channels include ove 1,000 retail stores in North America and eCommerce sites for the US, Canada, and Mexico. However, eCommerce net sales have declined in fiscal 2024 and 2023 compared to 2022. The company's marketing efforts include a mix of digital advertising, social media, influencer marketing, and traditional media.

Financial performance summary

While the report does not provide a multi-year trend of revenue and net income, it highlights several key financial events and pressures. The company's financial results are sensitive to consumer spending, inflation, and currency fluctuations. In fiscal 2024, the company's consolidated net sales were unfavorably impacted by $7.4 million due to changes in foreign currency exchange rates. The eCommerce channel has also seen a decrease in net sales for the second consecutive year. Profitability in fiscal 2024 was significantly impacted by a non-cash, pre-tax impairment charge of $30.0 million related to the OshKosh tradename, reflecting lower forecasted sales and profitability for the brand. The company is also navigating inflationary pressures on production and transportation costs, which may not be fully offset by price increases. Carter's maintains a substantial debt level, with $500.0 million in aggregate principal outstanding as of the end of fiscal 2024. The company continued its capital return program, paying a cash dividend of $3.20 per share for the year. It also repurchased 736,423 shares for an aggregate cost of $50.5 million, although it paused share repurchases during the third quarter of 2024. As of year-end, the company had $599.0 million remaining under its share repurchase authorization.

Strategy summary

Carter's core strategy revolves around its multichannel global business model, with a strong emphasis on developing its omni-channel capabilities to create a seamless experience between its physical stores and eCommerce platforms. This includes significant investments in technology such as radio frequency identification (RFID) to improve inventory accuracy and fulfillment options like same-day delivery. Growth through acquisitions is another component of its strategy, although no major deals were noted in the current period. A key part of its financial strategy is returning capital to shareholders through dividends and share repurchases. The company is also focused on managing its global supply chain and navigating macroeconomic challenges like inflation and shifting consumer preferences.

Industry

D&B STANDARD INDUSTRY CODE
23610103 - T-shirts and tops: girls', children's, and infants'

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
2369 - Mfg girl/youth outerwear

D&B STANDARD INDUSTRY CODE
23610101 - Blouses: girls', children's, and infants'

D&B HOOVERS INDUSTRY CLASSIFICATION
28 - Clothing and Apparel Manufacturing

D&B STANDARD INDUSTRY CODE
23619901 - Dresses: girls' children's and infants'

NACE REVISION 2
1413 - Manufacture of other outerwear

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
315250 - Cut and Sew Apparel Manufacturing (except Contractors)

D&B STANDARD INDUSTRY CODE
23690000 - Girl's and children's outerwear, nec

D&B STANDARD INDUSTRY CODE
23610102 - Shirts: girls', children's, and infants'

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
2361 - Mfg girl/youth dresses/blouses

D&B STANDARD MAJOR INDUSTRY CODE
D - Manufacturing

Company identifiers

D-U-N-S NUMBER
160068433

FEDERAL TAXPAYER IDENTIFICATION NUMBER (US)
13-3912933

BUSINESS REGISTRATION NUMBER (US)
3691453

Corporate highlights

TRADESTYLE
Skip Hop
TRADESTYLE
TRADESTYLE
TRADESTYLE
TRADESTYLE

YEAR FOUNDED
1865

Contacts

Sharon Price John
President, Chief Executive Officer

GRETCHEN W SCHAR
Chairman of the Board

RICHARD F WESTENBERGER
Chief Financial Officer, Chief Operating Officer

ALLISON M PETERSON
Chief, Principal, Officer

ANTONIO D ROBINSON
Officer, Secretary

DAVID B TICHIAZ
Officer

SARAH CROCKETT GLOBAL
Officer

Top competitors

The Walt Disney Company
D-U-N-S NUMBER - 117023169

The Gap, Inc.
D-U-N-S NUMBER - 048626915

Gerber Childrenswear LLC
D-U-N-S NUMBER - 157256876

Source: Audit Analytics, D&B Hoovers

Corporate structure

Company name	City	State or province	Country/Region	Employees (Total)	Sales ($M)
Carter's, Inc.	Atlanta	Georgia	United States	15,400	2,898.43M
The William Carter Company	Atlanta	Georgia	United States	12,772	300.19M
Oshkosh B'Gosh, Inc.	Atlanta	Georgia	United States	3,200	25.00M
The Genuine Canadian Corp	Mississauga	ONTARIO	Canada	1,000	192.58M
Carters Brands, S.A. de C.V	México	Ciudad de Mexico	Mexico	300	30.46M
Skip Hop Holdings, Inc.	New York	New York	United States	136	9.57M
Skip Hop, Inc.	Atlanta	Georgia	United States	96	2.21M
Tarchini FoxTown SA	Manno	TICINO	Switzerland	40	0.38M
TWCC Product Development and Sales, Inc.	Atlanta	Georgia	United States	25	4.01M
Carter's Retail, Inc.	Atlanta	Georgia	United States	8	5.15M
Carter's Giftcard Company, Inc.	Shelton	Connecticut	United States	4	1.18M
OshKosh International, LLC	Atlanta	Georgia	United States	4	0.99M
The William Carter Company	Needham	Massachusetts	United States	4	0.30M
Carter's Mexico LLC	Atlanta	Georgia	United States	3	0.90M
Carter's, Inc	Owen Sound	ONTARIO	Canada	0	0.00
Carter's, Inc	Collingwood	ONTARIO	Canada	0	0.00
Carter's, Inc	North York	ONTARIO	Canada	0	0.00
Carter's, Inc	Barrie	ONTARIO	Canada	0	0.00
Carter's, Inc	Burlington	ONTARIO	Canada	0	0.00
Carter's, Inc	Orléans	ONTARIO	Canada	0	0.00
Carter's, Inc	Welland	ONTARIO	Canada	0	0.00
Carter's, Inc	Orillia	ONTARIO	Canada	0	0.00
Carter's, Inc	Toronto	ONTARIO	Canada	0	0.00
Carter's, Inc	Grande Prairie	ALBERTA	Canada	0	0.00
Carter's, Inc	Cookstown	ONTARIO	Canada	0	0.00
Carter's, Inc	Cornwall	ONTARIO	Canada	0	0.00
Carter's, Inc	Victoria	BRITISH COLUMBIA	Canada	0	0.00
Carter's, Inc	Edmonton	ALBERTA	Canada	0	0.00
Carter's, Inc	Ancaster	ONTARIO	Canada	0	0.00
Carter's, Inc	Kingston	ONTARIO	Canada	0	0.00

Source: D&B Hoovers

General info

Company type	Public	Ticker symbol	CRI	Fiscal year end	01/02
Client program(s)	ECP	Filer type	Large Accelerated Filer	Auditor	PWC (since 1968)
Attest	No	IPO year	2003	Audit fees	$2,761,815
Company address	3438 Peachtree Rd NE Ste 1800, Atlanta, GA, 30326	Fortune 1000 rank	952	Proxy filing date	04/01/2026
		Russell 3000 index	2000	Signing partner (Form AP)	Erin Weis (PricewaterhouseCoopers LLP)
Website	www.carters.com	NAICS industry	458110 Clothing and Clothing Accessories Retailers		
Number of employees	15,400			Estimated partner rotation year	2026
Revenue (TTM)	$2,974,511,000			LCSP	Brett Johnson
Market capital (as of 10/03/2026)	$1,197,643,200				

Source: Audit Analytics, D&B Hoovers, Deloitte Master Data Repository

C-suite and board members matrix

C-suite

Name	Role	Start date	Years in role	Age	Gender	Relationship strength	Deloitte or competitor alumni
Sharon John	CEO (Chief Executive Officer)	06/15/2026	0.4	63	F		–
Richard Westenberger	CFO (Chief Financial Officer)	06/15/2026	0.4	58	M		–
Richard Westenberger	COO (Chief Operating Officer)	06/15/2026	0.4	58	M		–

Source: BoardEx

Extended C-suite

Name	Role	Start date	Years in role	Age	Gender	Relationship strength	Deloitte or competitor alumni
Sarah Crockett	CBO (Chief Brand Officer)	10/30/2026	0.1	–	F		–
Antonio Robinson	CCO (Chief Compliance Officer)	03/01/2026	0.7	55	M		–
Allison Peterson	CComO (Chief Commercial Officer)	10/30/2026	0.1	52	F		–
Jill Wilson	CHRO (Chief Human Resource Officer)	12/01/2025	0.9	59	F		–
Emily Evert Scanlon	CSO (Chief Strategy Officer)	10/30/2026	0.1	–	F		–
Karen Smith	CSplChO (Chief Supply Chain Officer)	12/01/2025	0.9	60	F		–
Sean McHugh	Treasurer (Treasurer)	06/01/2011	15.4	–	M		–

Source: BoardEx

Board members

● Deloitte alumni ● Competitor alumni ● Deloitte board ● Competitor board

Name	Role	Start date	Years on board	Committees	Age/Gender	Total boards
Rochester Anderson	Independent Director	05/18/2022	4.5	Compensation Human Resources	65/M	3
Jeffrey Black	Independent Director	05/18/2022	4.5	Audit (Chair)	72/M	4
Luis Borgen	Independent Director	11/02/2021	5.0	Audit Compensation Human Resources	57/M	5
Jevin Eagle	Independent Director	07/20/2010	16.3	Audit Compensation (Chair) Human Resources (Chair)	60/M	4
Mark Hipp	Independent Director	02/22/2018	8.7	Audit Compensation Human Resources	65/M	5
Sharon John	President/CEO	06/15/2026	0.4	–	63/F	6
Stacey Rauch	Independent Director	05/18/2022	4.5	Audit Governance Nomination	68/F	3
Gretchen Schar	Independent Chairman	05/13/2026	0.5	Audit (Chair)	72/F	3
Stephanie Stahl	Independent Director	05/18/2022	4.5	Compensation Governance Human Resources Nomination	60/F	11

Source: BoardEx

Executive movement (last 12 months)

Chief Legal & Compliance Officer Antonio (Tony) D'Lynn Robinson was appointed

12/24/2025

Antonio (Tony) D'Lynn Robinson has become Chief Legal & Compliance Officer. Current position: Chief Legal & Compliance Officer, Secretary.

Chief Human Resources Officer Jill A Wilson was appointed

12/24/2025

Jill Wilson has become Chief Human Resources Officer.

Chief Sales Officer Julie A D'Emilio was appointed

12/24/2025

Julie D'Emilio has become Chief Sales Officer.

Chief Supply Chain Officer Karen Grabus Smith was appointed

12/24/2025

Karen Smith has become Chief Supply Chain Officer.

Chief Information & Technology Officer Raghu Sagi has resigned

11/25/2025
Source: 8-K

Departure of Directors or Certain Officers; Election of Directors; Appointment of Certain Officers; Compensatory Arrangements of Certain Officers. Resignation of Chief Information & Technology Officer On November 21, 2025, Raghu Sagi, Chief Information & Technology Officer, submitted his resignation from Carter's, Inc. (the "Company"), effective as of January 20, 2026. The Company wishes Mr. Sagi the best of luck in his future endeavors.

Chief Information and Technology Officer Raghunanda (Raghu) Sagi was dismissed

11/25/2025

It has been announced that Raghu Sagi will leave this role.

Chief Product Officer Maria Gemzell was appointed

10/30/2026

It has been announced that Maria Gemzell will join this role.

Chief Supply Chain Officer Karen Grabus Smith was dismissed

10/30/2026

It has been announced that Karen Smith will leave this role.

CFO Richard Francis Westenberger was appointed

10/30/2026

Richard Francis Westenberger will step down as COO and remain as CFO.

Chief Brand Officer Sarah J Crockett was appointed

10/30/2026

Sarah Crockett has become Chief Brand Officer.

Chief Strategy & Business Development Officer Emily DeHaven Evert Scanlon was appointed

10/30/2026

Emily DeHaven Evert Scanlon has become Chief Strategy & Business Development Officer.

Chief Commercial Officer Allison Peterson was appointed

10/30/2026

Allison Peterson has become Chief Commercial Officer.

Chief Sales Officer Julie A D'Emilio has resigned

10/30/2026

Julie A D'Emilio has stepped down as Chief Sales Officer. Current position: Advisor.

Chief Brand Officer Sarah Crockett was appointed

10/30/2026
Source: 8-K

On October 26, 2026, Richard F. Westenberger gave notice of his decision to step down as Chief Operating Officer, which will be effective upon the Company's appointment of a new Chief Operating Officer. Mr. Westenberger will continue to serve as the Company's Chief Financial Officer.
On October 30, 2026, the Company issued a press release announcing the evolution of its leadership structure. A copy of the Company's press release is attached hereto as Exhibit 99.2 and is incorporated herein by reference.
EX-99.2 3 crileadershipchangepressre.htm EX-99.2

Chief Commercial Officer Allison Peterson was appointed

10/30/2026
Source: 8-K

On October 26, 2026, Richard F. Westenberger gave notice of his decision to step down as Chief Operating Officer, which will be effective upon the Company's appointment of a new Chief Operating Officer. Mr. Westenberger will continue to serve as the Company's Chief Financial Officer.
On October 30, 2026, the Company issued a press release announcing the evolution of its leadership structure. A copy of the Company's press release is attached hereto as Exhibit 99.2 and is incorporated herein by reference.
EX-99.2 3 crileadershipchangepressre.htm EX-99.2

Chief Product Officer Maria Gemzell was appointed

10/30/2026
Source: 8-K

On October 26, 2026, Richard F. Westenberger gave notice of his decision to step down as Chief Operating Officer, which will be effective upon the Company's appointment of a new Chief Operating Officer. Mr. Westenberger will continue to serve as the Company's Chief Financial Officer.
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EX-99.2 3 crileadershipchangepressre.htm EX-99.2

Chief Sales Officer Julie D'Emilio has retired

10/30/2026
Source: 8-K

On October 26, 2026, Richard F. Westenberger gave notice of his decision to step down as Chief Operating Officer, which will be effective upon the Company's appointment of a new Chief Operating Officer. Mr. Westenberger will continue to serve as the Company's Chief Financial Officer.
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Chief Supply Chain Officer Karen Smith has retired

10/30/2026

Source: 8-K

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On October 30, 2026, the Company issued a press release announcing the evolution of its leadership structure. A copy of the Company's press release is attached hereto as Exhibit 99.2 and is incorporated herein by reference.
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COO Richard F. Westenberger has resigned

10/30/2026

Source: 8-K

On October 26, 2026, Richard F. Westenberger gave notice of his decision to step down as Chief Operating Officer, which will be effective upon the Company's appointment of a new Chief Operating Officer. Mr. Westenberger will continue to serve as the Company's Chief Financial Officer.
On October 30, 2026, the Company issued a press release announcing the evolution of its leadership structure. A copy of the Company's press release is attached hereto as Exhibit 99.2 and is incorporated herein by reference.
EX-99.2 3 crileadershipchangepressre.htm EX-99.2

COO, CFO Richard Francis Westenberger was appointed

06/15/2026

Richard Westenberger has become COO, CFO.

President, CEO Sharon Price John was appointed

06/15/2026

Sharon John has joined as President, CEO.

CEO (Interim), President (Interim) Richard F. Westenberger was appointed

05/01/2026

Source: 8-K

Appointment of Sharon Price John as Chief Executive Officer and President and Director
On May 1, 2026, the Company announced that the Board of Directors of the Company (the “Board”) approved the appointment of Sharon Price John as Chief Executive Officer and President of the Company and a member of the Board, effective June 15, 2026 (the “Effective Date”).
Ms. John, age 62, recently announced her intention to retire from her role as President and Chief Executive Officer of Build-A-Bear Workshop, Inc. (“Build-A-Bear”) (NYSE: BBW), effective June 11, 2026, a role that she has held since March 2016. From May 2013 through March 2016, Ms. John served as Build-A-Bear’s Chief Executive Officer, and she has served as a director on Build-A-Bear’s Board of Directors since that time. From January 2010 through May 2013, Ms. John served as President of Stride Rite Children’s Group LLC, a division of Wolverine Worldwide, Inc., which designs and markets footwear for children. From 2002 through 2009, she held positions of broadened portfolio and increased responsibility at Hasbro, Inc., a multinational toy and board game company, including as General Manager & Senior Vice President of its U.S. Toy Division from 2006 to 2008 and General Manager & Senior Vice President of its Global Preschool unit from June 2008 through 2009. Ms. John also founded and served as Chief Executive Officer of Checkerboard Toys, served as Vice President, U.S. Toy Division with VTech Industries, Inc., and served in a range of roles at Mattel, Inc. She started her career in advertising, overseeing accounts such as Hershey’s and the Snickers/M&M Mars business. Until February 2025, Ms. John served on the Board of Directors of Jack in the Box Inc., a publicly-traded restaurant company. Ms. John will continue to serve as a non-independent director on Build-A-Bear’s Board of Directors through Build-A-Bear’s 2027 annual meeting of stockholders.

CEO (Interim), President (Interim) Richard F. Westenberger has resigned

05/01/2026

Source: 8-K

Appointment of Sharon Price John as Chief Executive Officer and President and Director
On May 1, 2026, the Company announced that the Board of Directors of the Company (the "Board") approved the appointment of Sharon Price John as Chief Executive Officer and President of the Company and a member of the Board, effective June 15, 2026 (the "Effective Date").
Ms. John, age 62, recently announced her intention to retire from her role as President and Chief Executive Officer of Build-A-Bear Workshop, Inc. ("Build-A-Bear") (NYSE: BBW), effective June 11, 2026, a role that she has held since March 2016. From May 2013 through March 2016, Ms. John served as Build-A-Bear's Chief Executive Officer, and she has served as a director on Build-A-Bear's Board of Directors since that time. From January 2010 through May 2013, Ms. John served as President of Stride Rite Children's Group LLC, a division of Wolverine Worldwide, Inc., which designs and markets footwear for children. From 2002 through 2009, she held positions of broadened portfolio and increased responsibility at Hasbro, Inc., a multinational toy and board game company, including as General Manager & Senior Vice President of its U.S. Toy Division from 2006 to 2008 and General Manager & Senior Vice President of its Global Preschool unit from June 2008 through 2009. Ms. John also founded and served as Chief Executive Officer of Checkerboard Toys, served as Vice President, U.S. Toy Division with VTech Industries, Inc., and served in a range of roles at Mattel, Inc. She started her career in advertising, overseeing accounts such as Hershey's and the Snickers/M&M Mars business. Until February 2025, Ms. John served on the Board of Directors of Jack in the Box Inc., a publicly-traded restaurant company. Ms. John will continue to serve as a non-independent director on Build-A-Bear's Board of Directors through Build-A-Bear's 2027 annual meeting of stockholders.

CEO, President, Director Sharon Price John was appointed

05/01/2026

Source: 8-K

Appointment of Sharon Price John as Chief Executive Officer and President and Director
On May 1, 2026, the Company announced that the Board of Directors of the Company (the "Board") approved the appointment of Sharon Price John as Chief Executive Officer and President of the Company and a member of the Board, effective June 15, 2026 (the "Effective Date").
Ms. John, age 62, recently announced her intention to retire from her role as President and Chief Executive Officer of Build-A-Bear Workshop, Inc. ("Build-A-Bear") (NYSE: BBW), effective June 11, 2026, a role that she has held since March 2016. From May 2013 through March 2016, Ms. John served as Build-A-Bear's Chief Executive Officer, and she has served as a director on Build-A-Bear's Board of Directors since that time. From January 2010 through May 2013, Ms. John served as President of Stride Rite Children's Group LLC, a division of Wolverine Worldwide, Inc., which designs and markets footwear for children. From 2002 through 2009, she held positions of broadened portfolio and increased responsibility at Hasbro, Inc., a multinational toy and board game company, including as General Manager & Senior Vice President of its U.S. Toy Division from 2006 to 2008 and General Manager & Senior Vice President of its Global Preschool unit from June 2008 through 2009. Ms. John also founded and served as Chief Executive Officer of Checkerboard Toys, served as Vice President, U.S. Toy Division with VTech Industries, Inc., and served in a range of roles at Mattel, Inc. She started her career in advertising, overseeing accounts such as Hershey's and the Snickers/M&M Mars business. Until February 2025, Ms. John served on the Board of Directors of Jack in the Box Inc., a publicly-traded restaurant company. Ms. John will continue to serve as a non-independent director on Build-A-Bear's Board of Directors through Build-A-Bear's 2027 annual meeting of stockholders.

CEO, President, Director Douglas C. Palladini has resigned

05/01/2026

Source: 8-K

Appointment of Sharon Price John as Chief Executive Officer and President and Director
On May 1, 2026, the Company announced that the Board of Directors of the Company (the "Board") approved the appointment of Sharon Price John as Chief Executive Officer and President of the Company and a member of the Board, effective June 15, 2026 (the "Effective Date").
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COO, CFO Richard Francis Westenberger was appointed

05/01/2026

Richard F Westenberger will step down as Interim CEO/President and remain as COO/CFO.

President, CEO Sharon Price John was appointed

05/01/2026

It has been announced that Sharon John will join this Board.

Chief Legal & Compliance Officer Antonio (Tony) D'Lynn Robinson has resigned

03/06/2026

Antonio (Tony) D'Lynn Robinson has stepped down as Chief Legal & Compliance Officer. Current position: Chief Administrative & Compliance Officer, Secretary.

Chief Brand Officer David B Tichiaz was appointed

01/09/2026

David Tichiaz has joined as Chief Brand Officer.

Source: BoardEx

Deloitte relationships

Top 10 Deloitte relationships

JG
Joel Graye
jgraye@deloitte.com
L65 - Senior Manager 3+, Financial Statement Audit
Audit & Assurance
St. Louis
< 1m

WM
Will Mcghee
wmcghee@deloitte.com
LMD - Managing Director, Tax
Tax
Jacksonville
< 2m

EK
Elizabeth Karcher
ekarcher@deloitte.com
LPP - Tax Partner
Tax
Atlanta
< 1m

AM
Ashley E Molyneaux
amolyneaux@deloitte.com
L65 - Senior Manager, Tax Services
Tax
Atlanta
< 1m

DN
Doug Nagode
dnagode@deloitte.com
LMD - Managing Director, Tax
Tax
Atlanta
< 1m

GM
Gina Miani
gmiani@deloitte.com
L65 - Senior Manager, Sustainability
Audit & Assurance
Portland
< 8m

LW
Liudmila Wilhelm
lwilhelm@deloitte.com
L65 - Senior Manager, Tax Services
Tax
Atlanta
< 1m

AC
Amanda Childree
achildree@deloitte.com
L65 - Senior Manager, Tax Services
Tax
Atlanta
< 2m

TS
Todd Senkiewicz
tsenkiewicz@deloitte.com
LMD - Managing Director, Tax
Tax
Atlanta
< 2m

GP
Giedrius Padriezas
gipadriezas@deloitte.com
L65 - Senior Manager, Tax Services
Tax
Philadelphia
< 10m

Top 5 PPMD relationships

Less than 5 relationships found

No Deloitte relationships identified

See all relationships in IQ.

Source: Introhive

Cross-board relationships

Board member	Role	Start date	Years on board	Committees	Cross-board relationships			
					Other current board positions	Committees	Current auditor	Auditor tenure
Gretchen W Schar	Independent Chairman	05/13/2026	0.5	Audit (chair)	CINCINNATI FINANCIAL CORP	Audit (chair), Compensation, Nominating	Deloitte	Since 1980
Jeffrey (Jeff) Harry Black	Independent Director	05/18/2022	4.5	Audit (chair)	OTIS WORLDWIDE CORP	Audit (chair)	PWC	Since 2019
					BASIN HOLDINGS US LLC	–	–	–
					VANTAGE AIRPORT GROUP LTD (VANTAGE GROUP) (FORMERLY KNOWN AS VANCOUVER AIRPORT SERVICES (YVRAS))	–	–	–
Jevin S Eagle	Independent Director	07/20/2010	16.3	Compensation and Human Capital (chair), Audit	FLORENCE AND CHAFETZ HILLEL HOUSE (THE) BOSTON UNIVERSITY (Non-board role)	–	–	–
					QUESTROM SCHOOL OF BUSINESS BOSTON UNIVERSITY (Non-board role)	–	–	–
					TRIMOUNTAIN PARTNERS LLP (Non-board role)	–	–	–
Luis A Borgen	Independent Director	11/02/2021	5	Audit, Compensation and Human Capital	EASTERN BANKSHARES INC	Risk Management (chair)	EY	Since 2002
					DODGE & COX FUNDS	–	PWC	Since 1995
					EASTERN BANK	–	–	–
Mark P Hipp	Independent Director	02/22/2018	8.8	Audit, Compensation and Human Capital	H2IDD LLC (Non-board role)	–	–	–
					OSHKOSH B'GOSH INC	–	–	–
					PURCHASING POWER LLC	–	–	–
Rochester (Rock) Anderson Jr	Independent Director	05/18/2022	4.5	Compensation and Human Capital	BEDROCK EXECUTIVE CONSULTING (Non-board role)	–	–	–
					EMORY HEALTHCARE (Non-board role)	–	–	–
Sharon Price John	President/CEO	06/15/2026	0.4	–	BUILD-A-BEAR WORKSHOP INC	–	EY	Since 2011
					FIRST BOOK	–	–	–
Stacey S Rauch	Independent Director	05/18/2022	4.5	Audit, Nominating and Corporate Governance	REFORMATION INC	Audit, Compensation, Nominating and Corporate Governance	PWC	Since 2026
Stephanie P Stahl	Independent Director	05/18/2022	4.5	Compensation and Human Capital, Nominating and Corporate Governance	NEWELL BRANDS INC	Compensation and Human Capital, Nominating and Governance	PWC	Since 2016
					EDGEWELL PERSONAL CARE CO	Audit, Human Capital and Compensation	PWC	Since 1997
					DOLLAR TREE INC	Sustainability and Corporate Social Responsibility (chair), Nominating and Governance	KPMG	Since 1986
					APPRÉCIER LLC (Non-board role)	–	–	–
					BOSTON CONSULTING GROUP (Non-board role)	–	–	–
					CHOP'T CREATIVE SALAD CO	–	–	–
					STUDIO PEGASUS LLC (Non-board role)	–	–	–

Source: BoardEx

Parent client team

8 parent client team members

BJ
Brett Johnson
brejohnson@deloitte.com
LCSP
Audit & Assurance
Atlanta

BJ
Brett Johnson
brejohnson@deloitte.com
LBP Audit
Audit & Assurance
Atlanta

SM
Shivani Majewski
smajewski@deloitte.com
LBP Consulting
Consulting Services
Miami

TS
Todd Senkiewicz
tsenkiewicz@deloitte.com
LBP Tax
Tax
Atlanta

MD
Mike Daher
mdaher@deloitte.com
National Industry Leader
Consulting Services
Miami

NM
Natalie Martini
nmartini@deloitte.com
National Sector Leader
Audit & Assurance
Chicago

OF
Olivia Flowers
oflowers@deloitte.com
Sector Specialist
Clients, Strategy & Growth
Denver

MM
Michelle Malblanc
mmalblanc@deloitte.com
Industry G&P Leader
Clients, Strategy & Growth
Cincinnati

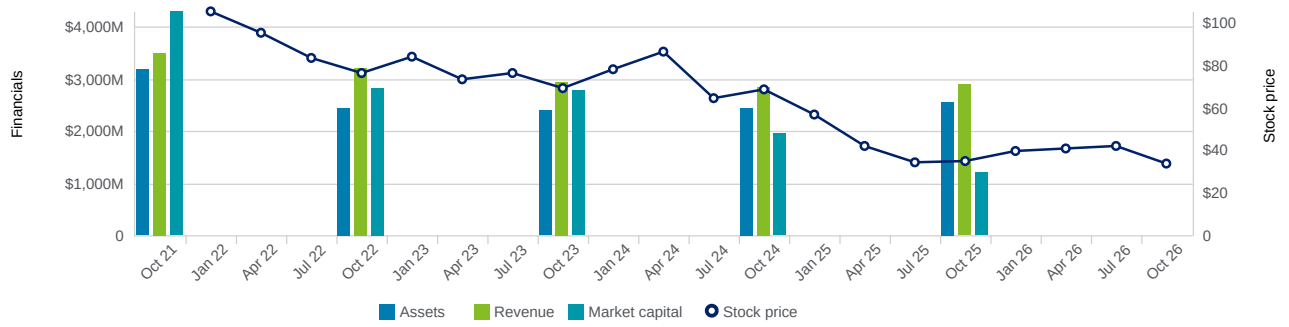
Source: Deloitte Master Data Repository

Financials



Financial snapshot

Stock report chart



Market data

Quote symbol:	CRI	Currency:	USD	Stock price date:	10/31/2026
Exchange:	NYSE	Stock price:	$33.97	Market value:	$1,197.00M

Source: Refinitiv, S&P

Earnings estimate

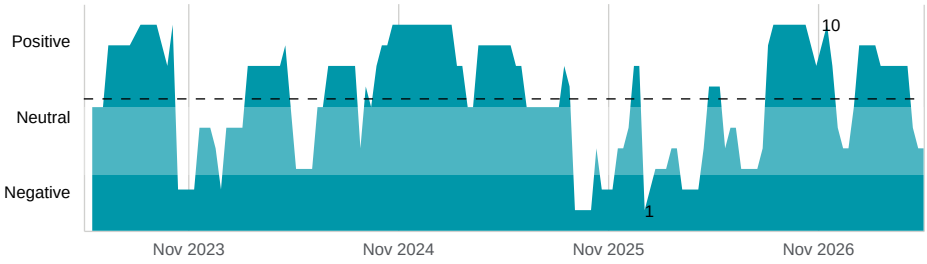
Earnings

4

Neutral outlook

Mixed earnings expectations and performance.

Earnings score trend



Earnings score average

Specialty Retailers group	6.1
Retailers sector	6.3
S&P 500 index	6.7
Small market capital	5.2

As of 11/01/2026

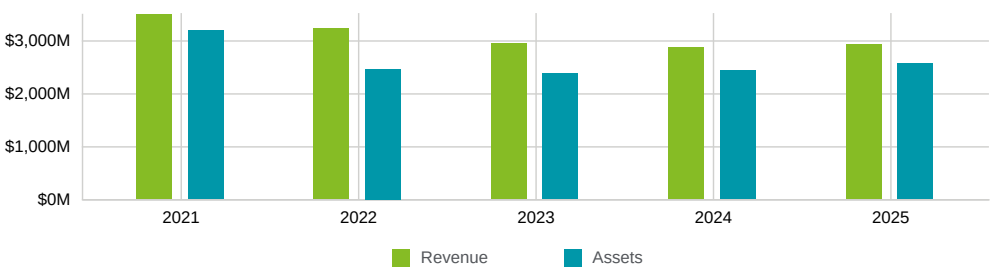
Peer comparison

Peers	-6M	-3M	-1M	-1W	Current	1 year trend
GAP	9	4	4	5	5	
NKE	8	9	4	4	5	
CRI	10	6	8	4	4	
UAA	8	3	4	4	3	
PLCE	1	1	1	1	1	

Source: Refinitiv

Financial info

Company financials



Info

Market capital:	$1,197.00M
Revenue (TTM):	$2,974.00M
Earnings:	$36.00M
Assets:	$2,669.00M
Fiscal year end:	01/02
Financials date (Latest FY):	10/03/2026

Source: Audit Analytics, Refinitiv

Corporate activity



Disclosure report

Disclosure controls over financial reporting - SOX 302 (last 5 years)

Auditor	Effective mgmt controls	Material weakness	Other deficiencies/ controls	Period end date	Filing	Filing date	Reasons
PWC	Yes	No	No	01/03/2026	10-K	02/27/2026	–
PWC	Yes	No	No	12/28/2024	10-K	02/25/2025	–
PWC	Yes	No	No	12/30/2023	10-K	02/27/2024	–
PWC	Yes	No	No	12/31/2022	10-K	02/24/2023	–
PWC	Yes	No	No	01/01/2022	10-K	02/25/2022	–

Internal controls over financial reporting - SOX 404 (last 5 years)

Auditor	Fiscal year	Signature date	Auditor agrees with mgmt?	Internal controls effective	Filing	Filing date	Reasons
PWC	2025	02/27/2026	Yes	Yes	10-K	02/27/2026	–
PWC	2024	02/25/2025	Yes	Yes	10-K	02/25/2025	–
PWC	2023	02/27/2024	Yes	Yes	10-K	02/27/2024	–
PWC	2022	02/24/2023	Yes	Yes	10-K	02/24/2023	–
PWC	2021	02/25/2022	Yes	Yes	10-K	02/25/2022	–

Audit opinions (last 5 years, if available)

Auditor	Fiscal Year	Going concern?	Opinion issues	Additional opinion	Integrated audit?	Critical audit matters (MR)	Filer status	Filing	Filing date	Signature date
PWC	2025	No	–	No	Yes	3	Large Accelerated Filer	10-K	02/27/2026	02/27/2026
PWC	2024	No	–	No	Yes	3	Large Accelerated Filer	10-K	02/25/2025	02/25/2025
PWC	2023	No	–	No	Yes	1	Large Accelerated Filer	10-K	02/27/2024	02/27/2024
PWC	2022	No	–	No	Yes	2	Large Accelerated Filer	10-K	02/24/2023	02/24/2023
PWC	2021	No	–	No	Yes	1	Large Accelerated Filer	10-K	02/25/2022	02/25/2022

Cyber incident

Companies affected	Relationship to parent	Incident type	Information type	Information accessed	Awareness date	Disclosure date	Start date	End date	Cost to company ($M)	Records lost	Source
Carters Inc	Parent	Misconfiguration	Personal	Address; Email; Name; Other; Phone Number	03/22/2021	06/11/2021	–	04/07/2021	–	410,000	VPN Mentor

Form AP (last 5 years)

Engagement partner name	Audit firm	Audit report date
Stroup, Todd Aaron	PWC	02/25/2022
Weis, Erin Therese	PWC	02/27/2026
Weis, Erin Therese	PWC	02/25/2025
Weis, Erin Therese	PWC	02/27/2024
Weis, Erin Therese	PWC	02/24/2023

Impairments (last 5 years)

Impairment type	Impairment amount ($M)	Filing	Filing date
Intangible Assets - Other intangible assets (not goodwill)	(30,000,000)	10-K	02/25/2025
Reversal/restated impairment	(348,000)	10-K	02/25/2025
Intangible Assets - Other intangible assets (not goodwill)	(9,000,000)	10-K	02/24/2023

Management changes (last 2 years)

Name	Position	Incoming/Outgoing	Filing	Filing date	Reason
Allison Peterson	Other	Appointed	8-K	10/30/2026	Position Change within Company

Julie D'Emilio	Other	Retired	8-K	10/30/2026	Position Change within Company
Karen Smith	Other	Retired	8-K	10/30/2026	None Given
Maria Gemzell	Other	Appointed	8-K	10/30/2026	None Given
Richard F Westenberger	COO - Chief Operating Officer	Resigned	8-K	10/30/2026	None Given
Sarah Crockett	Other	Appointed	8-K	10/30/2026	Position Change within Company
Douglas C Palladini	CEO - Chief Executive Officer	Resigned	8-K	05/01/2026	None Given
Richard F Westenberger	Other	Appointed	8-K	05/01/2026	Assuming additional Position(s)
Richard F Westenberger	Other	Resigned	8-K	05/01/2026	Returning to Prior Position
Sharon Price John	CEO - Chief Executive Officer	Appointed	8-K	05/01/2026	None Given
Raghu Sagi	Other	Resigned	8-K	11/25/2025	None Given
Kendra D Krugman	Other	Resigned	8-K	08/18/2025	Corporate Restructuring
Hali Borenstein	Director	Declined Re-election	8-K	07/11/2025	Too Many Commitments
Douglas C Palladini	CEO - Chief Executive Officer	Appointed	8-K	03/26/2025	None Given
Richard F Westenberger	Other	Resigned	8-K	03/26/2025	Returning to Prior Position
Michael D Casey	CEO - Chief Executive Officer	Retired	8-K	01/07/2025	Position Change within Company
Richard F Westenberger	Other	Appointed	8-K	01/07/2025	Assuming additional Position(s)
William J Montgoris	Chairman of the Board	Appointed	8-K	01/07/2025	Position Change within Company
William J Montgoris	Director	Resigned	8-K	01/07/2025	Position Change within Company

Proxy fees increases greater than 30% (last 2 years)

Auditor	Proxy year	Audit fee percent increase (2 yr)	Audit + audit related total ($M)	Audit fees ($M)	Audit related fees ($M)	Filing	Filing date
PWC	2025	49.20%	3.10	2.76	0.34	DEF 14A	04/01/2026
PWC	2024		2.33	2.33	0.00	DEF 14A	04/04/2025
PWC	2023		2.08	2.08	0.00	DEF 14A	04/04/2024

Proxy fee increases greater than 20% (last 1 year)

Auditor	Proxy year	Audit fee percent increase (1 yr)	Audit + audit related total ($M)	Audit fees ($M)	Audit related fees ($M)	Filing	Filing date
PWC	2025	33.06%	3.10	2.76	0.34	DEF 14A	04/01/2026
PWC	2024		2.33	2.33	0.00	DEF 14A	04/04/2025

"MR" = most recent data for selected proxy year

Source: Audit Analytics

Key developments (last 6 months)

Date	Headline	Length
10/30/2026	**BRIEF-Carter's Creates Chief Commercial Officer Role** Oct 30 (Reuters) - Carter's, Inc.: • CARTER'S, INC. EVOLVES LEADERSHIP STRUCTURE TO ADVANCE GROWTH STRATEGY BY DRIVING IMPROVED ALIGNMENT ACROSS PRODUCT, SALES, BRAND AND OPERATIONS • CARTER'S - CREATES CHIEF COMMERCIAL OFFICER ROLE • CARTER'S - FORMS STANDALONE CHIEF OPERATING OFFICER ROLE • CARTER'S - JULIE D'EMILIO, CHIEF SALES OFFICER, TO RETIRE • CARTER'S - APPOINTS ALLISON PETERSON AS CHIEF COMMERCIAL OFFICER • Source text: • Further company coverage:	80 words

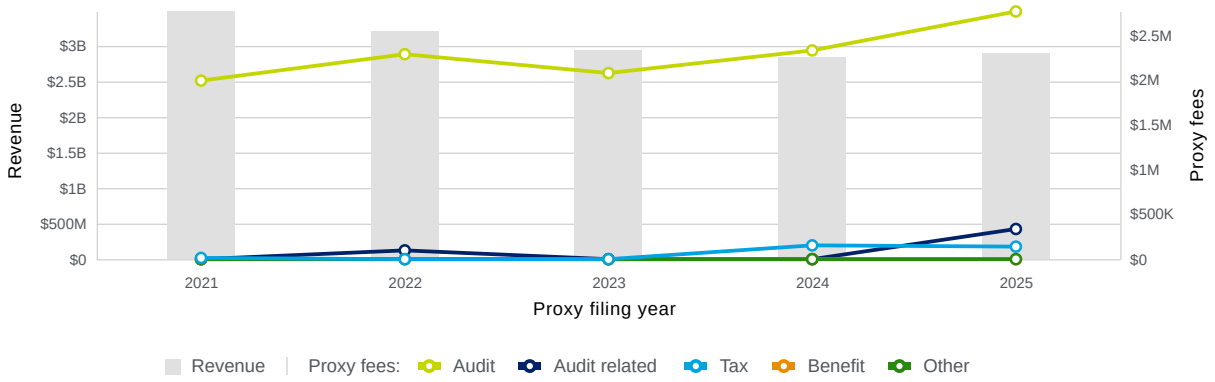
DOW JONES

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Source: Factiva

Proxy fees

5 year trends



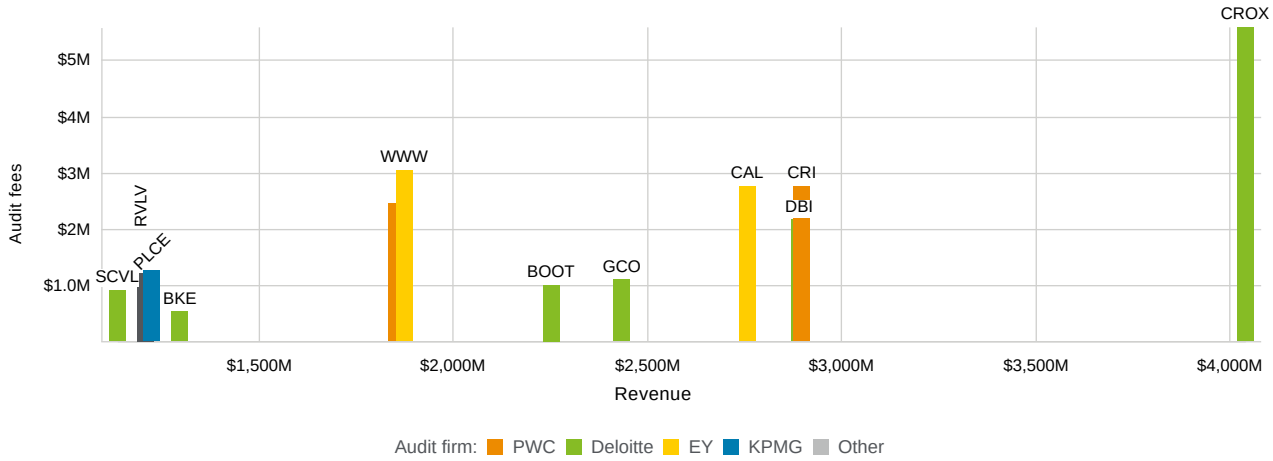
Year	Revenue ($M)	Audit fees ($M)	Audit related fees ($M)	Tax ($M)	Benefits ($M)	Other fees ($M)	Total fees ($M)	Auditor
2025	2,898.43	2.76	0.34	0.14	0.00	0.00	3.24	PWC
2024	2,844.10	2.33	0.00	0.16	0.00	0.00	2.49	PWC
2023	2,945.59	2.08	0.00	0.00	0.00	0.00	2.08	PWC
2022	3,212.73	2.28	0.09	0.01	0.00	0.00	2.38	PWC
2021	3,486.44	1.99	0.00	0.01	0.00	0.00	2.00	PWC

Source: Audit Analytics

Peer comparison

CARTER'S INC

Companies below are the closest peers to the subject company based on industry and revenue size



Company name	Ticker symbol	Proxy year	Audit fees ($M)	Total fees ($M)	Revenue ($M)	Assets ($M)	Market capital ($M)	Auditor
CARTER'S, INC.	CRI	2025	2.76	3.24	2,898.43	2,565.47	1,212.62	PWC
CROCS, INC.	CROX	2025	5.58	6.25	4,040.65	4,174.75	4,293.10	Deloitte
DESIGNER BRANDS INC.	DBI	2026	2.16	2.23	2,892.67	1,947.63	280.33	Deloitte
CALERES, INC.	CAL	2026	2.76	2.96	2,757.85	1,965.79	430.13	EY
GENESCO INC.	GCO	2026	1.09	1.62	2,436.10	1,392.98	312.12	Deloitte
BOOT BARN HOLDINGS, INC.	BOOT	2026	1.00	1.43	2,253.86	2,450.08	4,447.00	Deloitte
WOLVERINE WORLD WIDE, INC.	WWW	2025	3.03	3.77	1,874.30	1,709.30	1,517.23	EY
EXP OLDCO WINDDOWN INC	–	2024	2.44	2.50	1,854.36	1,289.74	0.00	PWC
BUCKLE INC	BKE	2026	0.53	0.57	1,297.84	991.28	2,463.19	Deloitte
REVOLVE GROUP INC	RVLV	2025	1.25	1.29	1,225.68	765.00	1,194.68	KPMG
CHILDREN'S PLACE RETAIL ST	PLCE	2026	1.20	1.24	1,208.83	670.30	91.33	BDO
SHOE STATION GROUP INC	SCVL	2026	0.91	0.91	1,135.32	1,201.74	521.75	Deloitte

Source: Audit Analytics

Mergers & acquisitions

Showing 5 most recent mergers and acquisitions

CARTER'S INC and Thorium Space Sp z o o

Synopsis

POLAND - Creotech Instruments SA acquired a 19.99% stake in Thorium Space Sp z o o, a Wroclaw-based manufacturer of guided missiles and space vehicles, in a privately negotiated transaction.

Date announced	05/29/2026
Date effective/closed	05/29/2026
Deal status	Completed
Deal attitude	Friendly
Acquisition technique	Privately Negotiated Purchase
% Sought / % Acquired	20% / 20%
Deal value ($mil)	-

* Note: All values in USD

Company information

	Target ultimate parent	Target
Name	Thorium Space Sp z o o	Thorium Space Sp z o o
Nationality	Poland	Poland
Public status	Priv.	Priv.
Ticker	-	-
Primary listing	-	-
Thomson financial macro industry	Industrials	Industrials
Thomson financial mid industry	Aerospace & Defense	Aerospace & Defense
NAICS	336414	336414
NAICS description	Guided Missile and Space Vehicle Manufacturing	Guided Missile and Space Vehicle Manufacturing

Target business description

Thorium Space Sp z o o is a manufacturer of guided missiles and space vehicles. It is a Space Advanced Communication Company. The Company designs technological solutions for the construction of space vehicles and intelligent matrix antennas. The Company was founded in October 2017 and is located in Wroclaw, Poland.

	Acquirer	Acquirer ultimate parent
Name	CARTER'S INC	Creotech Instruments SA
Nationality	Poland	Poland
Public status	Public	Public
Ticker	CRI	CRI
Primary listing	NewConnect	NewConnect
Thomson financial macro industry	Industrials	Industrials
Thomson financial mid industry	Aerospace & Defense	Aerospace & Defense
NAICS	334511	334511
NAICS description	Search Detection Navigation Guidance Aeronautical and Nautical System and Instrument Manufacturing	Search Detection Navigation Guidance Aeronautical and Nautical System and Instrument Manufacturing

Acquirer business description

Creotech Instruments SA is a manufacturer of search, detection, navigation, guidance, aeronautical and nautical systems and instruments. The Company is a manufacturer of satellite systems and components, as well as advanced electronics for quantum computer control systems and other applications. The Company was founded in January 2012 and is located in Piaseczno, Poland.

Advisors

No content available

Deal data

Stake purchase

Held	–
Sought	20%
Acquired	20%
Final	20%

Consideration cash & stock

Cash	–
Stock	–
Other	–
Unknown	–

Financials

	Target	Acquirer
Stock price on date announced	0.00	286.29
Stock price on day after announcement	0.00	276.94
Total assets	3.20	82.80
EPS	0.00	0.93

Other details

Cross border	No
Bankruptcy deals	No

Financials

Financials	Target LTM (actual – $mil)	Acquirer LTM (actual – $mil)
Net sales	1.63	37.30
EBITDA	-0.64	7.53
EBIT	-0.81	3.52
Pre-tax income	-0.80	3.51
Net income	-0.80	2.70
EPS	0.00	0.93

Note: All values in USD. Figures for last twelve months (LTM) are typically based on the most recent financial statements available prior to the announcement date.

Source: Refinitiv

Undisclosed Acquiror and CARTER'S INC

Synopsis

CANADA - Churchill Resources Inc, a Toronto-based lead and zinc ore mine operator, divested an 13.835% stake, or 37.5 mil new common shares in the company to an undisclosed acquiror, for CAD 0.08 (USD 0. 058) per share, or a total CAD 3 mil (USD 2.178 mil).

Date announced	09/16/2025
Date effective/closed	10/02/2025
Deal status	Completed
Deal attitude	Friendly
Acquisition technique	Privately Negotiated Purchase
% Sought / % Acquired	0% / 16%
Deal value ($mil)	2.18

* Note: All values in USD

Company information

	Target ultimate parent	Target
Name	Churchill Resources Inc	CARTER'S INC
Nationality	Canada	Canada
Public status	Public	Public
Ticker	CRI	CRI
Primary listing	TSXVenture	TSXVenture
Thomson financial macro industry	Materials	Materials
Thomson financial mid industry	Metals & Mining	Metals & Mining
NAICS	212231	212231
NAICS description	Lead Ore and Zinc Ore Mining	Lead Ore and Zinc Ore Mining

Target business description

Churchill Resources Inc, located in Toronto, Ontario, is an exploration company, which is focused on nickel sulfide discovery exploration in newfoundland and labrador. It also holds the White River project in Ontario. The 100% owned Taylor Brook Nickel Property is located about 60 kilometers (km) north of Deer Lake, Newfoundland, and consists of nine contiguous map-staked licenses totalling approximately 175 square kilometers. The Florence Lake property contains nickel, copper, cobalt and PGE mineralization associated with ultramafic volcanic rocks. The Florence Lake Property comprises four map-staked licenses, with the northern Florence Lake Block comprising Licenses 027520M (50 claims) and 032167M (151 claims) totaling 5,025 hectares or 50.25 km2. The White River hosts about 20 km of diamond-bearing kimberlitic dykes. The White River property is located on the Trans-Canada Highway in New Diamond District. The Company was founded in April 4, 2017.

	Acquirer	Acquirer ultimate parent
Name	Undisclosed Acquiror	Undisclosed Acquiror
Nationality	Unknown	Unknown
Public status	Priv.	Priv.
Ticker	-	-
Primary listing	-	-
Thomson financial macro industry	Financials	Financials
Thomson financial mid industry	Brokerage	Brokerage
NAICS	523130	523130
NAICS description	Commodity Contracts Dealing	Commodity Contracts Dealing

Acquirer business description

Unknown

Advisors

No content available

Deal data

Stake purchase

Held	–
Sought	–
Acquired	16%
Final	16%

Consideration cash & stock

Cash	–
Stock	–
Other	–
Unknown	100%

Financials

	Target	Acquirer
Stock price on date announced	0.07	0.00
Stock price on day after announcement	0.07	0.00
Total assets	2.50	0.00
EPS	-0.01	0.00

Other details

Cross border	No
Bankruptcy deals	No

Financials

Financials	Target LTM (actual – $mil)	Acquirer LTM (actual – $mil)
Net sales	0.00	0.00
EBITDA	0.00	0.00
EBIT	-2.25	0.00
Pre-tax income	-1.80	0.00
Net income	-1.80	0.00
EPS	-0.01	0.00

Note: All values in USD. Figures for last twelve months (LTM) are typically based on the most recent financial statements available prior to the announcement date.

Source: Refinitiv

Undisclosed Acquiror and CARTER'S INC

Synopsis

CANADA - Churchill Resources Inc, a Toronto-based gold ore mine operator, divested a 5. 994% stake, or 14 mil new common shares in the company to an undisclosed acquiror, for CAD 0.05 (USD 0.036) per share, or a total CAD 0.7 mil (USD 0.51 mil), in a privately negotiated transaction.

Date announced	06/26/2025
Date effective/closed	07/09/2025
Deal status	Completed
Deal attitude	Friendly
Acquisition technique	Privately Negotiated Purchase
% Sought / % Acquired	6% / 6%
Deal value ($mil)	0.51

* Note: All values in USD

Company information

	Target ultimate parent	Target
Name	Churchill Resources Inc	CARTER'S INC
Nationality	Canada	Canada
Public status	Public	Public
Ticker	CRI	CRI
Primary listing	TSXVenture	TSXVenture
Thomson financial macro industry	Materials	Materials
Thomson financial mid industry	Metals & Mining	Metals & Mining
NAICS	212231	212231
NAICS description	Lead Ore and Zinc Ore Mining	Lead Ore and Zinc Ore Mining

Target business description

Churchill Resources Inc, located in Toronto, Ontario, is an exploration company, which is focused on nickel sulfide discovery exploration in newfoundland and labrador. It also holds the White River project in Ontario. The 100% owned Taylor Brook Nickel Property is located about 60 kilometers (km) north of Deer Lake, Newfoundland, and consists of nine contiguous map-staked licenses totalling approximately 175 square kilometers. The Florence Lake property contains nickel, copper, cobalt and PGE mineralization associated with ultramafic volcanic rocks. The Florence Lake Property comprises four map-staked licenses, with the northern Florence Lake Block comprising Licenses 027520M (50 claims) and 032167M (151 claims) totaling 5,025 hectares or 50.25 km2. The White River hosts about 20 km of diamond-bearing kimberlitic dykes. The White River property is located on the Trans-Canada Highway in New Diamond District. The Company was founded in April 4, 2017.

	Acquirer	Acquirer ultimate parent
Name	Undisclosed Acquiror	Undisclosed Acquiror
Nationality	Unknown	Unknown
Public status	Priv.	Priv.
Ticker	-	-
Primary listing	-	-
Thomson financial macro industry	Financials	Financials
Thomson financial mid industry	Brokerage	Brokerage
NAICS	523130	523130
NAICS description	Commodity Contracts Dealing	Commodity Contracts Dealing

Acquirer business description

Unknown

Advisors

No content available

Deal data

Stake purchase

Held	–
Sought	6%
Acquired	6%
Final	6%

Consideration cash & stock

Cash	–
Stock	–
Other	–
Unknown	100%

Financials

	Target	Acquirer
Stock price on date announced	0.03	0.00
Stock price on day after announcement	0.03	0.00
Total assets	2.30	0.00
EPS	-0.02	0.00

Other details

Cross border	No
Bankruptcy deals	No

Financials

Financials	Target LTM (actual – $mil)	Acquirer LTM (actual – $mil)
Net sales	0.00	0.00
EBITDA	0.00	0.00
EBIT	-3.00	0.00
Pre-tax income	-2.80	0.00
Net income	-2.80	0.00
EPS	-0.02	0.00

Note: All values in USD. Figures for last twelve months (LTM) are typically based on the most recent financial statements available prior to the announcement date.

Source: Refinitiv

Undisclosed Acquiror and CARTER'S INC

Synopsis

CANADA - Churchill Resources Inc, a Toronto-based copper and nickel ore mine operator, divested a 10.463% stake, or 22.5 mil new common shares in the company to an undisclosed acquiror, for CAD 0.08 (USD 0. 057) per share, or a total CAD 1.8 mil (USD 1.293 mil), in a privately negotiated transaction.

Date announced	11/12/2024
Date effective/closed	11/22/2024
Deal status	Completed
Deal attitude	Friendly
Acquisition technique	Privately Negotiated Purchase
% Sought / % Acquired	11% / 10%
Deal value ($mil)	1.29

* Note: All values in USD

Company information

	Target ultimate parent	Target
Name	Churchill Resources Inc	CARTER'S INC
Nationality	Canada	Canada
Public status	Public	Public
Ticker	CRI	CRI
Primary listing	TSXVenture	TSXVenture
Thomson financial macro industry	Materials	Materials
Thomson financial mid industry	Metals & Mining	Metals & Mining
NAICS	212231	212231
NAICS description	Lead Ore and Zinc Ore Mining	Lead Ore and Zinc Ore Mining

Target business description

Churchill Resources Inc, located in Toronto, Ontario, is an exploration company, which is focused on nickel sulfide discovery exploration in newfoundland and labrador. It also holds the White River project in Ontario. The 100% owned Taylor Brook Nickel Property is located about 60 kilometers (km) north of Deer Lake, Newfoundland, and consists of nine contiguous map-staked licenses totalling approximately 175 square kilometers. The Florence Lake property contains nickel, copper, cobalt and PGE mineralization associated with ultramafic volcanic rocks. The Florence Lake Property comprises four map-staked licenses, with the northern Florence Lake Block comprising Licenses 027520M (50 claims) and 032167M (151 claims) totaling 5,025 hectares or 50.25 km2. The White River hosts about 20 km of diamond-bearing kimberlitic dykes. The White River property is located on the Trans-Canada Highway in New Diamond District. The Company was founded in April 4, 2017. claims) totaling approximately 5,025 ha. The Company was founded in April 4, 2017.

	Acquirer	Acquirer ultimate parent
Name	Undisclosed Acquiror	Undisclosed Acquiror
Nationality	Unknown	Unknown
Public status	Priv.	Priv.
Ticker	-	-
Primary listing	-	-
Thomson financial macro industry	Financials	Financials
Thomson financial mid industry	Brokerage	Brokerage
NAICS	523130	523130
NAICS description	Commodity Contracts Dealing	Commodity Contracts Dealing

Acquirer business description

Unknown

Advisors

No content available

Deal data

Stake purchase

Held	–
Sought	11%
Acquired	10%
Final	11%

Consideration cash & stock

Cash	–
Stock	–
Other	–
Unknown	100%

Financials

	Target	Acquirer
Stock price on date announced	0.04	0.00
Stock price on day after announcement	0.04	0.00
Total assets	2.90	0.00
EPS	-0.03	0.00

Other details

Cross border	No
Bankruptcy deals	No

Financials

Financials	Target LTM (actual – $mil)	Acquirer LTM (actual – $mil)
Net sales	0.00	0.00
EBITDA	0.00	0.00
EBIT	-4.43	0.00
Pre-tax income	-4.40	0.00
Net income	-4.40	0.00
EPS	-0.03	0.00

Note: All values in USD. Figures for last twelve months (LTM) are typically based on the most recent financial statements available prior to the announcement date.

Source: Refinitiv

Perspectives



GOVERNANCE METRICS REPORT

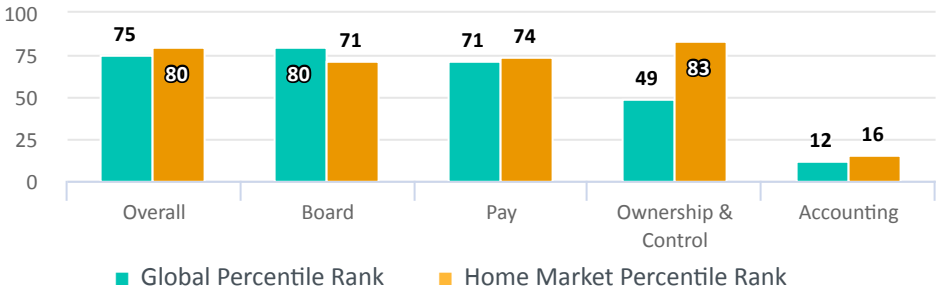
CARTER'S, INC. (CRI)

Governance Score **7.4** / 10

Regulatory Disclosures

Industry:	Retail - Consumer Discretionary	**Incorporated:**	US (DE)	**Last Data Update:**	Jun 03, 2026
Market Cap:	1,467,371,659 USD	**Home Market:**	United States	**Last Score Change:**	Jun 03, 2026

GOVERNANCE THEMES AND RANKINGS



SUMMARY

CARTER'S falls into the average scoring range for all the companies we assess relative to global peers, although we identify governance risks in relation to accounting and financial reporting practices which may warrant review by investors.

KEY AREAS OF CONCERN*

SCORING DEDUCTIONS

Board Effectiveness **(-0.50)**

- Overboarded Non-Exec Directors

Pay Performance Alignment **(-0.40)**

- Short-Term Pay Performance
- Pay Linked to Sustainability

Director Elections **(-0.40)**

- Majority Voting
- Proxy Access

OWNERSHIP OVERVIEW

Capital Structure	Single Equity Class
Ownership Classification	Principal Shareholder

Top Shareholders:

BlackRock, Inc. - 12.3% The Vanguard Group, Inc. - 10.1%

KEY DATES

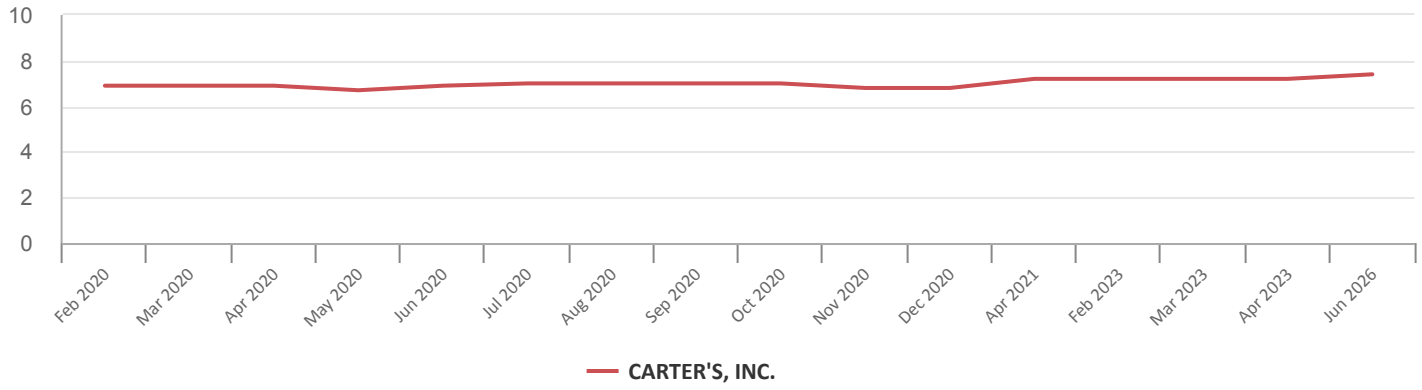
Financial Year End	December 28
Annual Filing Date	Apr 04, 2025
AGM Date	May 14, 2025

WEBSITE

https://www.carters.com/

**Key areas of concern include flagged key metrics within the three sub-issues that represent the largest scoring deductions. Please review the full report to see the complete set of flagged key metrics.*

CORPORATE GOVERNANCE SCORE HISTORY



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CHANGES TO FLAGGED KEY METRICS (SINCE MARCH 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Jun 04, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 25, 2025	**-0.20**	
CEO Pay Total Fixed	Flag Removed	Sep 11, 2025	0.20	
CEO Pay Total Fixed	**Flag Added**	Jun 05, 2025	**-0.20**	
CEO Pay Total Fixed	Flag Removed	May 29, 2025	0.20	
Long-Term Pay Performance Versus Peers	Flag Removed	May 19, 2025	0.20	

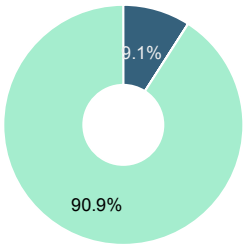
Note: A full list of score changes (including where there is no Key Metric Change) is included in the Appendix.

BOARD OVERVIEW

Board Type: Unitary Board

Board of Directors

CEO	Douglas C Palladini	Since: Apr 03, 2025
Chair	William Montgoris	Since: Jan 05, 2025



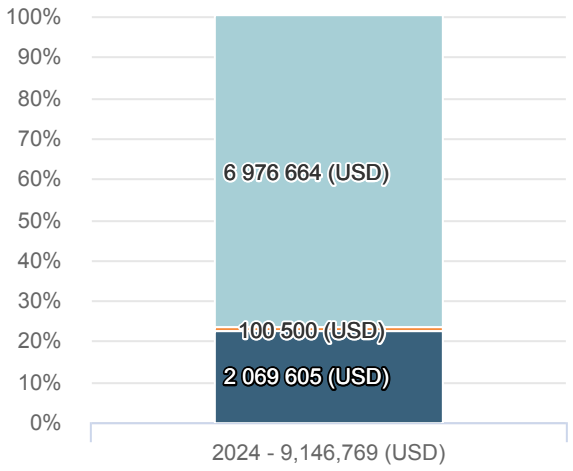
Executive Leadership

CFO	Richard Westenberger	Since: Jan 19, 2009

■Executive ■Links to Management ■Independent of Management

PAY OVERVIEW

Highest Paid Executive - Michael Casey



■Long Term Incentives Awarded	6,976,664 (USD)
■Short Term Incentives Awarded	100,500 (USD)
■Fixed Pay	2,069,605 (USD)

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BOARD

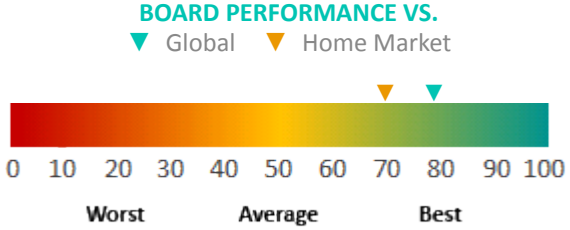
The CARTER'S board appears to be generally well organized to provide effective strategic oversight for the company management. We have flagged this board for potential concerns regarding some non-executives may have too many other public board commitments.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.6	80th (Above Average)	71st (Average)

KEY METRICS SCORING

	Deduction
AUDIT OVERSIGHT	
Audit Committee Industry Expert	-0.10
BOARD EFFECTIVENESS	
Overboarded Non-Exec Directors	-0.50
BOARD SKILLS & DIVERSITY	
Risk Management Expertise	-0.20

BOARD PERFORMANCE VS.



LEADERSHIP

CHIEF EXECUTIVE OFFICER

History	CEO Since	Until	Name	Gender	Age
Current	Apr 2025		Douglas C Palladini	M	58
Former	*Jan 2025*	*Apr 2025*	*Richard Westenberger*	*M*	*56*
Former	*Jan 2008*	*Jan 2025*	*Michael Casey*	*M*	*64*

CHIEF FINANCIAL OFFICER

History	CFO Since	Until	Name	Gender	Age
Current	Jan 2009		Richard Westenberger	M	56

CHAIR

History	Chair Since	Until	Name	Gender	Age
Current	Jan 2025		William Montgoris	M	78
Former	*Aug 2009*	*Jan 2025*	*Michael Casey*	*M*	*64*

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BOARD OF DIRECTORS

The CARTER'S board currently has an independent majority, which enables it to more effectively fulfill its critical function of overseeing management on behalf of shareholders. Additionally, the company has split the roles of CEO and chair and has named a fully independent chairman. An independent chairman is characteristic of 40% of companies in MSCI ESG Research's coverage.

Number of Board Meetings: 15
Non-executives meet in absence of Executives: Yes

Name	M/F	Age	Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Management Link/ Designation Reason	Nationality
Douglas C Palladini CEO I	**M**	**58**	**1**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Gretchen Schar $	F	71	6	2	Yes	Yes		Not Disclosed
Hali Borenstein I	F	40	6	1	Yes	Yes		Not Disclosed
Jeffrey Black $	M	71	4	2	Yes	Yes		United States of America
Jevin Eagle	M	58	15	1	Yes	Yes		Not Disclosed
Luis Borgen $	M	56	4	2	Yes	Yes		Not Disclosed
Mark Hipp $	M	63	8	1	Yes	Yes		Not Disclosed
Rochester (Rock) Anderson Jr.	M	63	4	1	Yes	Yes		Not Disclosed
Stacey Rauch	F	68	4	1	Yes	Yes		United States of America
Stephanie Stahl	F	59	4	4	Yes	Yes		Not Disclosed
William Montgoris COB $	M	78	18	1	Yes	Yes		Not Disclosed

	F	# >= 70	# >= 15 yrs	# >= 4			
Total (of 11)	4	3	2	1	10	11	
Percentage	36.4%	27.3%	18.2%	9.1%	90.9%	100%	

Note: Board count includes the membership of this board.

$ - Financial Expert (5) I - Industry Expert (2) CEO - Chief Executive Officer COB - Chair of the Board

BOARD EFFECTIVENESS

We note that 21% of companies in United States are flagged for overboarded directors.

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Nomination Committee - Number Of Meetings: 5

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Hali Borenstein I	F	40	6	Yes	Yes	Member
Stacey Rauch	F	68	4	Yes	Yes	Member
Stephanie Stahl	F	59	4	Yes	Yes	Member
William Montgoris $	M	78	18	Yes	Yes	Chair

$ - Financial Expert I - Industry Expert

BOARD SKILLS & DIVERSITY

A board with one or more active CEOs and overboarded directors may not be able to provide effective oversight of management. Their other roles may limit the time and attention required to fulfill their fiduciary duties.

AUDIT OVERSIGHT

Audit Committee - Number Of Meetings: 9

The CARTER'S board of directors includes a fully independent audit committee and at least one member of that committee meets our standards for financial expertise.

Name	M/F	Age	Board Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Committee Status
Gretchen Schar $	F	71	6	2	Yes	Yes	Chair
Jeffrey Black $	M	71	4	2	Yes	Yes	Member
Luis Borgen $	M	56	4	2	Yes	Yes	Member
Mark Hipp $	M	63	8	1	Yes	Yes	Member
Stacey Rauch	F	68	4	1	Yes	Yes	Member

$ - Financial Expert (4)

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Risk Committee - Number Of Meetings: 9

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Gretchen Schar $	F	71	6	Yes	Yes	Chair
Jeffrey Black $	M	71	4	Yes	Yes	Member
Luis Borgen $	M	56	4	Yes	Yes	Member
Mark Hipp $	M	63	8	Yes	Yes	Member
Stacey Rauch	F	68	4	Yes	Yes	Member

$ - Financial Expert (4)

PAY OVERSIGHT

Pay Committee - Number Of Meetings: 13

The CARTER'S board includes an independent pay committee, which is considered best practice for oversight of executive pay according to international corporate governance standards.

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	CEO Role?	Committee Status
Jevin Eagle	M	58	15	Yes	Yes		Chair
Luis Borgen $	M	56	4	Yes	Yes		Member
Mark Hipp $	M	63	8	Yes	Yes		Member
Rochester (Rock) Anderson Jr.	M	63	4	Yes	Yes		Member
Stephanie Stahl	F	59	4	Yes	Yes		Member

$ - Financial Expert (2)

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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PAY

Executive pay practices at CARTER'S fall into the average scoring range relative to global peers.

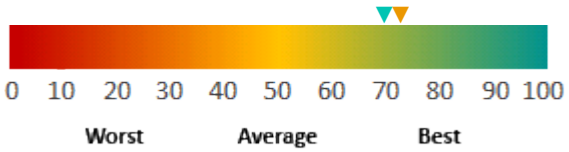
0-10 Score	Global Percentile Rank	Home Market Percentile Rank
7.3	71st (Average)	74th (Average)

KEY METRICS SCORING

	Deduction
PAY FIGURES	
Internal Pay Equity	-0.20
PAY PERFORMANCE ALIGNMENT	
Short-Term Pay Performance	-0.20
Pay Linked to Sustainability	-0.20

PAY PERFORMANCE VS.

▼ Global ▼ Home Market



PAY FIGURES

EXECUTIVE PAY - 2024

Executive	Title	Tenure (Years)	Total Awarded Pay (USD)	Total Realized Pay (USD)
Allison Peterson I	Executive		3,084,148	583,958
Brian Lynch I	Executive		1,509,320	3,539,164
Kendra Krugman I	Executive		2,584,347	2,195,789
Michael Casey I $	Executive	N/A (Resigned)	9,146,769	5,681,700
Raghu Sagi I	Executive		1,451,207	451,087
Richard Westenberger I R $	CFO	N/A (Resigned)	2,582,918	2,564,346

$ - Financial Expert (2) I - Industry Expert (6) R - Risk Management Expert

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PAY PEER GROUP

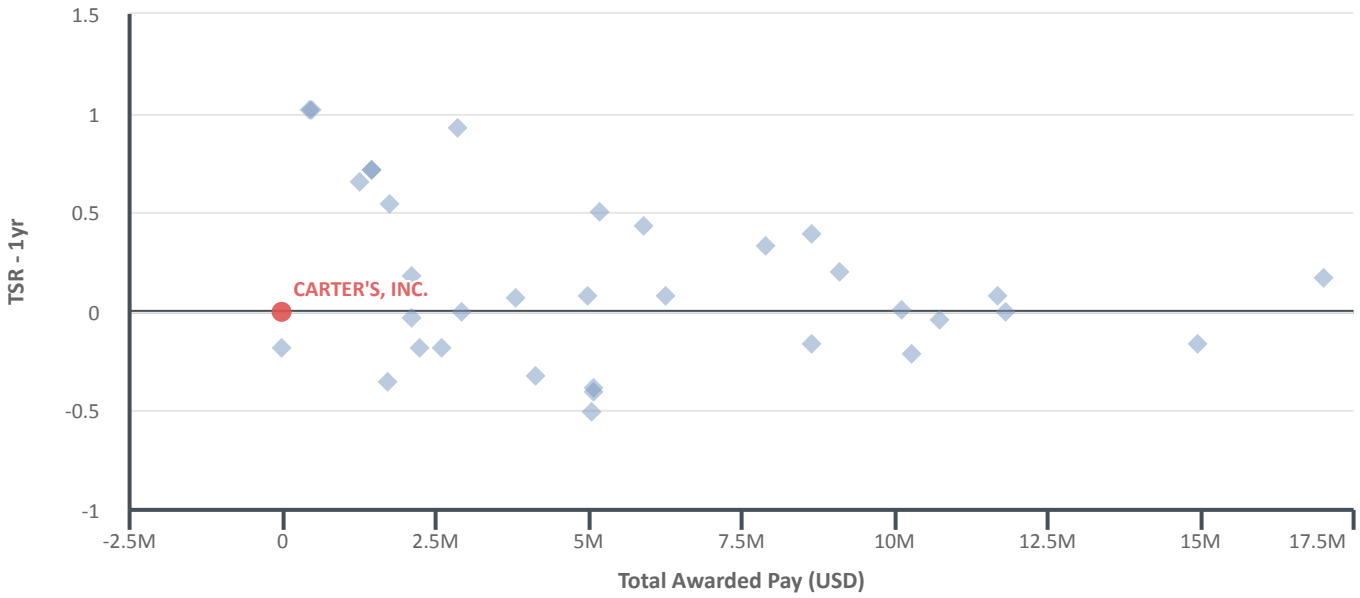
SMALLCAP - DEVELOPED AMERICAS - SPECIALTY RETAIL (35 COMPANIES)

Company	Home Market	Market Cap (USD m)	Pay Year	1 Yr TSR	Total CEO Annual Pay (USD)	CEO Name	CEO Since
SONIC AUTOMOTIVE, INC.	United States	2,613	2025	0.00%	7,851,410	Smith	Sep 2018
ABERCROMBIE & FITCH CO.	United States	3,947	2024	0.17%	6,692,150	Horowitz	Feb 2017
THE BUCKLE, INC.	United States	2,157	2025	0.08%	5,993,082	Nelson	Mar 1997
AMERICAN EAGLE OUTFITTERS, INC.	United States	2,769	2024	-0.17%	5,480,503	Schottenstein	Jan 2014
ASBURY AUTOMOTIVE GROUP, INC.	United States	3,820	2025	-0.04%	3,735,932	Hult	Jan 2018
GROUP 1 AUTOMOTIVE, INC.	United States	3,768	2024	0.39%	3,670,806	Kenningham	Jan 2023
SALLY BEAUTY HOLDINGS, INC.	United States	1,143	2025	0.20%	3,112,503	Paulonis	Oct 2021
LANDS' END, INC.	United States	359	2025	0.43%	3,073,289	McLean	Jan 2023
Bob's Discount Furniture, Inc	United States	2,099	2025	0.00%	2,657,882	Barton	Oct 2020
ADVANCE AUTO PARTS, INC.	United States	3,496	2024	-0.21%	2,423,214	O'Kelly	Sep 2023
ETHAN ALLEN INTERIORS INC.	United States	502	2025	0.07%	2,315,346	Kathwari	Sep 1988
STITCH FIX, INC.	United States	455	2025	0.00%	2,307,369	Baer	Jun 2023
SHOE STATION GROUP, INC.	United States	424	2024	0.08%	2,271,012	Worden	Sep 2021
ARHAUS, INC.	United States	880	2024	-0.18%	2,257,528	Reed	Jul 2021
ACADEMY SPORTS AND OUTDOORS, INC.	United States	3,388	2025	-0.16%	2,161,135	Lawrence	Jun 2023
LEON'S FURNITURE LIMITED	Canada	1,254	2025	0.18%	2,124,392	Walsh	Jul 2021
DESIGNER BRANDS INC.	United States	360	2025	0.33%	1,803,073	Howe	Apr 2023
MARINEMAX, INC.	United States	768	2025	0.07%	1,760,193	McGill	Oct 2018
ZUMIEZ INC.	United States	405	2025	0.54%	1,749,159	Brooks	Jun 2000
GENESCO INC.	United States	368	2025	0.50%	1,709,741	Vaughn	Feb 2020
CALERES, INC.	United States	471	2025	-0.32%	1,643,914	Schmidt	Jan 2023
BUILD-A-BEAR WORKSHOP, INC.	United States	468	2025	0.93%	1,526,260	John	Jun 2013
Winmark Corporation	United States	1,354	2025	-0.03%	1,408,161	Heffes	Feb 2016
RH	United States	3,101	2024	0.65%	1,262,000	Friedman	Jul 2013
			.....				
WARBY PARKER INC.	United States	3,029	2024	0.72%	568,800	Blumenthal	Jan 2010
REVOLVE GROUP, INC.	United States	1,399	2024	1.02%	482,412	Karanikolas	Jun 2019
REVOLVE GROUP, INC.	United States	1,399	2024	1.02%	468,378	Mente	Jun 2019
CAMPING WORLD HOLDINGS, INC.	United States	468	2024	-0.18%	13,414	Lemonis	Mar 2016
CARTER'S, INC.	**United States**	**1,467**		**0.00%**		**Douglas C Palladini**	**Apr 2025**

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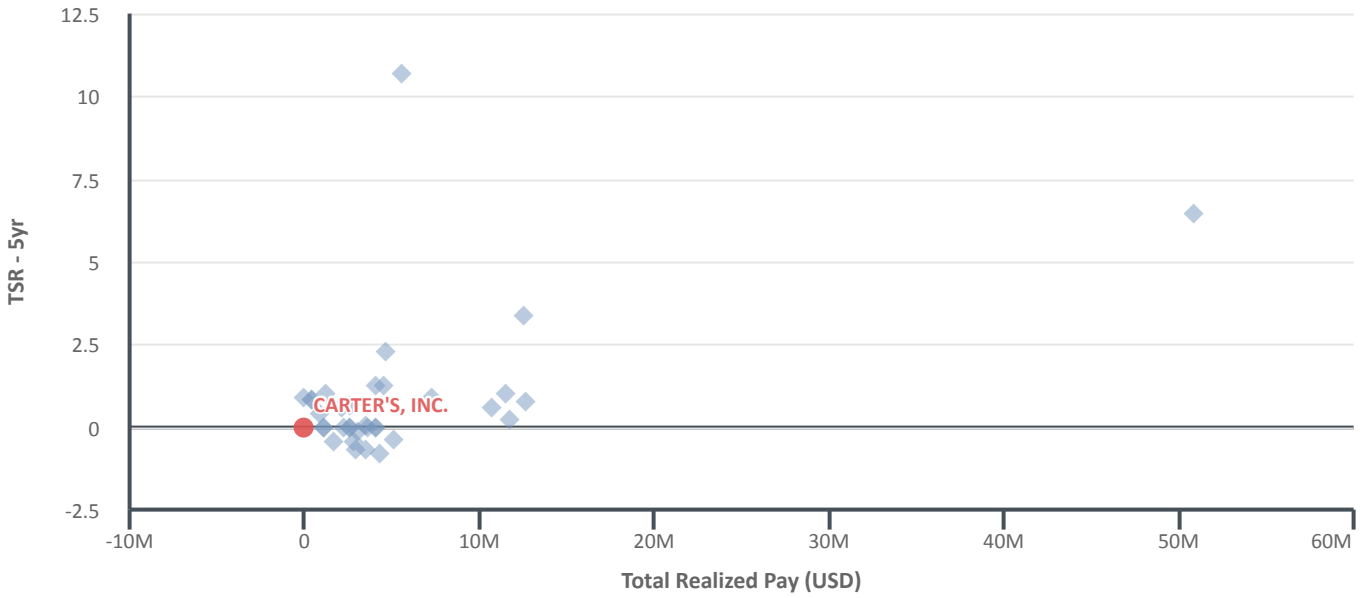
Due to the large size of this peer group, only a subset of companies is displayed in this table.

CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

PAY PERFORMANCE ALIGNMENT

CEO & EXECUTIVE EQUITY

CEO equity policy as a multiple of salary: **7.0**

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STOCK OWNERSHIP GUIDELINES AND EQUITY RETENTION POLICY

Chief Executive Officer & President = 7x

Executive	Tenure (Years)	Shares Held	YoY % Change	Shareholding As % of Salary
Allison Peterson I		55,280		
Brian Lynch I		16,880		
Douglas C Palladini I	1	0		
Kendra Krugman I		87,833		
Michael Casey I $	N/A (Resigned)	367,091	-18.54%	
Raghu Sagi I		29,844		
Richard Westenberger I R $	N/A (Resigned)	144,889	26.22%	

$ - Financial Expert (2) I - Industry Expert (7) R - Risk Management Expert

PAY LINKED TO SUSTAINABILITY

The company has failed to incorporate links to sustainability performance in its current incentive pay policies.

CLAWBACK & MALUS

Clawback or malus provisions are in place.
Clawback Type: **Performance Based**

SEVERANCE & CHANGE OF CONTROL

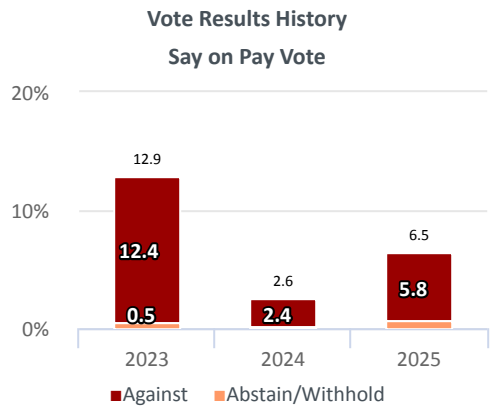
CEO	Annual Pay (USD)	Potential Cash Severance - Involuntary (USD)	Potential Cash Severance - Change of Control (USD)	Multiple of Annual Pay – Involuntary	Multiple of Annual Pay – Change of Control
Michael Casey I $	2,170,105 USD	2,815,573 USD	4,173,109 USD	1.30 times	1.92 times

$ - Financial Expert I - Industry Expert

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LATEST PAY VOTES

Year	Vote Type	Votes For %	Votes Against %	Abstain %
2025	Advisory Vote on Executive Compensation	93.4%	5.8%	0.7%



EQUITY PLAN DILUTION

	2024	2023	2022
Shares Outstanding	36,010,750	36,480,603	37,653,983
Equity Reserved	6.1%	7.3%	8.5%
Shares granted/awarded (in year)	1%	1.1%	0.9%

NON-EXECUTIVE DIRECTOR PAY

NON-EXECUTIVE EQUITY

Director	Tenure (Years)	Shares Held
Gretchen Schar $	6	13,066
Hali Borenstein I	6	12,519
Jeffrey Black $	4	8,628
Jevin Eagle	15	18,241
Luis Borgen $	4	8,996
Mark Hipp $	8	12,509
Rochester (Rock) Anderson Jr.	4	8,628
Stacey Rauch	4	8,628
Stephanie Stahl	4	8,628
William Montgoris $	18	45,203

$ - Financial Expert (5) I - Industry Expert

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NON-EXECUTIVE PAY TABLES

Director	Tenure (Years)	Cash Fees	Other Comp	Stock Award	Total Pay	Total Pay (USD)
Gretchen Schar $	6	158,000 USD		160,006 USD	318,006 USD	318,006
Hali Borenstein I	6	123,000 USD		160,006 USD	283,006 USD	283,006
Jeffrey Black $	4	119,000 USD		160,006 USD	279,006 USD	279,006
Jevin Eagle	15	148,000 USD		160,006 USD	308,006 USD	308,006
Luis Borgen $	4	132,000 USD		160,006 USD	292,006 USD	292,006
Mark Hipp $	8	133,000 USD		160,006 USD	293,006 USD	293,006
Rochester (Rock) Anderson Jr.	4	122,000 USD		160,006 USD	282,006 USD	282,006
Stacey Rauch	4	135,000 USD		160,006 USD	295,006 USD	295,006
Stephanie Stahl	4	167,000 USD		160,006 USD	327,006 USD	327,006
William Montgoris $	18	191,000 USD		160,006 USD	351,006 USD	351,006

$ - Financial Expert (5) I - Industry Expert

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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OWNERSHIP & CONTROL

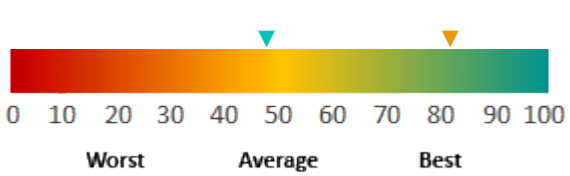
The company's ownership structure and shareholder rights at CARTER'S fall within the average scoring relative to global peers.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
6.9	49th (Average)	83rd (Above Average)

KEY METRICS SCORING

	Deduction
DIRECTOR ELECTIONS	
Majority Voting	-0.20
Proxy Access	-0.20
SHAREHOLDER RIGHTS	
Bylaws Amendments	-0.10
Shareholder Rights to Convene Meeting	-0.20
TAKEOVER PROVISIONS	
Constituency Provision	-0.10
Fair Bid Treatment Provisions	-0.10

OWNERSHIP & CONTROL PERFORMANCE VS.



CORPORATE STRUCTURE

Public Company

CAPITAL STRUCTURE

Capital Type	Votes Per Share	Shares Outstanding
Common Stock	1.0	36,237,114

OWNERSHIP STRUCTURE

OWNERSHIP CATEGORIES

- Principal Shareholder

NOTABLE SHAREHOLDERS

BlackRock, Inc. - 12.3% The Vanguard Group, Inc. - 10.1%	**12.3%**
5%+ shareholders - Aggregate Voting Power	**35.6%**
Insider Voting Power	**2%**

The company does not have a special capital structure, thus one vote right is afforded per common share. This principle of 'one share one vote' helps align economic and voting power and ensures that no class of shareholders has more voting power than economic exposure.

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TAKEOVER PROVISIONS

Fair Price Provision	Mandatory Bid Provision	Mandatory Bid Ownership Threshold
No	No	

State of Incorporation	Business Combination Provision
Delaware	No

% of Votes to Approve a Merger
51%

GOVERNING DOCUMENTS

The company opts out of Section 203 of the DGCL, a provision related to Business Combinations.

MAJORITY REQUIREMENTS

	Bylaws	Charter
Default percentage of votes required to amend a provision	51%	51%

Bylaws p. 22

Subject to the provisions of the Certificate of Incorporation, these By-Laws may be adopted, amended or repealed at any annual or special meeting of stockholders, by the affirmative vote of the holders of a majority of the voting power of the stock issued and outstanding and entitled to vote thereat. Subject to the provisions of the Certificate of Incorporation, these By-Laws may also be altered, amended or repealed, and new By-Laws adopted, by the Board of Directors, acting by majority vote of the entire Board, subject to the right of the stockholders to adopt, amend or repeal the By-Laws as provided above.

COI p. 5

Subject to the provisions of the Certificate of Incorporation, these By-Laws may be adopted, amended or repealed at any annual or special meeting of stockholders, by the affirmative vote of the holders of a majority of the voting power of the stock issued and outstanding and entitled to vote thereat. Subject to the provisions of the Certificate of Incorporation, these By-Laws may also be altered, amended or repealed, and new By-Laws adopted, by the Board of Directors, acting by majority vote of the entire Board, subject to the right of the stockholders to adopt, amend or repeal the By-Laws as provided above.

SHAREHOLDER RIGHTS

There may be governance risks for investors in relation to shareholder rights and management-controlled takeover defense mechanisms at CARTER'S including:

- The board's ability to amend the company's bylaws without shareholder approval
- constituency provisions that may be invoked to deter tender offers regarded as hostile by current management
- fair price provisions that fail to ensure that all shareholders are treated fairly
- Limits on the right of shareholders to convene a special or emergency general meeting

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SHAREHOLDER MEETINGS & RESOLUTIONS

	Call Special Meeting	Requisition a Resolution at AGM	Act by Written Consent
Percentage of shares required	35%		51%

RESTRICTIONS ON LEGAL ACTION BY SHAREHOLDERS

An exclusive forum provision is in place.

SAY ON PAY

We note that shareholder votes on executive pay are mandatory in this market, affording shareholders the ability to review and approve executive pay practices at this company.

DIRECTOR ELECTIONS

BOARD RE-ELECTION PROVISIONS

Board Re-election Provisions	
Board Re-election Frequency (Years)	1
% of Board subject to re-election	100%

DIRECTOR ELECTION STANDARD

The company has not adopted a binding majority director election standard (with immediate resignation if the director does not receive a majority of the votes cast), which may limit shareholders' ability to hold members of the board accountable in uncontested elections.

Director Election Rules	
Vote Standard	Majority & Resignation Policy
Immediate Binding Resignation	No

2025 DEF 14A p. 2

Each of their directors stands for election annually and thereafter holds office for a one-year term.

2025 DEF 14A p. 80

Pursuant to their Bylaws, a nominee will be elected if the number of votes properly cast "for" such director nominee exceed the number of votes cast "against" that nominee. Any nominee not receiving such majority, who is then serving as a director, must tender his or her resignation for consideration by the Board. Any nominee appointed to the Board, subject to shareholder approval, will not have been elected as a director at the Annual Meeting. Abstentions and broker non-votes will not have any impact on the outcome of this vote.

PROXY ACCESS

No proxy access provision has been identified.

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Proposals on Proxy Access

No recent votes, whether filed by management or by shareholders, seeking the adoption of proxy access have been identified

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ACCOUNTING

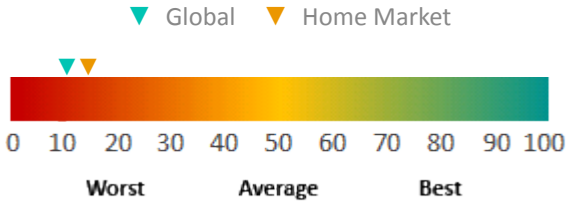
Based on the company's disclosures and other public information, accounting and financial reporting practices at CARTER'S may warrant close attention from shareholders. We have flagged this company for potential concerns regarding the length of tenure of the external audit firm.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.2	12th (Below Average)	16th (Below Average)

KEY METRICS SCORING

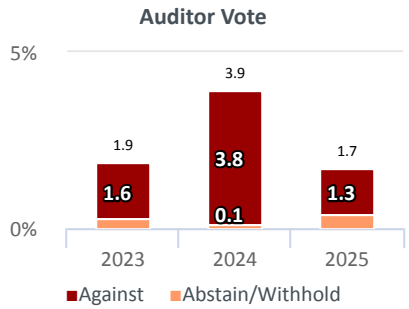
	Deduction
AUDITOR INDEPENDENCE	
Auditor Tenure	-0.30

ACCOUNTING PERFORMANCE VS.



EXTERNAL AUDITORS

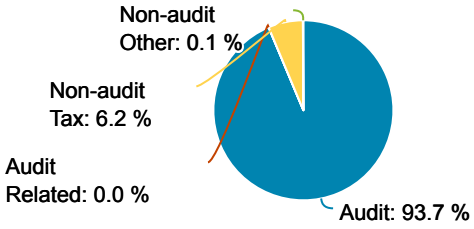
Type	Since	Firm	Most Recent Fiscal Year End Signed Off
Primary	1968	PricewaterhouseCoopers LLP	2024



AUDITOR FEES

Fees paid to: PricewaterhouseCoopers LLP (Primary)

Fee	Dec 28, 2024 (USD)	Dec 30, 2023 (USD)	Dec 31, 2022 (USD)
Audit	2,331,100	2,079,000	2,279,700
Audit Related			92,000
Total Audit + Audit Related	**2,331,100**	**2,079,000**	**2,371,700**
Tax Compliance/Advice	155,000	0	7,000
Other Non-audit Services	2,000	4,500	4,500
Total Non-audit Fees	**157,000**	**4,500**	**11,500**
Total Fees	**2,488,100**	**2,083,500**	**2,383,200**



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AUDITOR'S REPORT

	Dec 28, 2024	Dec 30, 2023	Jan 01, 2022
Report Disclosed	Yes	Yes	Yes
Opinion	Unqualified Opinion	Unqualified Opinion	Unqualified Opinion
Emphasis of Matter	No	No	No

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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APPENDIX

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DIRECTOR VOTES

Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2025	Anderson,Rochester	98.46%	1.09%	0.45%
2025	Black,Jeffrey	99.35%	0.19%	0.45%
2025	Borenstein,Hali	99.11%	0.41%	0.48%
2025	Borgen,Luis	99.31%	0.23%	0.45%
2025	C Palladini,Douglas	99.37%	0.18%	0.45%
2025	Eagle,Jevin	96.61%	2.94%	0.45%
2025	Hipp,Mark	98.47%	1.08%	0.45%
2025	Montgoris,William	93.48%	6.06%	0.46%
2025	Rauch ,Stacey	98.19%	1.33%	0.48%
2025	Schar,Gretchen	99.36%	0.18%	0.45%
2025	Stahl,Stephanie	98.14%	1.38%	0.48%
2024	Anderson,Rochester	99.57%	0.37%	0.06%
2024	Black,Jeffrey	99.58%	0.35%	0.07%
2024	Borenstein,Hali	99.49%	0.45%	0.06%
2024	Borgen,Luis	99.56%	0.39%	0.06%
2024	Eagle,Jevin	97.20%	2.75%	0.06%
2024	Hipp,Mark	99.56%	0.38%	0.06%
2024	Montgoris,William	96.29%	3.66%	0.06%
2024	Rauch ,Stacey	99.48%	0.45%	0.07%
2024	Schar,Gretchen	99.61%	0.33%	0.06%
2024	Stahl,Stephanie	99.47%	0.48%	0.06%
2023	Anderson,Rochester	98.60%	1.07%	0.33%
2023	Black,Jeffrey	99%	0.67%	0.33%
2023	Borenstein,Hali	98.52%	1.15%	0.33%
2023	Borgen,Luis	98.43%	1.24%	0.33%
2023	Eagle,Jevin	96.78%	2.88%	0.33%
2023	Hipp,Mark	98.44%	1.23%	0.33%
2023	Montgoris,William	87.44%	12.23%	0.33%
2023	Rauch ,Stacey	98.69%	0.98%	0.33%
2023	Schar,Gretchen	98%	1.67%	0.33%
2023	Stahl,Stephanie	98.40%	1.27%	0.33%
2022	Anderson,Rochester	99.76%	0.19%	0.04%
2022	Black,Jeffrey	99.76%	0.19%	0.04%

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Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2022	Borenstein,Hali	98.15%	1.80%	0.05%
2022	Borgen,Luis	99.61%	0.34%	0.04%
2022	Eagle,Jevin	96.60%	3.36%	0.04%
2022	Hipp,Mark	99.28%	0.67%	0.04%
2022	Montgoris,William	95.43%	3.36%	1.21%
2022	Rauch ,Stacey	99.78%	0.18%	0.04%
2022	Schar,Gretchen	99.23%	0.73%	0.04%
2022	Stahl,Stephanie	99.78%	0.17%	0.04%
2021	Borenstein,Hali	98.73%	1.22%	0.05%
2021	Eagle,Jevin	98.68%	1.27%	0.05%
2021	Hipp,Mark	99.32%	0.63%	0.05%
2021	Montgoris,William	97.55%	2.40%	0.05%
2021	Schar,Gretchen	99.40%	0.55%	0.05%
2020	Borenstein,Hali	99.64%	0.28%	0.08%
2020	Eagle,Jevin	99.02%	0.90%	0.08%
2020	Hipp,Mark	98.81%	1.11%	0.08%
2020	Montgoris,William	97.64%	2.27%	0.08%
2020	Schar,Gretchen	99.64%	0.28%	0.08%
2019	Eagle,Jevin	99.19%	0.75%	0.06%
2019	Hipp,Mark	99.53%	0.40%	0.06%
2019	Montgoris,William	98.92%	1.01%	0.06%
2018	Eagle,Jevin	98.74%	1.03%	0.23%
2018	Hipp,Mark	99.30%	0.47%	0.23%
2018	Montgoris,William	98.82%	0.95%	0.23%
2017	Eagle,Jevin	98.85%	1.07%	0.08%
2016	Montgoris,William	98.83%	0.88%	0.29%

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SHAREHOLDER/MANAGEMENT PROPOSALS

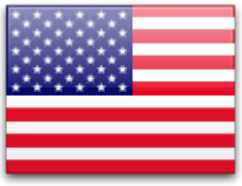
MANAGEMENT PROPOSALS

Proxy Year	Proposal	Proposal Summary	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2025	Advisory Vote on Executive Compensation	2. Advisory Vote on Executive Compensation for Named Executive Officers	Approved	93.4%	5.8%	0.7%
2025	Auditor Ratification	3. Ratification of Appointment of Independent Registered Public Accounting Firm	Approved	98.3%	1.3%	0.4%
2024	Advisory Vote on Executive Compensation	2. Advisory Vote on Executive Compensation for Named Executive Officers	Approved	97.4%	2.4%	0.2%
2024	Auditor Ratification	3. Ratification of Appointment of Independent Registered Public Accounting Firm	Approved	96.2%	3.8%	0.1%
2023	Advisory Vote on Executive Compensation	2.Advisory Vote on Executive Compensation for Named Executive Officers	Approved	87.1%	12.4%	0.5%
2023	Advisory Vote Frequency	3. Advisory Vote on the Frequency of the Say-on-Pay Vote	1 year			
2023	Auditor Ratification	4. Ratification of Appointment of Independent Registered Public Accounting Firm	Approved	98.1%	1.6%	0.3%

**For Management Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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DELAWARE



CURRENCY: UNITED STATES DOLLAR (USD)

In the United States, most governance principles are governed by state laws that are not uniform or nationally enforced. However, the majority of states have adopted the Model Business Corporation Act (MBCA) as the basis of their own laws by modifying some of the provisions of the MBCA. The MBCA is a body of laws designed to regulate corporate affairs uniformly across different states. It is the basis for business corporation statutes in 32 states and the District of Columbia and is the source of many provisions in the general corporation statutes of other states. Further, the Securities and Exchange Commission (SEC) regulates certain governance related matters on a federal level.

The majority of large U.S. businesses are listed on either the New York Stock Exchange (NYSE) or the Nasdaq Stock Market (Nasdaq), and therefore are subject to their listing rules. The U.S. has not adopted a national corporate governance code.

Delaware's corporate governance is defined by the General Corporation Law of the State of Delaware (DGCL), with annual updates and revisions by the Delaware legislature based on the recommendations of the Council of the Corporation Law Section of the Delaware State Bar Association. Judicial decisions by the state's Court of Chancery also set governance practice, with appeals heard at the Delaware Supreme Court.

Companies adopt a unitary board structure in the U.S. The NYSE and Nasdaq listing rules require the majority of directors to be independent. The SEC rules require public companies to disclose and explain their chair-CEO structure and whether one or two people hold the roles. If the roles are combined, the company must further disclose whether it has a lead independent director and specify their role within the company leadership.

Unless stated otherwise in the articles of association, directors may appoint inspectors in advance of any shareholder meeting to determine the number of shares outstanding, voting rights, shares represented at the meeting, existence of a quorum, authenticity and validity of proxies, and take all other actions with regards to the annual shareholders' meeting.

Related party transactions (RPTs) are valid if the transaction was conducted on reasonable and fair terms when it was approved, and the RPT is approved in good faith by the majority of independent directors. If the number of independent directors is less than a quorum, then it must be approved by shareholders.

The board of directors may fix director and officer pay, although most companies delegate the responsibility for defining executive pay to independent directors, usually upon the recommendation of the pay or nominating/governance committee. Officers are executive directors that are responsible for the daily management of the company.

The Dodd-Frank Act requires listed companies to hold an advisory vote every three years on "say on pay" policies, as well as disclose additional information regarding "golden parachute" arrangements linked to merger transactions.

Listed companies must annually disclose the pay of directors and officers, including stock and option awards. Disclosure must be made in a tabular format, along with a descriptive summary of the information in the table. Companies listed on Nasdaq must also disclose pay arrangements between directors or nominees and third parties.

The U.S. market is known for having widely dispersed ownership, but founder-led companies are common. There are multiple share classes with unequal voting rights and voting right limits.

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Shareholders with at least 10% voting rights can request to convene a general meeting.

A notice of the meeting, specifying the date, time, place and purpose must be given no less than seven days and no more than 60 days in advance. Special meeting of shareholders may be convened by shareholders owning at least 10% of shares. Typically, each share is entitled to one vote and fractional shares are entitled to proportionate votes. Shareholders do not have preemptive rights unless specifically provided in the bylaws or articles. Dissenting shareholders are entitled to appraisal rights.

Unless otherwise stipulated in the articles, a corporation is not obligated to offer shareholders any shares, option rights or securities when issuing them.

There are no mandatory takeover bid provisions in the U.S.

In 2018, the Delaware enacted a Certification of Adoption of Transparency and Sustainability Standards Act which is a voluntary act broadly enabling entities registered in Delaware to craft a sustainability regime. The Act is primarily a disclosure regime which requires entities to disclose and provide reports regarding their standards and metrics. There are many provisions in the Federal Sarbanes-Oxley Act that govern the audit process. A public company's annual financial statements must be audited by a registered independent auditing firm. Listed companies prepare two annual reports, one for SEC (Form 10-K) and one for their shareholders. The reports to stockholders, as required by SEC, must contain certified financial statements of two-year audited balance sheets, and three-year audited statement of income and cash flows. Directors and officers of the corporation must also be identified. Interim financial statements are not audited, only reviewed by the company's auditors. If an auditor has not reviewed the interim report, it must be accompanied with a notice specifying that the report has not been reviewed by an auditor. Audit firm rotation is not required but lead audit partners are subject to rotation every five years.

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KEY METRIC & SCORE CHANGES

ALL KEY METRIC & SCORE CHANGES (SINCE MARCH 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Jun 04, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 25, 2025	**-0.20**	
CEO Pay Total Fixed	Flag Removed	Sep 11, 2025	0.20	
CEO Pay Total Fixed	**Flag Added**	Jun 05, 2025	**-0.20**	
CEO Pay Total Fixed	Flag Removed	May 29, 2025	0.20	
Long-Term Pay Performance Versus Peers	Flag Removed	May 19, 2025	0.20	

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DIRECTOR PROFILES

DOUGLAS C PALLADINI

Age: 58
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Executive, Board Member, CEO Source Date: 04/04/2025

Douglas C Palladini joiined Carters on April 3 2025 as Chief Executive Officer President and a member of the Board Mr Palladini served as the founder and owner of Kickstand LLC a consulting and advisory business focused on brand and consumer strategy from April 2022 until March 2025 Prior to founding Kickstand LLC from June 2004 to March 2022 Mr Palladini served in various roles of increasing responsibility at Vans a subsidiary of VF Corporation culminating in his role as Global Brand President of Vans from July 2016 through March 2022 Director Qualifications Deep experience with growing brands and consumer driven strategies and expertise in creating global brand connections Valuable perspective as an executive with decades of experience working in the retail and apparel industry and operating within multiple sales channels

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Executive, Board Member, CEO	1	Apr 03, 2025		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.4%	0.6%

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GRETCHEN SCHAR

Age:	71	Financial:	Yes
Gender:	F	Risk:	No
Nationality:	Not Disclosed	Industry:	Household & Personal Products - Personal Care Products

BIOGRAPHICAL INFORMATION

CINCINNATI FINANCIAL CORPORATION - Board Member Source Date: 03/18/2026

Ms. Schar retired in 2018 from Arbonne International LLC, a beauty and nutritional product company headquartered in Irvine, California. As executive vice president and chief financial and administrative officer of the firm since 2011, she led the firm's financial, accounting, strategy and business planning, operations, information technology, human resources and international functions. She was executive vice president and chief financial officer from 2008 to 2011 of Philosophy Inc., an international, prestige beauty brand based in Phoenix, Arizona. Director Qualifications üBrings to the board leadership skills in key areas, including accounting, auditing and financial reporting, investor relations, capital management, human resources, information technology, strategic planning and business planning üDraws on knowledge of customer relationship management and distribution chains to benefit board discussions and decisions Other Public Company Directorships Board Member, Carter's Inc. (2019-present) Selected Directorships and Memberships Nonprofit boards benefiting fine and performing arts, arts education, a hospital, children's dental services and general philanthropy

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Gretchen W Schasrerved as Executive Vice President and Chief Financial and Administrative Officer of Arbonne International LLC a beauty and nutritional products company from 2011 until 2018 and from 2008 until 2011 served as Executive Vice President and Chief Financial Officer of philosophy inc an international prestige beauty brand Prior to that Ms Schar spent over 30 years at The Procter Gamble Company in finance general management and global operations roles of increasing responsibility Director Qualifications Broad experience in finance accounting auditing and financial reporting capital management investor relations and global operations Meaningful experience with strategic growth including mergers and acquisitions Significant public company board oversight experience including in financial and accounting controls public company reporting engagement with independent public accounting firms corporate governance and executive compensation

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	6	Jul 10, 2019		Yes	Yes	
CINCINNATI FINANCIAL CORPORATION	Board Member	23	Aug 01, 2002		Yes	Yes	

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BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Chair
CARTER'S, INC.	Risk	Chair
CINCINNATI FINANCIAL CORPORATION	Audit	Chair
CINCINNATI FINANCIAL CORPORATION	Pay	Member
CINCINNATI FINANCIAL CORPORATION	Corporate Governance	Member
CINCINNATI FINANCIAL CORPORATION	Nomination	Member
CINCINNATI FINANCIAL CORPORATION	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.4%	0.6%
CINCINNATI FINANCIAL CORPORATION	2026	89.5%	10.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	6	2024	158,000	318,006	13,066
CINCINNATI FINANCIAL CORPORATION	Non-Executive	23	2025	160,000	307,333	34,960

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HALI BORENSTEIN

Age: 40
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Hali Borensteinis the Chief Executive Officer of Reformation LLC a womens lifestyle brand focused on fashion and sustainability a position she has held since June 2020 From December 2017 until June 2020 Ms Borenstein was President of Reformation LLC and from 2014 to 2017 Ms Borenstein held various merchandising and design roles of increasing responsibility at Reformation LLC Prior to joining Reformation LLC Ms Borenstein was a senior merchandiser at Gymboree Group Inc and began her career at Bain Company Director Qualifications Deep strategic and leadership experience in a consumerfocused retail apparel business Valuable perspective and insight in eCommerce brand marketing sustainability and retail businesses Expansive expertise in apparel marketing and merchandising

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	6	Dec 02, 2019		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Corporate Governance	Member
CARTER'S, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.1%	0.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	6	2024	123,000	283,006	12,519

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JEFFREY BLACK

Age:	71	Financial:	Yes
Gender:	M	Risk:	No
Nationality:	United States of America	Industry:	Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

OTIS WORLDWIDE CORPORATION - Board Member Source Date: 04/17/2026

Jeffrey H. Black is the Chair of the Audit Committee. He most recently served as Senior Partner and Vice Chairman of Deloitte LLP. In addition to his management roles, he held the position of Vice Chairman of Deloitte's Board of Directors and chaired its Governance and Risk Committees. Prior to Deloitte, Black was a partner at Arthur Andersen. He serves as a Board Director of Carters, Inc., Vantage Airport Group, Ltd. (non public), and Basin Holdings, LLC (non public).

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Jeffrey H Blackserved as Senior Partner and Vice Chairman of Deloitte LLP from 2002 to 2016 and as PartnerinCharge of Arthur Andersen LLPs Metro New York audit practice from 1988 to 2002 Mr Black has 40 years of experience leading teams serving those firms largest and most complex global clients Director Qualifications Significant accounting financial reporting and executive leadership experience as well as valuable insights into risk and crisis management and oversight of publiclytraded global businesses Valuable experience in cyber and information governance oversight and has earned a Computer Emergency Readiness Team CERT Certificate in Cybersecurity Oversight issued by the CERT Division of the Software Engineering Institute at Carnegie Mellon University as well as the National Association of Corporate Directors master course in Cybersecurity

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	
OTIS WORLDWIDE CORPORATION	Board Member	6	Apr 01, 2020		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Risk	Member
OTIS WORLDWIDE CORPORATION	Audit	Chair
OTIS WORLDWIDE CORPORATION	Risk	Chair

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VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.4%	0.6%
OTIS WORLDWIDE CORPORATION	2026	99.1%	0.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	119,000	279,006	8,628
OTIS WORLDWIDE CORPORATION	Non-Executive	6	2025	134,000	335,000	33,646

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JEVIN EAGLE

Age: 58
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Jevin S Eaglheas served as Professor of the Practice Strategy and Innovation and Executive Director of Social Impact Initiatives for Boston Universitys Questrom School of Business since September 2022 and as Chief Executive Officer of Boston University Hillel since 2017 Mr Eagle served as Chief Executive Officer and director of DAVIDsTEA Inc a specialty tea retailer in the United States and Canada from April 2012 to April 2014 Mr Eagle previously held several senior leadership positions at Staples Inc from 2002 to 2012 including Executive Vice President Merchandising and Marketing Prior to joining Staples Inc Mr Eagle worked for McKinsey Company Inc from 1994 to 2001 ultimately serving as a partner in the firms retail practice Director Qualifications Broad experience in a number of areas as the former Chief Executive Officer and director of DAVIDsTEA Inc and Executive Vice President Merchandising and Marketing of Staples Inc including retail management merchandising sourcing strategic planning and brand marketing Valuable experience with developing strategies and programs for teaching social impact business education including matters relating to environmental social and governance ESG through his role as Professor and Executive Director of Social Impact Initiatives for Boston Universitys Questrom School of Business Meaningful experience in business strategy and the retail industry provides our Board with critical insights

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	15	Jul 20, 2010		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Pay	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	96.6%	3.4%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	15	2024	148,000	308,006	18,241

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LUIS BORGEN

Age:	56
Gender:	M
Nationality:	Not Disclosed
Financial:	Yes
Risk:	No
Industry:	Health Care Equipment & Services - Health Care Technology,Software & Services - IT Services

BIOGRAPHICAL INFORMATION

EASTERN BANKSHARES, INC. - Board Member Source Date: 03/27/2025

Luis Borgen has served as a director of Eastern Bank and a trustee of its predecessor holding company, Eastern Bank Corporation, since 2016. From September 2019 through April 2022, he was Chief Financial Officer for athenahealth, Inc., a leading SaaS provider of healthcare software that automates and manages revenue cycle management and electronic health records for physician practices and health systems. Prior to that, he was Chief Financial Officer for Vistaprint, an e- commerce company that produces marketing products for small businesses. Previously, he served as Chief Financial Officer for two publicly traded companies: DAVIDsTEA (from 2012-2017) and DaVita Inc. (from 2010-2012). Beginning in 1997, Mr. Borgen served in increasing roles of responsibility at Staples, Inc., leading to his appointment as Senior Vice President, Finance for the U.S. Retail business. He has served on the Boards of Directors of Carter's, Inc., since November 2021 and Synopsys, Inc., since May 2022. Mr. Borgen served in the U.S. Air Force from 1992 to 1997 and attained the rank of Captain. He holds a B.S. in Management from the United States Air Force Academy, an M.S. in Finance from Boston College and an MBA with Honors from the University of Chicago Booth School of Business. Qualifications We believe Mr. Borgen's experience with financial accounting matters and oversight of the financial reporting process of public companies qualifies him to serve on our Board of Directors.

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Luis Borgenhas over 25 years of finance and operational experience at various public and private equitybacked companies He was the Chief Financial Officer of athenahealth Inc a healthcare technology company from 2019 to 2022 Prior to that he was Chief Financial Officer for Vistaprint an ecommerce company that produces marketing products for small and microcap businesses from 2017 to 2019 Prior to that he served from 2012 to 2017 as Chief Financial Officer for DAVIDsTEA Inc a specialty tea retailer in the United States and Canada that became publiclytraded in 2015 and from 2010 to 2012 he served as Chief Financial Officer of DaVita Inc DaVita a publicly traded healthcare provider Prior to DaVita Mr Borgen spent 13 years at Staples Inc culminating in his role as Senior Vice President Finance and Chief Financial Officer for the US Retail division Mr Borgen began his career as an officer in the US Air Force Director Qualifications Broad experience in finance accounting capital markets investor relations MA and international expansion Meaningful experience in the oversight of executive compensation risk management and corporate governance Substantial operational experience in retail and consumerfocused businesses

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	Nov 02, 2021		Yes	Yes	
EASTERN BANKSHARES, INC.	Board Member	10	Jan 01, 2016		Yes	Yes	

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BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Pay	Member
CARTER'S, INC.	Risk	Member
EASTERN BANKSHARES, INC.	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.3%	0.7%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	132,000	292,006	8,996
EASTERN BANKSHARES, INC.	Non-Executive	10	2024	95,000	177,153	29,535
SYNOPSYS, INC.	Non-Executive		2025	140,000	339,783	1,833

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MARK HIPP

Age: 63
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Financial Services - Capital Markets,Technology Hardware & Equipment - Technology Hardware, Storage & Peripherals

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Mark P Hipphas been the Chief Executive Officer of H2IDD an advisory firm focused on public and private mergers and acquisitions since January 2013 From November 2013 until April 2017 Mr Hipp was the operating partner at Sterling Partners a private equity firm Prior to that he spent over 28 years at Hewlett Packard Enterprise Company most recently as Vice President General Manager HP Software and Global Networking Business Management Director Qualifications Valuable perspective and insight with respect to issues relating to information technology including cybersecurity and eCommerce as well as global supply chain and logistics Meaningful experience in strategic growth transactions including through investments strategic relationships and mergers and acquisitions

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	8	Feb 01, 2018		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Pay	Member
CARTER'S, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.5%	1.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	8	2024	133,000	293,006	12,509

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ROCHESTER (ROCK) ANDERSON JR.

Age: 63
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Software & Services - Internet Software & Services

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Rochester Anderson hJars over 30 years of human resources and operational experience at various public and private corporations including more than 15 years of experience leading human resource organizations and more than 15 years of operational experience with public and private corporations and nonprofit organizations Mr Anderson is currently Chief Human Resources Officer Emory Healthcare which he joined in September 2022 Previously from February 2020 to September 2022 Mr Anderson served as Chief Human Resources Officer of AutoNation Inc a publiclytraded company and the nations largest automobile dealer with over 21000 associates working in over 400 locations across 18 states Mr Anderson previously served as Senior Vice President People Solutions for the Financial Industry Regulatory Authority from May 2019 to February 2020 and served from 2006 to 2018 in various human resource focused and operational roles at Cox Automotive Inc including serving as Chief Human Resources Officer and Executive Vice President from 2014 to 2018 Mr Andersons experience focuses on human capital management career development and training operational management and diversity and inclusion 6 Director Qualifications Significant human capital management organizational improvement compensation and benefits and executive management experience Valuable insights into workforce dynamics diversity equity and inclusion and executive development Substantial operational experience in retail and consumerfocused businesses

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Pay	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.5%	1.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	122,000	282,006	8,628

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STACEY RAUCH

Age: 68
Gender: F
Nationality: United States of America
Financial: No
Risk: No
Industry: Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Stacey S Raucihs a Senior Partner Emeritus of McKinsey Company McKinsey Ms Rauch was a leader in McKinseys Retail and Consumer Goods Practices served as Head of the North American Retail and Apparel Practice and as Global Retail Practice Convener A 24year veteran of McKinsey Ms Rauch led engagements for a wide range of retailers apparel wholesalers and consumer goods manufacturers in the US and internationally Ms Rauch was a cofounder of McKinseys New Jersey office and was the first woman at McKinsey appointed as an industry practice leader Since retiring from McKinsey Ms Rauch has served as a member or chair of various companies boards Director Qualifications Strategic leadership expertise and deep experience in international business with a significant focus on the retail apparel and consumer goods industries Meaningful experience in the oversight of executive compensation corporate governance and financial reporting

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Corporate Governance	Member
CARTER'S, INC.	Nomination	Member
CARTER'S, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.2%	1.8%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	135,000	295,006	8,628

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STEPHANIE STAHL

Age:	59	Financial:	No
Gender:	F	Risk:	No
Nationality:	Not Disclosed	Industry:	Household & Personal Products - Personal Care Products,Consumer Durables & Apparel - Leisure Products

BIOGRAPHICAL INFORMATION

DOLLAR TREE, INC. - Board Member Source Date: 05/01/2026

Stephanie P Stahl Former Global Marketing and Strategy Officer of Coach Inc Director since 2018 Independent Board Committees Nominating and Governance Sustainability and CSR Chair Other Public Company Board Experience Carters Inc since 2022 Newell Brands Inc since 2023 Edgewell Personal Care Company since 2024 Knoll Inc 2013 to 2021 Key Skills Experience and Expertise Ms Stahl brings to our Board significant experience in marketing data analytics digital strategy sustainability and brand development Ms Stahl has spent her career focused on the retail consumer sector with extensive experience in developing executing and optimizing major change initiatives including fundamental business transformation mergers and acquisitions and post merger integrations Biography Ms Stahl is the former Global Marketing and Strategy Officer of Coach Inc She held that position from 2012 to 2015 Prior to that she served as the Chief Executive Officer of Tracy Anderson Mind and Body LLC from 2010 to 2011 Executive Vice President Chief Marketing Officer of Revlon Inc from 2003 to 2006 and Partner and Managing Director of The Boston Consulting Group Inc from 1998 to 2003 Ms Stahl is also the Founder of her investment and advisory company Studio Pegasus LLC Ms Stahl serves on the Board of Directors of Carters Inc Newell Brands Inc and Edgewell Personal Care Company

NEWELL BRANDS INC. - Board Member Source Date: 03/26/2026

Stephanie P. Stahl • 2022 – Present: Senior Advisor at Boston Consulting Group (“BCG”) • 2015 – Present: Founder of Studio Pegasus, an early stage advisory and angel investing company • 2017 – 2021: Chief Executive Officer and Co-Founder at Ace of Air, a B Corp certified sustainable beauty venture • 2012 – 2015: Global Marketing and Strategy Officer at Coach, Inc. • Prior to 2012: Executive positions at several leading retail and consumer products companies and partner at BCG Current Board Appointments: Dollar Tree, Inc. and Carter’s Inc. Former Board Appointments: Brumate, Founder’s Table and Knoll, Inc. Director Qualifications: Ms. Stahl is a consumer driven and sustainability focused leader, who brings to the Board extensive experience within the consumer sector in marketing, data analytics, digital, sustainability, brand building and strategic planning.

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Stephanie P Stahisl currently a Senior Advisor and Executive Coach at the Boston Consulting Group since 2022 and is a former Global Marketing Strategy Officer of Coach Inc where she served from 2012 through 2015 She is the Founder of her investment and advisory company Studio Pegasus LLC which she launched in 2015 to focus on supporting earlystage consumer ventures Ms Stahl previously held executive positions at several leading retail and consumer products companies and served as a Partner at The Boston Consulting Group from 1992 until 2003 Director Qualifications Significant experience in the retailconsumer sector including experience developing executing and optimizing major change initiatives including fundamental business transformations mergers and acquisitions and postmerger integrations Deep experience in marketing data analytics digital strategy sustainability brand building and strategy Meaningful experience in the oversight of corporate governance investor engagement and ESG

Edgewell Personal Care Company - Board Member Source Date: 11/18/2025

Stephanie Stahl Ms. Stahl is a consumer-driven and corporate citizenship-focused leader with extensive experience in marketing, data analytics, digital, sustainability, brand building and strategy. Ms. Stahl currently acts as a Senior Advisor to Boston Consulting Group and provides coaching and advisory services to early-stage ventures. Ms. Stahl has led global brand transformations at Coach and Revlon with responsibility for creative services, PR/brand communications, CRM, consumer insights and database & advanced analytics.

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CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
Edgewell Personal Care Company	Board Member	1	Sep 10, 2024		Yes	Yes	
NEWELL BRANDS INC.	Board Member	3	Jan 01, 2023		Yes	Yes	
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	
DOLLAR TREE, INC.	Board Member	8	Jan 11, 2018		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Pay	Member
CARTER'S, INC.	Corporate Governance	Member
CARTER'S, INC.	Nomination	Member
DOLLAR TREE, INC.	Corporate Governance	Member
DOLLAR TREE, INC.	Nomination	Member
Edgewell Personal Care Company	Pay	Member
Edgewell Personal Care Company	Corporate Governance	Chair
Edgewell Personal Care Company	Nomination	Chair
NEWELL BRANDS INC.	Pay	Member
NEWELL BRANDS INC.	Corporate Governance	Member
NEWELL BRANDS INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.1%	1.9%
DOLLAR TREE, INC.	2026	97.5%	2.5%
Edgewell Personal Care Company	2026	98.4%	1.6%
NEWELL BRANDS INC.	2026	91.8%	8.2%

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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	167,000	327,006	8,628
DOLLAR TREE, INC.	Non-Executive	8	2025	180,000	330,000	20,897
Edgewell Personal Care Company	Non-Executive	1	2025	103,750	263,750	9,112
NEWELL BRANDS INC.	Non-Executive	3	2025	115,000	274,999	22,474

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WILLIAM MONTGORIS

Age:	78	Financial:	Yes
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	Banks - Banks

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member, Chairman Source Date: 04/04/2025

William J Montgorirsetired as Chief Operating Officer of The Bear Stearns Companies Inc Bear Stearns in 1999 a position he held since August 1993 after spending 20 years with the company While at Bear Stearns Mr Montgoris also served as the companys Chief Financial Officer from April 1987 until October 1996 Mr Montgoris is a trustee of the Hackensack Meridian School of Medicine and a trustee emeritus of Colby College and St Johns University Director Qualifications Valuable perspectives and insights with respect to finance and accounting after spending over 20 years in the investment banking industry His financial expertise provides our Board a deep understanding of financial and auditrelated matters Valuable insight with respect to the retail industry and the oversight of public companies

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member, Chairman	18	Aug 01, 2007		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Corporate Governance	Chair
CARTER'S, INC.	Nomination	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	93.5%	6.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Chair	18	2024	191,000	351,006	45,203

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REGULATORY DISCLOSURES

EU REGULATION 2024/3005 - DISCLOSURE INFORMATION

Factor	Value
Governance Metrics Score - Solicited Status (EU Reg. 2024/3005 disclosures)	No
Governance Metrics Score - Informed Status (EU Reg. 2024/3005 disclosures)	No

- Please refer to the “Governance Metrics Score - solicited status (EU Reg. 2024/3005 disclosures)” factor to confirm whether this score was solicited or unsolicited.
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CARTER'S, INC. (CRI)

Retail - Consumer Discretionary | US

MSCI ESG RATINGS

AAA

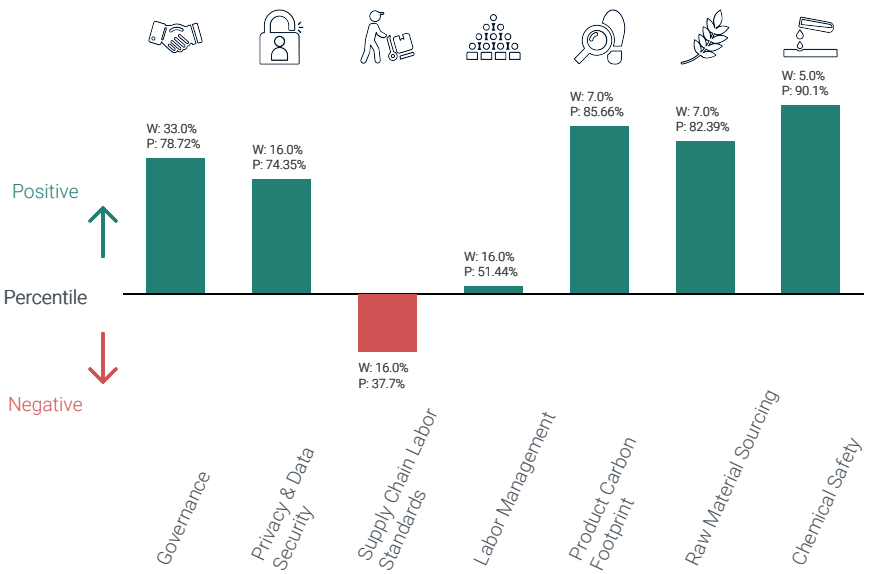
CCC	B	BB	BBB	A	AA	AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Regulatory Disclosures

Key issue scores vs ESG industry mean

This chart highlights the company's positioning relative to the ESG industry median (50%) for each Key Issue that contributed to its ESG Rating as of November 05, 2026.



50% Base line

W: Key Issue weight

P: Key Issue score percentile

Last ESG Rating action

The ESG Rating action and summary below are based on the data and scores that served as inputs to the ESG Rating published on August 03, 2026.

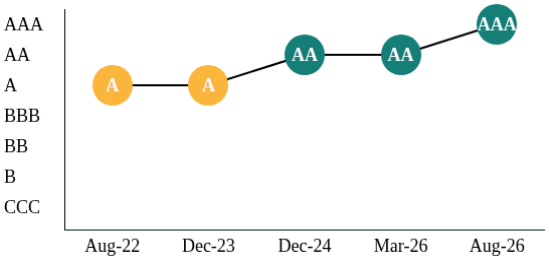
Carter's has been upgraded to 'AAA' from 'AA'.

We note allegations of Carter's' indirect involvement, through its supply chain, in controversies tied to employing ethnic minorities through coercive state-sponsored labor-transfer programs no longer weigh on the assessment. This factor mainly drives the upgrade. The company's supply chain management practices are now on par with industry peers. Carter's' business ethics practices lead most global peers, and its corporate governance practices are average relative to global peers, per our model.

- Carter's continues to lead peers in managing its product carbon footprint. Notably, it uses the Higg Facility Environmental Module, a standardized tool, for core suppliers' carbon data, and measures its upstream Scope 3 emissions, where the bulk of its GHG footprint lies; this may help Carter's design targeted carbon reduction initiatives.
- Carter's sources the bulk of its apparel goods from developing markets, where the likelihood of subpar working conditions is high, per our model. To mitigate related risks, the company audits tier-1 and selected tier-2 suppliers to monitor labor practices and has grievance channels for supply chain workers.
- Carter's' business ethics practices, which are overseen at the board level, include a whistleblower protection provision. The board is majority independent, which may help protect investor interests. However, one director holds board positions at 4 publicly listed companies (June 2026); these external commitments may impact her ability to effectively perform her duties on this company's board.

Disclaimer: The ESG Rating action and ESG Rating summary highlight key elements of the company's ESG Rating. AI tools were used in drafting the ESG Rating action and ESG Rating summary. While efforts are made to ensure accuracy, such tools may introduce errors or omissions. In the event of any discrepancies between the ESG Rating action or ESG Rating summary and the underlying ESG Rating, the underlying ESG Rating prevails.

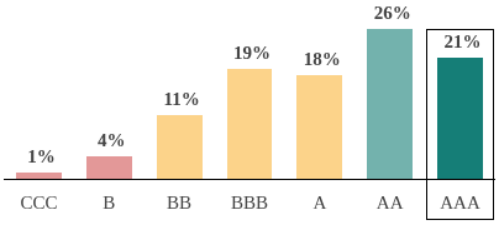
ESG Rating history



ESG Rating history shows five most recent rating actions

ESG Rating distribution

Universe: MSCI ESG Ratings, Retail - Consumer Discretionary, n=283



Key scores

	Weight	Score (0-10)
Industry-Adjusted Score (Last Updated: August 03, 2026)		9.1
Weighted-Average Key Issue Score (Last updated: August 28, 2026)		6.1
Environmental Pillar Score	14%	7.1
Social Pillar Score	53%	5.1
Governance Pillar Score	33%	7.3

Report table of contents

ESG Rating tearsheet

Rating model details P02

Corporate governance summary P04

ESG Rating drill down P05

Data report

Corporate governance data P09

Key issue details P30

Appendix P49

Glossary P76

What is an ESG Rating? MSCI ESG Ratings aim to measure a company's resilience to long-term ESG risks. Companies are scored on an industry-relative AAA-CCC scale across the most relevant Key Issues based on a company's business model.

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

ESG Rating scorecard

As of November 05, 2026

KEY ISSUE	WEIGHT	INDUSTRY AVERAGE	SCORE (0-10)	CHANGE
Weighted-Average Key Issue Score		**5.2**	**6.1**	
ENVIRONMENT	**14%**	**4.8**	**7.1**	
Product Carbon Footprint	7%	5.4	**9.1**	
Raw Material Sourcing	7%	3.4	**5.1**	
SOCIAL	**53%**	**4.8**	**5.1**	▼0.2
Labor Management	16%	4.7	**4.8**	▼0.7
Privacy & Data Security	16%	4.9	**5.7**	▼0.1
Supply Chain Labor Standards	16%	4.3	**3.7**	
Chemical Safety	5%	4.9	**8.2**	▼0.1
GOVERNANCE	**33%**	**6.1**	**7.3**	
Corporate Governance		6.5	**7.4**	
Corporate Behavior		6.8	**8.3**	

* denotes company-specific Key Issue
This table shows the Key Issue scores and weights contributing to the company's ESG Rating and any changes to those scores since the last ESG Rating action. The range of possible scores is 0-10, where 10 is best and 0 is worst.

Rating model details

Carter's was rated based on the Retail - Consumer Discretionary ESG Rating model.

MODEL VERSION: 5.0.1

Represents the MSCI ESG Ratings model version used to assess the company. Please refer to the "ESG Ratings Methodology" document for more details on the model versions.

EU Regulation 2024/3005 - Disclosure Information

Information on whether the rated entity solicited an ESG rating from MSCI Sustainability & Climate and whether the rated entity was informed in accordance with MSCI's Prior Notification Policy by MSCI Sustainability & Climate that it would be rated for the first time under the ESG Ratings methodology.

ESG Ratings - solicited status (EU Reg. 2024/3005 disclosures): No
ESG Ratings - informed status (EU Reg. 2024/3005 disclosures): No

Ratings-related data feedback in last 12 months

Data feedback in last 12 months? — No
Date of last feedback — Aug 2023

This section only captures inputs provided by companies through our online issuer portal that may have an impact on the weighted Key Issues for the company — regardless of whether they were accepted per our rules-based review. Issuers are welcome to share data feedback at any time throughout the year.

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Most recent controversies

Last update	Headline	Assessment	Type
Sep-26	Baby Sesame Street Elmo Silicone Teether [Recall, US]: 25,837 units; no injuries reported	Minor	Product Safety & Quality

This table shows the most recently updated controversies facing the company. Controversies are considered alongside other factors when assessing a company and may or may not impact the company's ESG Rating. For further details, See Controversies Detail section in full ESG Rating report appendix.

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

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LAST REPORT UPDATE: November 05, 2026

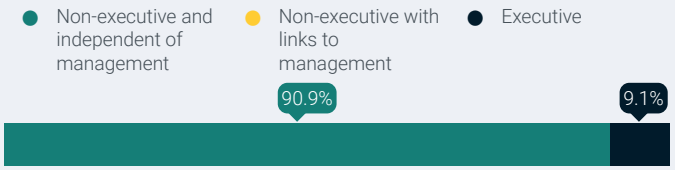
Corporate governance summary

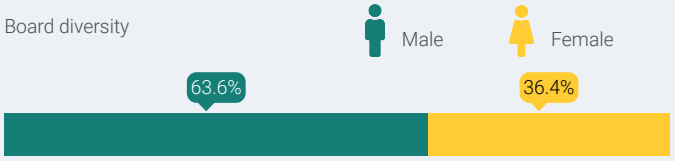
75th global percentile

80th home market percentile

Board of directors

Board type: Unitary Board





Ownership summary

Capital structure	Single Equity Class
Ownership classification	Principal Shareholder

Top shareholders

BlackRock, Inc. - 12.3% The Vanguard Group, Inc. - 10.1%

CEO

Name: Douglas C Palladini

Tenure: 1 Year

Total realized pay*:

USD 5,681,700.00

Total summary pay*:

USD 9,146,769.00

*CEO pay figures are sourced from listed company annual reports and proxy filings. When a new CEO is named the pay figures for the previous CEO will be displayed until this information has been updated for the new CEO

Peer benchmarking

	Raw Material Sourcing	Product Carbon Footprint	Chemical Safety	Labor Management	Supply Chain Labor Standards	Privacy & Data Security	Corporate Governance	Corporate Behaviour	Rating & Trend
CARTER'S, INC.	● ● ● ●	● ● ● ●	● ● ● ●	● ● ●	● ●	● ● ●	● ● ●	● ● ● ●	AAA ▲
CALERES, INC.	● ● ● ●	● ● ● ●	● ● ●	● ●	●	● ●	● ●	● ● ●	A ◄ ►
ABERCROMBIE & FITCH CO.	● ●	● ● ● ●	● ● ●	● ●	● ● ● ●	● ●	● ● ●	●	A ◄ ►
BOOT BARN HOLDINGS, INC.	●	●	● ● ●	● ●	●	● ● ●	● ● ●	● ● ● ●	BBB ◄ ►
AMERICAN EAGLE OUTFITTERS, INC.	● ●	● ● ● ●	● ● ●	● ●	● ●	● ● ● ●	●	● ● ● ●	BBB ◄ ►
DESIGNER BRANDS INC.	●	● ●	● ● ●	● ● ●	●	● ●	●	● ● ●	BB ◄ ►

QUARTILE KEY : Bottom Quartile ● Top Quartile ● ● ● ●

RATING TREND KEY : Maintain ◄ ► Upgrade ▲ Upgrade by two or more notches ▲▲ Downgrade ▼ Downgrade by two or more notches ▼▼

The five industry peers are companies in the Retail - Consumer Discretionary ESG Rating Industry, as of November 05, 2026, selected based on similarities in four attributes (ESG Key Issue weights, industry classification, region, and size), sorted by ESG Rating (best to worst).

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CARTER'S, INC. (CRI)

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CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

ESG Rating drill down

Description	As of prior rating action date: Mar 23, 2026		As of last rating action date: Aug 03, 2026		As of last report update date: Nov 05, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
ESG Rating Letter Grade	AA		AAA		AAA		-	-
Industry Adjusted Score	8.32		9.1		9.1		-	-
Industry Minimum Score	2.4		2.4		2.4		-	-
Industry Maximum Score	6.6		6.6		6.6		-	-
Weighted Average Key Issue Score	5.9		6.2		6.1		-0.1	-
Environmental Pillar Score	7.1	14.0%	7.1	14.0%	7.1	14.0%	-	-
Raw Material Sourcing Key Issue Score	5.1	7.0%	5.1	7.0%	5.1	7.0%	-	-
Exposure Score	6.5		6.5		6.5		-	-
Company-Specific Exposure Score	6.5		6.5		6.5		-	-
Management Score	4.6		4.6		4.6		-	-
Management Score - Excluding Controversies	4.6		4.6		4.6		-	-
Practices Score	4.6		4.6		4.6		-	-
Commitments towards responsible cotton sourcing	7.0	20.0%	7.0	20.0%	7.0	20.0%	-	-
Extent of supply chain initiatives - cotton	3.0	20.0%	3.0	20.0%	3.0	20.0%	-	-
Percentage certified - cotton	3.0	20.0%	3.0	20.0%	3.0	20.0%	-	-
Future targets for cotton sourcing	10.0	20.0%	10.0	20.0%	10.0	20.0%	-	-
Extent of traceability - cotton	0.0	20.0%	0.0	20.0%	0.0	20.0%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Product Carbon Footprint Key Issue Score	9.1	7.0%	9.1	7.0%	9.1	7.0%	-	-
Exposure Score	4.9		4.9		4.9		-	-
Business Segment Exposure Score	4.9		4.9		4.9		-	-
Management Score	7.0		7.0		7.0		-	-
Practices Score	7.0		7.0		7.0		-	-
Targets to reduce Scope 3 upstream carbon emissions	6.0	20.0%	6.0	20.0%	6.0	20.0%	-	-
Reduction programs in transportation and logistics	0.0	5.0%	0.0	5.0%	0.0	5.0%	-	-
Reduction programs in raw materials sourcing	6.0	5.0%	6.0	5.0%	6.0	5.0%	-	-
Reduction programs in manufacturing operations	0.0	5.0%	0.0	5.0%	0.0	5.0%	-	-
Reduction programs in distribution and store operations	6.0	5.0%	6.0	5.0%	6.0	5.0%	-	-
Energy or carbon assessment of transportation and logistics	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of raw materials sourcing	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of manufacturing operations	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of distribution and store operations	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Assessment of energy consumption and/or carbon emissions of suppliers	8.0	20.0%	8.0	20.0%	8.0	20.0%	-	-
Extent of product carbon footprint assessments	8.0	20.0%	8.0	20.0%	8.0	20.0%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

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Description	As of prior rating action date: Mar 23, 2026		As of last rating action date: Aug 03, 2026		As of last report update date: Nov 05, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
Social Pillar Score	4.8	53.0%	5.3	53.0%	5.1	53.0%	-0.2	-
Labor Management Key Issue Score	5.5	16.0%	5.5	16.0%	4.8	16.0%	-0.7	-
Exposure Score	5.3		5.3		6.1		0.8	-
Business Segment Exposure Score	5.9		5.9		7.2		1.3	-
Geographic Exposure Score	5.5		5.5		5.6		0.1	-
Company-Specific Exposure Score	4.3		4.3		4.3		-	-
Management Score	3.8		3.8		3.8		-	-
Management Score - Excluding Controversies	3.8		3.8		3.8		-	-
Practices Score	3.8		3.8		3.8		-	-
Scope of workforce eligibility for variable performance-based component to pay	0.0	16.7%	0.0	16.7%	0.0	16.7%	-	-
Workforce eligible for paid parental leave policy	0.0	16.7%	0.0	16.7%	0.0	16.7%	-	-
Support for degree programs or certifications for employees	5.0	12.5%	5.0	12.5%	5.0	12.5%	-	-
Skills and knowledge development training	5.0	12.5%	5.0	12.5%	5.0	12.5%	-	-
Employee satisfaction survey frequency	7.0	25.0%	7.0	25.0%	7.0	25.0%	-	-
Employee equity programs	5.0	16.7%	5.0	16.7%	5.0	16.7%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Privacy & Data Security Key Issue Score	5.8	16.0%	5.8	16.0%	5.7	16.0%	-0.1	-
Exposure Score	5.3		5.3		5.4		0.1	-
Business Segment Exposure Score	4.0		4.0		4.0		-	-
Geographic Exposure Score	8.3		8.3		8.3		-	-
Company-Specific Exposure Score	10.0		10.0		10.0		-	-
Management Score	4.1		4.1		4.1		-	-
Management Score - Excluding Controversies	4.1		4.1		4.1		-	-
Practices Score	4.1		4.1		4.1		-	-
Responsibility for privacy and data security	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Scope of data protection policy	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Rights provided to consumers regarding the control of their data	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Privacy enhancing technologies and initiatives	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Data protection programs covering suppliers and business partners	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Scope of employee training on privacy and data security	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Measures to address data breaches	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Consent policy for use of consumer data for secondary purposes	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Scope of information security management system certifications	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Frequency of audits of information security system	10.0	11.7%	10.0	11.7%	10.0	11.7%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

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Description	As of prior rating action date: Mar 23, 2026		As of last rating action date: Aug 03, 2026		As of last report update date: Nov 05, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
Supply Chain Labor standards Key Issue Score	2.0	16.0%	3.7	16.0%	3.7	16.0%	-	-
Exposure Score	8.9		8.9		8.9		-	-
Business Segment Exposure Score	10.0		10.0		10.0		-	-
Company-Specific Exposure Score	7.9		7.9		7.9		-	-
Management Score	4.0		5.7		5.7		-	-
Management Score - Excluding Controversies	5.7		5.7		5.7		-	-
Practices Score	5.7		5.7		5.7		-	-
Trains suppliers on labor related social issues	10.0	11.1%	10.0	11.1%	10.0	11.1%	-	-
Supplier selection based on labor management performance	2.0	11.1%	2.0	11.1%	2.0	11.1%	-	-
Evidence of supplier audits	10.0	11.1%	10.0	11.1%	10.0	11.1%	-	-
Scope of supplier audits	8.0	11.1%	8.0	11.1%	8.0	11.1%	-	-
Scope of supplier code of conduct	10.0	11.1%	10.0	11.1%	10.0	11.1%	-	-
Action taken to address supplier misconduct	3.0	11.1%	3.0	11.1%	3.0	11.1%	-	-
Effectiveness of Grievance Mechanisms	3.0	11.1%	3.0	11.1%	3.0	11.1%	-	-
Extent of disclosure on instances of supplier misconduct	5.0	11.1%	5.0	11.1%	5.0	11.1%	-	-
Commitment to pay living wage for workers in supply chains	0.0	11.1%	0.0	11.1%	0.0	11.1%	-	-
Controversy Deduction	-1.7		0.0		0.0		-	-
Chemical Safety Key Issue Score	8.3	5.0%	8.3	5.0%	8.2	5.0%	-0.1	-
Exposure Score	3.6		3.6		3.6		-	-
Business Segment Exposure Score	3.0		3.0		3.0		-	-
Geographic Exposure Score	7.2		7.2		7.2		-	-
Management Score	4.9		4.9		4.9		-	-
Management Score - Excluding Controversies	4.9		4.9		4.9		-	-
Practices Score	4.9		4.9		4.9		-	-
Scope of chemical phase-out plan	3.0	12.5%	3.0	12.5%	3.0	12.5%	-	-
Level of efforts to identify substances for regulatory risk	6.0	12.5%	6.0	12.5%	6.0	12.5%	-	-
Initiatives to improve consumer awareness on product chemical content	0.0	18.8%	0.0	18.8%	0.0	18.8%	-	-
Environmental and health standards in new product design	7.0	18.8%	7.0	18.8%	7.0	18.8%	-	-
Scope of disclosure of registration and use of regulated substances	3.0	18.8%	3.0	18.8%	3.0	18.8%	-	-
Reducing reliance on substances of concern (product manufacturers)	10.0	18.8%	10.0	18.8%	10.0	18.8%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Governance Pillar Score*	7.1	33.0%	7.3	33.0%	7.3	33.0%	-	-
Corporate Governance Key Issue Score	7.2		7.4		7.4		-	-
Board	8.6		8.6		8.6		-	-
Pay	6.4		7.3		7.3		-	-
Ownership & Control	6.9		6.9		6.9		-	-
Accounting	8.2		8.2		8.2		-	-
Corporate Behavior Score	8.3		8.3		8.3		-	-

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Description	As of prior rating action date: Mar 23, 2026		As of last rating action date: Aug 03, 2026		As of last report update date: Nov 05, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
Business Ethics	8.3		8.3		8.3		-	-
Tax Transparency	10.0		10.0		10.0		-	-

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

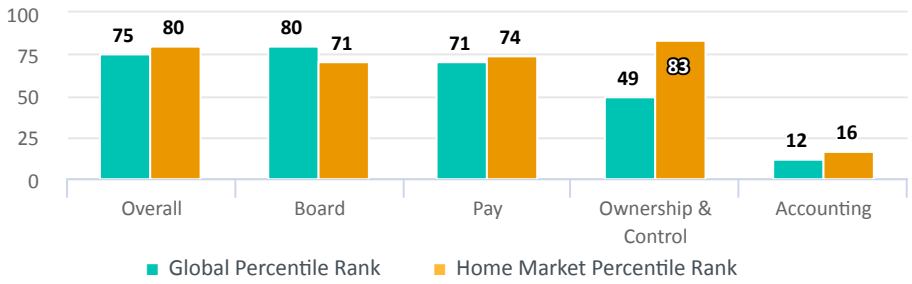
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Corporate Governance

Score	Change (since rating)	Quartile	Last score change date
7.4	0.0	●●●	Aug 03, 2026

Market Cap: 1,148,842,175 USD **Home Market:** United States **Last Data Update:** Jun 03, 2026

GOVERNANCE THEMES AND RANKINGS



SUMMARY

CARTER'S falls into the average scoring range for all the companies we assess relative to global peers, although we identify governance risks in relation to accounting and financial reporting practices which may warrant review by investors.

KEY AREAS OF CONCERN* SCORING DEDUCTIONS

Board Effectiveness **(-0.50)**
- Overboarded Non-Exec Directors

Pay Performance Alignment **(-0.40)**
- Short-Term Pay Performance
- Pay Linked to Sustainability

Director Elections **(-0.40)**
- Majority Voting
- Proxy Access

KEY DATES

Financial Year End	December 28
Annual Filing Date	Apr 04, 2025
AGM Date	May 14, 2025

WEBSITE

https://www.carters.com/

**Key areas of concern include flagged key metrics within the three sub-issues that represent the largest scoring deductions. Please review the full report to see the complete set of flagged key metrics.*

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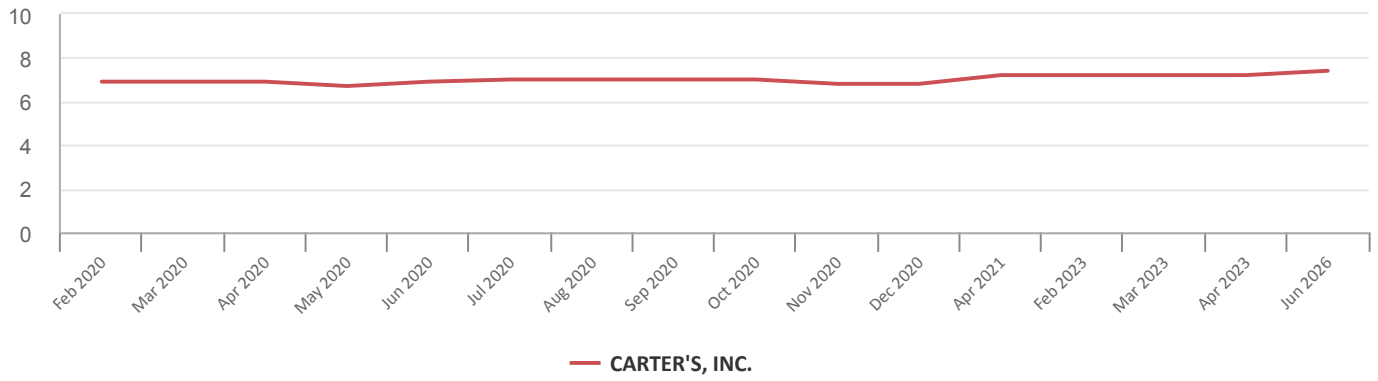
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LAST REPORT UPDATE: November 05, 2026

CORPORATE GOVERNANCE SCORE HISTORY



CHANGES TO FLAGGED KEY METRICS (SINCE JULY 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Jun 04, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 25, 2025	**-0.20**	
CEO Pay Total Fixed	Flag Removed	Sep 11, 2025	0.20	

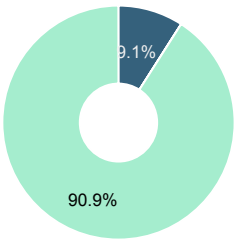
Note: A full list of score changes (including where there is no Key Metric Change) is included in the Appendix.

BOARD OVERVIEW

Board Type: Unitary Board

Board of Directors

CEO	Douglas C Palladini	Since: Apr 03, 2025
Chair	William Montgoris	Since: Jan 05, 2025



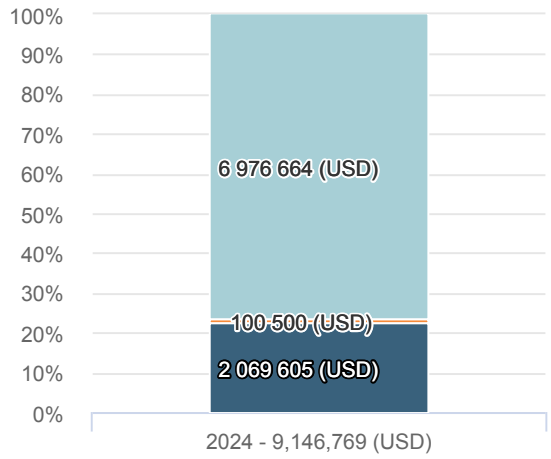
Executive Leadership

CFO	Richard Westenberger	Since: Jan 19, 2009

■Executive ■Links to Management ■Independent of Management

PAY OVERVIEW

Highest Paid Executive - Michael Casey



Long Term Incentives Awarded	6,976,664 (USD)
Short Term Incentives Awarded	100,500 (USD)
Fixed Pay	2,069,605 (USD)

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BOARD

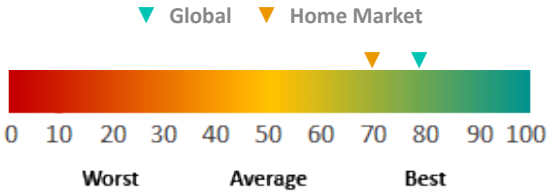
The CARTER'S board appears to be generally well organized to provide effective strategic oversight for the company management. We have flagged this board for potential concerns regarding some non-executives may have too many other public board commitments.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.6	80th (Above Average)	71st (Average)

KEY METRICS SCORING

	Deduction
AUDIT OVERSIGHT	
Audit Committee Industry Expert	-0.10
BOARD EFFECTIVENESS	
Overboarded Non-Exec Directors	-0.50
BOARD SKILLS & DIVERSITY	
Risk Management Expertise	-0.20

BOARD PERFORMANCE VS.



LEADERSHIP

CHIEF EXECUTIVE OFFICER

History	CEO Since	Until	Name	Gender	Age
Current	Apr 2025		Douglas C Palladini	M	58
Former	*Jan 2025*	*Apr 2025*	*Richard Westenberger*	*M*	*56*
Former	*Jan 2008*	*Jan 2025*	*Michael Casey*	*M*	*64*

CHIEF FINANCIAL OFFICER

History	CFO Since	Until	Name	Gender	Age
Current	Jan 2009		Richard Westenberger	M	56

CHAIR

History	Chair Since	Until	Name	Gender	Age
Current	Jan 2025		William Montgoris	M	78
Former	*Aug 2009*	*Jan 2025*	*Michael Casey*	*M*	*64*

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BOARD OF DIRECTORS

The CARTER'S board currently has an independent majority, which enables it to more effectively fulfill its critical function of overseeing management on behalf of shareholders. Additionally, the company has split the roles of CEO and chair and has named a fully independent chairman. An independent chairman is characteristic of 40% of companies in MSCI ESG Research's coverage.

Number of Board Meetings: 15

Non-executives meet in absence of Executives: Yes

Name	M/F	Age	Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Management Link/ Designation Reason	Nationality
Douglas C Palladini CEO I	**M**	**58**	**1**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Gretchen Schar $	F	71	6	2	Yes	Yes		Not Disclosed
Hali Borenstein I	F	40	6	1	Yes	Yes		Not Disclosed
Jeffrey Black $	M	71	4	2	Yes	Yes		United States of America
Jevin Eagle	M	58	15	1	Yes	Yes		Not Disclosed
Luis Borgen $	M	56	4	2	Yes	Yes		Not Disclosed
Mark Hipp $	M	63	8	1	Yes	Yes		Not Disclosed
Rochester (Rock) Anderson Jr.	M	63	4	1	Yes	Yes		Not Disclosed
Stacey Rauch	F	68	4	1	Yes	Yes		United States of America
Stephanie Stahl	F	59	4	4	Yes	Yes		Not Disclosed
William Montgoris COB $	M	78	18	1	Yes	Yes		Not Disclosed

	F	# >= 70	# >= 15 yrs	# >= 4			
Total (of 11)	4	3	2	1	10	11	
Percentage	36.4%	27.3%	18.2%	9.1%	90.9%	100%	

Note: Board count includes the membership of this board.

$ - Financial Expert (5) I - Industry Expert (2) CEO - Chief Executive Officer COB - Chair of the Board

BOARD EFFECTIVENESS

We note that 19% of companies in United States are flagged for overboarded directors.

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Nomination Committee - Number Of Meetings: 5

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Hali Borenstein I	F	40	6	Yes	Yes	Member
Stacey Rauch	F	68	4	Yes	Yes	Member
Stephanie Stahl	F	59	4	Yes	Yes	Member
William Montgoris $	M	78	18	Yes	Yes	Chair

$ - Financial Expert I - Industry Expert

BOARD SKILLS & DIVERSITY

A board with one or more active CEOs and overboarded directors may not be able to provide effective oversight of management. Their other roles may limit the time and attention required to fulfill their fiduciary duties.

AUDIT OVERSIGHT

Audit Committee - Number Of Meetings: 9

The CARTER'S board of directors includes a fully independent audit committee and at least one member of that committee meets our standards for financial expertise.

Name	M/F	Age	Board Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Committee Status
Gretchen Schar $	F	71	6	2	Yes	Yes	Chair
Jeffrey Black $	M	71	4	2	Yes	Yes	Member
Luis Borgen $	M	56	4	2	Yes	Yes	Member
Mark Hipp $	M	63	8	1	Yes	Yes	Member
Stacey Rauch	F	68	4	1	Yes	Yes	Member

$ - Financial Expert (4)

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Risk Committee - Number Of Meetings: 9

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Gretchen Schar $	F	71	6	Yes	Yes	Chair
Jeffrey Black $	M	71	4	Yes	Yes	Member
Luis Borgen $	M	56	4	Yes	Yes	Member
Mark Hipp $	M	63	8	Yes	Yes	Member
Stacey Rauch	F	68	4	Yes	Yes	Member

$ - Financial Expert (4)

PAY OVERSIGHT

Pay Committee - Number Of Meetings: 13

The CARTER'S board includes an independent pay committee, which is considered best practice for oversight of executive pay according to international corporate governance standards.

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	CEO Role?	Committee Status
Jevin Eagle	M	58	15	Yes	Yes		Chair
Luis Borgen $	M	56	4	Yes	Yes		Member
Mark Hipp $	M	63	8	Yes	Yes		Member
Rochester (Rock) Anderson Jr.	M	63	4	Yes	Yes		Member
Stephanie Stahl	F	59	4	Yes	Yes		Member

$ - Financial Expert (2)

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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PAY

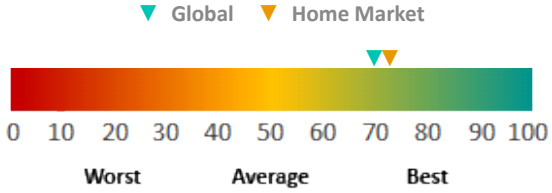
Executive pay practices at CARTER'S fall into the average scoring range relative to global peers.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
7.3	71st (Average)	74th (Average)

KEY METRICS SCORING

	Deduction
PAY FIGURES	
Internal Pay Equity	-0.20
PAY PERFORMANCE ALIGNMENT	
Short-Term Pay Performance	-0.20
Pay Linked to Sustainability	-0.20

PAY PERFORMANCE VS.



PAY FIGURES

EXECUTIVE PAY - 2024

Executive	Title	Tenure (Years)	Total Awarded Pay (USD)	Total Realized Pay (USD)
Allison Peterson I	Executive		3,084,148	583,958
Brian Lynch I	Executive		1,509,320	3,539,164
Kendra Krugman I	Executive		2,584,347	2,195,789
Michael Casey I $	Executive	N/A (Resigned)	9,146,769	5,681,700
Raghu Sagi I	Executive		1,451,207	451,087
Richard Westenberger I R $	CFO	N/A (Resigned)	2,582,918	2,564,346

$ - Financial Expert (2) I - Industry Expert (6) R - Risk Management Expert

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PAY PEER GROUP

SMALLCAP - DEVELOPED AMERICAS - SPECIALTY RETAIL (32 COMPANIES)

Company	Home Market	Market Cap (USD m)	Pay Year	1 Yr TSR	Total CEO Annual Pay (USD)	CEO Name	CEO Since
SONIC AUTOMOTIVE, INC.	United States	1,918	2025	0.00%	7,851,410	Smith	Sep 2018
THE BUCKLE, INC.	United States	2,177	2025	0.08%	5,993,082	Nelson	Mar 1997
AMERICAN EAGLE OUTFITTERS, INC.	United States	2,668	2024	-0.17%	5,480,503	Schottenstein	Jan 2014
ARHAUS, INC.	United States	1,710	2025	0.19%	4,649,751	Reed	Jul 2021
CAMPING WORLD HOLDINGS, INC.	United States	344	2025	-0.52%	4,501,082	Lemonis	Mar 2016
ASBURY AUTOMOTIVE GROUP, INC.	United States	3,758	2025	-0.04%	3,735,932	Hult	Jan 2018
GROUP 1 AUTOMOTIVE, INC.	United States	2,872	2024	0.39%	3,670,806	Kenningham	Jan 2023
PETCO HEALTH AND WELLNESS COMPANY, INC.	United States	687	2025	-0.21%	3,366,903	Anderson	Jul 2024
SALLY BEAUTY HOLDINGS, INC.	United States	1,676	2025	0.20%	3,112,503	Paulonis	Oct 2021
ADVANCE AUTO PARTS, INC.	United States	2,725	2025	-0.15%	2,786,400	O'Kelly	Sep 2023
MONRO, INC.	United States	416	2026	0.18%	2,737,430	Fitzsimmons	Mar 2025
Bob's Discount Furniture, Inc	United States	2,071	2025	0.00%	2,657,882	Barton	Oct 2020
BOOT BARN HOLDINGS, INC.	United States	3,458	2026	0.36%	2,561,762	Hazen	Nov 2024
ACADEMY SPORTS AND OUTDOORS, INC.	United States	3,748	2026	0.06%	2,560,131	Lawrence	Jun 2023
ETHAN ALLEN INTERIORS INC.	United States	513	2025	0.07%	2,315,346	Kathwari	Sep 1988
STITCH FIX, INC.	United States	455	2025	0.00%	2,307,369	Baer	Jun 2023
SHOE STATION GROUP, INC.	United States	353	2024	0.08%	2,271,012	Worden	Sep 2021
LEON'S FURNITURE LIMITED	Canada	1,150	2025	0.18%	2,124,392	Walsh	Jul 2021
THE REALREAL, INC.	United States	1,387	2025	0.44%	2,117,607	Levesque	Oct 2024
MARINEMAX, INC.	United States	1,158	2025	0.07%	1,760,193	McGill	Oct 2018
GENESCO INC.	United States	374	2025	0.50%	1,709,741	Vaughn	Feb 2020
CALERES, INC.	United States	454	2025	-0.32%	1,643,914	Schmidt	Jan 2023
Winmark Corporation	United States	956	2025	-0.03%	1,408,161	Heffes	Feb 2016
RH	United States	2,570	2025	-0.53%	1,262,000	Friedman	Jul 2013
.....							
WARBY PARKER INC.	United States	3,209	2025	-0.10%	591,500	Blumenthal	Jan 2010
WARBY PARKER INC.	United States	3,209	2025	-0.10%	589,000	Gilboa	Jan 2010
REVOLVE GROUP, INC.	United States	1,530	2025	-0.10%	484,573	Karanikolas	Jun 2019
REVOLVE GROUP, INC.	United States	1,530	2025	-0.10%	469,623	Mente	Jun 2019
CARTER'S, INC.	**United States**	**1,149**		**0.00%**		**Douglas C Palladini**	**Apr 2025**

Due to the large size of this peer group, only a subset of companies is displayed in this table.

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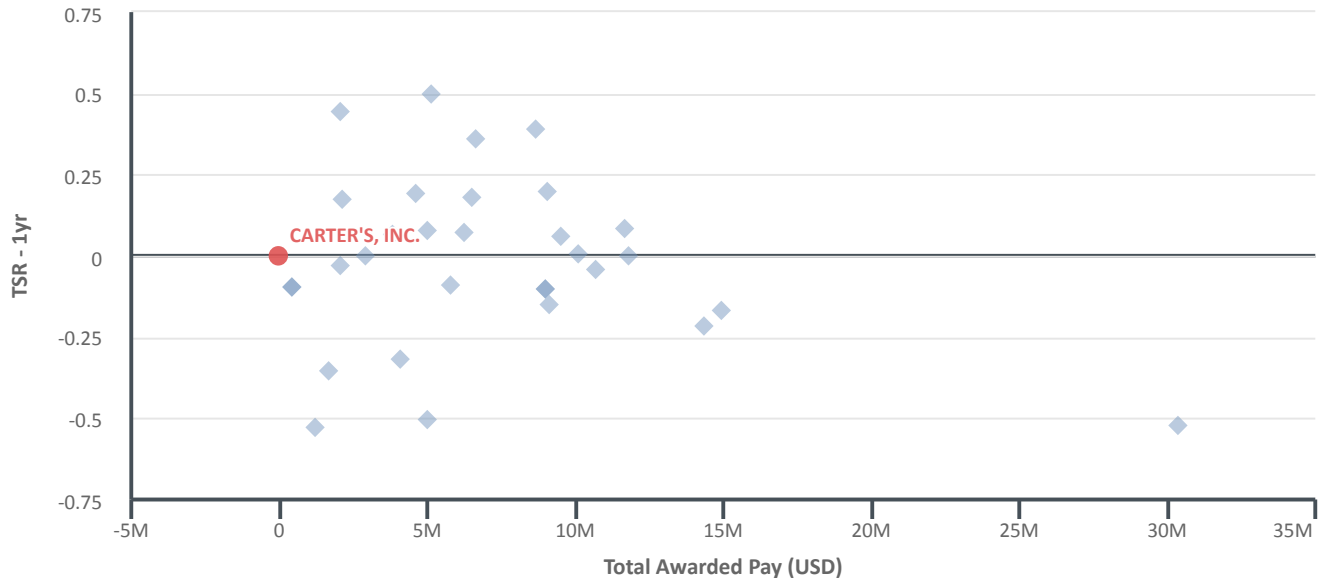
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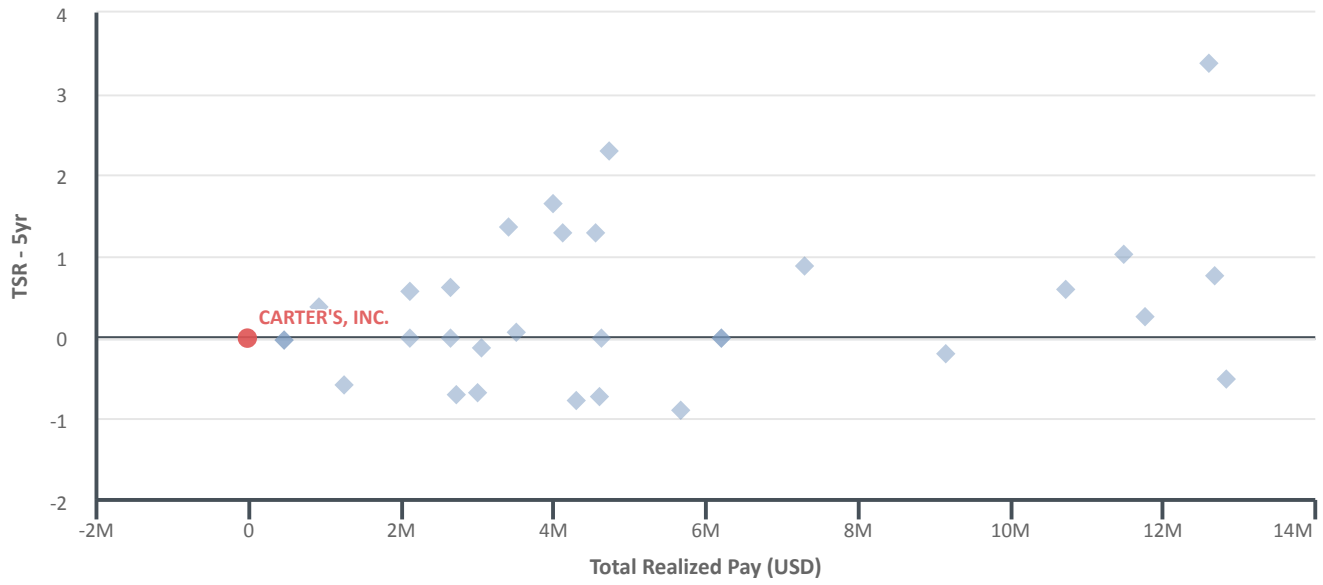
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CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

PAY PERFORMANCE ALIGNMENT

CEO & EXECUTIVE EQUITY

CEO equity policy as a multiple of salary: **7.0**

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STOCK OWNERSHIP GUIDELINES AND EQUITY RETENTION POLICY

Chief Executive Officer & President = 7x

Executive	Tenure (Years)	Shares Held	YoY % Change	Shareholding As % of Salary
Allison Peterson I		55,280		
Brian Lynch I		16,880		
Douglas C Palladini I	1	0		
Kendra Krugman I		87,833		
Michael Casey I $	N/A (Resigned)	367,091	-18.54%	
Raghu Sagi I		29,844		
Richard Westenberger I R $	N/A (Resigned)	144,889	26.22%	

$ - Financial Expert (2) I - Industry Expert (7) R - Risk Management Expert

PAY LINKED TO SUSTAINABILITY

The company has failed to incorporate links to sustainability performance in its current incentive pay policies.

CLAWBACK & MALUS

Clawback or malus provisions are in place.
Clawback Type: **Performance Based**

SEVERANCE & CHANGE OF CONTROL

CEO	Annual Pay (USD)	Potential Cash Severance - Involuntary (USD)	Potential Cash Severance - Change of Control (USD)	Multiple of Annual Pay – Involuntary	Multiple of Annual Pay – Change of Control
Michael Casey I $	2,170,105 USD	2,815,573 USD	4,173,109 USD	1.30 times	1.92 times

$ - Financial Expert I - Industry Expert

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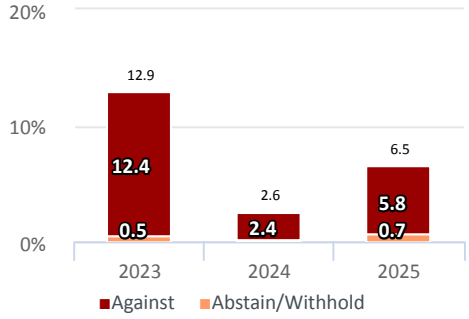
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LATEST PAY VOTES

Year	Vote Type	Votes For %	Votes Against %	Abstain %
2025	Advisory Vote on Executive Compensation	93.4%	5.8%	0.7%

Vote Results History
Say on Pay Vote



EQUITY PLAN DILUTION

	2024	2023	2022
Shares Outstanding	36,010,750	36,480,603	37,653,983
Equity Reserved	6.1%	7.3%	8.5%
Shares granted/awarded (in year)	1%	1.1%	0.9%

NON-EXECUTIVE DIRECTOR PAY

NON-EXECUTIVE EQUITY

Director	Tenure (Years)	Shares Held
Gretchen Schar $	6	13,066
Hali Borenstein I	6	12,519
Jeffrey Black $	4	8,628
Jevin Eagle	15	18,241
Luis Borgen $	4	8,996
Mark Hipp $	8	12,509
Rochester (Rock) Anderson Jr.	4	8,628
Stacey Rauch	4	8,628
Stephanie Stahl	4	8,628
William Montgoris $	18	45,203

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NON-EXECUTIVE PAY TABLES

Director	Tenure (Years)	Cash Fees	Other Comp	Stock Award	Total Pay	Total Pay (USD)
Gretchen Schar $	6	158,000 USD		160,006 USD	318,006 USD	318,006
Hali Borenstein I	6	123,000 USD		160,006 USD	283,006 USD	283,006
Jeffrey Black $	4	119,000 USD		160,006 USD	279,006 USD	279,006
Jevin Eagle	15	148,000 USD		160,006 USD	308,006 USD	308,006
Luis Borgen $	4	132,000 USD		160,006 USD	292,006 USD	292,006
Mark Hipp $	8	133,000 USD		160,006 USD	293,006 USD	293,006
Rochester (Rock) Anderson Jr.	4	122,000 USD		160,006 USD	282,006 USD	282,006
Stacey Rauch	4	135,000 USD		160,006 USD	295,006 USD	295,006
Stephanie Stahl	4	167,000 USD		160,006 USD	327,006 USD	327,006
William Montgoris $	18	191,000 USD		160,006 USD	351,006 USD	351,006

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CONTROVERSIES & EVENTS

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OWNERSHIP & CONTROL

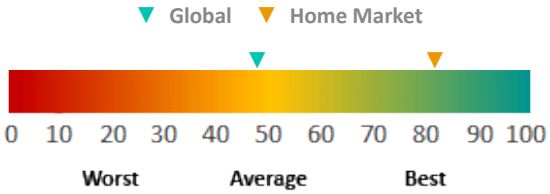
The company's ownership structure and shareholder rights at CARTER'S fall within the average scoring relative to global peers.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
6.9	49th (Average)	83rd (Above Average)

KEY METRICS SCORING

	Deduction
DIRECTOR ELECTIONS	
Majority Voting	-0.20
Proxy Access	-0.20
SHAREHOLDER RIGHTS	
Bylaws Amendments	-0.10
Shareholder Rights to Convene Meeting	-0.20
TAKEOVER PROVISIONS	
Constituency Provision	-0.10
Fair Bid Treatment Provisions	-0.10

OWNERSHIP & CONTROL PERFORMANCE VS.



CORPORATE STRUCTURE

Public Company

CAPITAL STRUCTURE

Capital Type	Votes Per Share	Shares Outstanding
Common Stock	1.0	36,237,114

OWNERSHIP STRUCTURE

OWNERSHIP CATEGORIES

- Principal Shareholder

NOTABLE SHAREHOLDERS

BlackRock, Inc. - 12.3% The Vanguard Group, Inc. - 10.1%	**12.3%**
5%+ shareholders - Aggregate Voting Power	**35.6%**
Insider Voting Power	**2%**

The company does not have a special capital structure, thus one vote right is afforded per common share. This principle of 'one share one vote' helps align economic and voting power and ensures that no class of shareholders has more voting power than economic exposure.

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TAKEOVER PROVISIONS

Fair Price Provision	Mandatory Bid Provision	Mandatory Bid Ownership Threshold
No	No	

State of Incorporation	Business Combination Provision
Delaware	No

% of Votes to Approve a Merger
51%

GOVERNING DOCUMENTS

The company opts out of Section 203 of the DGCL, a provision related to Business Combinations.

MAJORITY REQUIREMENTS

	Bylaws	Charter
Default percentage of votes required to amend a provision	51%	51%

Bylaws p. 22

Subject to the provisions of the Certificate of Incorporation, these By-Laws may be adopted, amended or repealed at any annual or special meeting of stockholders, by the affirmative vote of the holders of a majority of the voting power of the stock issued and outstanding and entitled to vote thereat. Subject to the provisions of the Certificate of Incorporation, these By-Laws may also be altered, amended or repealed, and new By-Laws adopted, by the Board of Directors, acting by majority vote of the entire Board, subject to the right of the stockholders to adopt, amend or repeal the By-Laws as provided above.

COI p. 5

Subject to the provisions of the Certificate of Incorporation, these By-Laws may be adopted, amended or repealed at any annual or special meeting of stockholders, by the affirmative vote of the holders of a majority of the voting power of the stock issued and outstanding and entitled to vote thereat. Subject to the provisions of the Certificate of Incorporation, these By-Laws may also be altered, amended or repealed, and new By-Laws adopted, by the Board of Directors, acting by majority vote of the entire Board, subject to the right of the stockholders to adopt, amend or repeal the By-Laws as provided above.

SHAREHOLDER RIGHTS

There may be governance risks for investors in relation to shareholder rights and management-controlled takeover defense mechanisms at CARTER'S including:

- The board's ability to amend the company's bylaws without shareholder approval
- constituency provisions that may be invoked to deter tender offers regarded as hostile by current management
- fair price provisions that fail to ensure that all shareholders are treated fairly
- Limits on the right of shareholders to convene a special or emergency general meeting

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SHAREHOLDER MEETINGS & RESOLUTIONS

	Call Special Meeting	Requisition a Resolution at AGM	Act by Written Consent
Percentage of shares required	35%		51%

RESTRICTIONS ON LEGAL ACTION BY SHAREHOLDERS

An exclusive forum provision is in place.

SAY ON PAY

We note that shareholder votes on executive pay are mandatory in this market, affording shareholders the ability to review and approve executive pay practices at this company.

DIRECTOR ELECTIONS

BOARD RE-ELECTION PROVISIONS

Board Re-election Provisions	
Board Re-election Frequency (Years)	1
% of Board subject to re-election	100%

DIRECTOR ELECTION STANDARD

The company has not adopted a binding majority director election standard (with immediate resignation if the director does not receive a majority of the votes cast), which may limit shareholders' ability to hold members of the board accountable in uncontested elections.

Director Election Rules	
Vote Standard	Majority & Resignation Policy
Immediate Binding Resignation	No

2025 DEF 14A p. 2

Each of their directors stands for election annually and thereafter holds office for a one-year term.

2025 DEF 14A p. 80

Pursuant to their Bylaws, a nominee will be elected if the number of votes properly cast "for" such director nominee exceed the number of votes cast "against" that nominee. Any nominee not receiving such majority, who is then serving as a director, must tender his or her resignation for consideration by the Board. Any nominee appointed to the Board, subject to shareholder approval, will not have been elected as a director at the Annual Meeting. Abstentions and broker non-votes will not have any impact on the outcome of this vote.

PROXY ACCESS

No proxy access provision has been identified.

Proposals on Proxy Access

No recent votes, whether filed by management or by shareholders, seeking the adoption of proxy access have been identified

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

ACCOUNTING

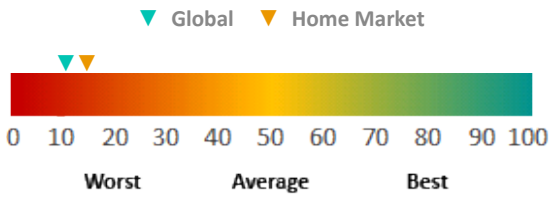
Based on the company's disclosures and other public information, accounting and financial reporting practices at CARTER'S may warrant close attention from shareholders. We have flagged this company for potential concerns regarding the length of tenure of the external audit firm.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.2	12th (Below Average)	16th (Below Average)

KEY METRICS SCORING

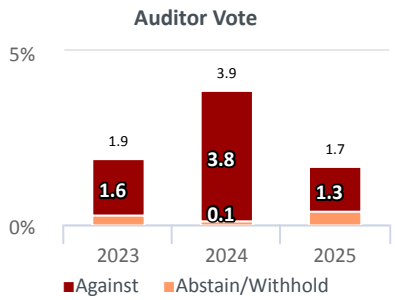
	Deduction
AUDITOR INDEPENDENCE	
Auditor Tenure	-0.30

ACCOUNTING PERFORMANCE VS.



EXTERNAL AUDITORS

Type	Since	Firm	Most Recent Fiscal Year End Signed Off
Primary	1968	PricewaterhouseCoopers LLP	2024

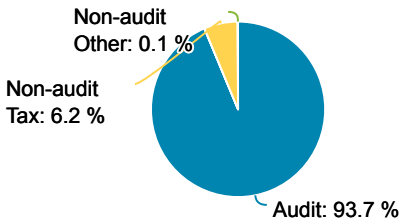


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AUDITOR FEES

Fees paid to: PricewaterhouseCoopers LLP (Primary)

Fee	Dec 28, 2024 (USD)	Dec 30, 2023 (USD)	Dec 31, 2022 (USD)
Audit	2,331,100	2,079,000	2,279,700
Audit Related			92,000
Total Audit + Audit Related	**2,331,100**	**2,079,000**	**2,371,700**
Tax Compliance/ Advice	155,000	0	7,000
Other Non-audit Services	2,000	4,500	4,500
Total Non-audit Fees	**157,000**	**4,500**	**11,500**
Total Fees	**2,488,100**	**2,083,500**	**2,383,200**



AUDITOR'S REPORT

	Dec 28, 2024	Dec 30, 2023	Jan 01, 2022
Report Disclosed	Yes	Yes	Yes
Opinion	Unqualified Opinion	Unqualified Opinion	Unqualified Opinion
Emphasis of Matter	No	No	No

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

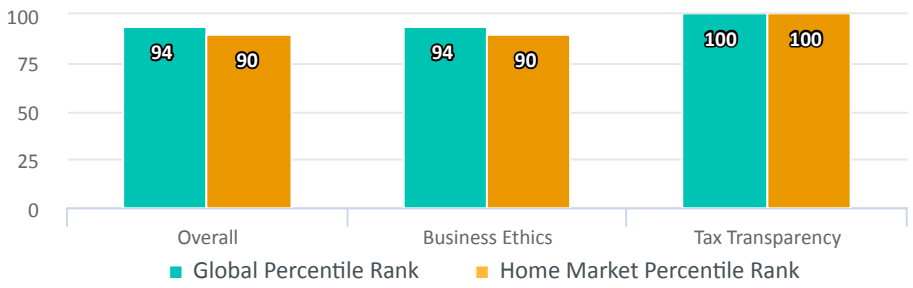
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Corporate Behavior

0-10 Score	Change (since rating)	Quartile	Last score change date
8.3	0.0	●●●●	Aug 03, 2026

CORPORATE BEHAVIOR THEME AND KEY ISSUE RANKINGS



METHODOLOGY NOTE

This theme evaluates the extent to which companies may face ethics issues such as fraud, executive misconduct, corruption scandals, money laundering, anti-trust violations, or tax-related controversies.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

KEY AREAS OF CONCERN*

SCORING DEDUCTIONS

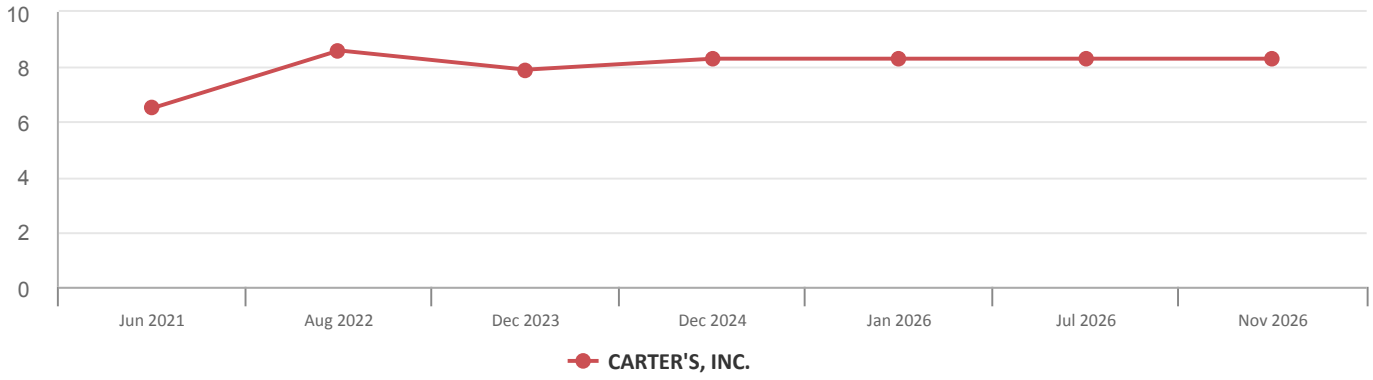
Business Ethics Policies & Practices **(-1.70)**

Regular Audits of Ethical Standards

Employee Training on Ethical Standards

**Key areas of concern include flagged key metrics that represent the largest scoring deductions. Please review the full report to see a complete set of flagged key metrics.*

CORPORATE BEHAVIOR SCORE HISTORY



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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

BUSINESS ETHICS

KEY METRICS SCORING

	Deduction
BUSINESS ETHICS POLICIES & PRACTICES	**-1.70**
Regular Audits of Ethical Standards	-0.70
Employee Training on Ethical Standards	-1.00

Note: Business Ethics Policies & Practices deductions as well as Business Ethics Risk & Controversies are capped at a maximum of -7.0. Cumulative deductions are capped at 10.

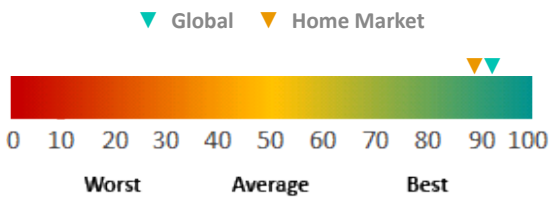
0-10 Score	Change (since rating)	Global Percentile Rank	Home Market Percentile Rank
8.3	0.0	94th (Above Average)	90th (Above Average)

METHODOLOGY NOTE

Companies are evaluated on their oversight and management of business ethics issues such as fraud, executive misconduct, corrupt practices, money laundering, or anti-trust violations.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

BUSINESS ETHICS VS.



BUSINESS ETHICS POLICIES & PRACTICES

Indicators	Company Practice	Best Practice	Deduction
Responsibility for ethics issues	Board-level committee	Board-level committee or C-suite or Executive committee	0.00
Policy against bribery and corruption	Detailed formal policy on bribery and anti-corruption	Detailed formal policy on bribery and anti-corruption	0.00
Regular Audits of Ethical Standards	Evidence of audits but no specific details / Audits conducted but not on a regular schedule	Audits of all operations at least once every three years	-0.70
Whistleblower protection	Policy provides whistleblowers with protection from retaliation	Policy provides whistleblowers with protection from retaliation	0.00
Employee training on ethical standards	General statements on employee training on ethical standards	Programs covering all employees (including part-time) and contractors	-1.00
Policy against bribery and corruption for suppliers	NA	All suppliers are required to have anti-corruption policies and programs to verify compliance	0.00
Anti-money laundering policy	NA	Policy and implementation strategy articulated	0.00

**Business Ethics Policies & Practices deductions are capped at a maximum of -7.0.*

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

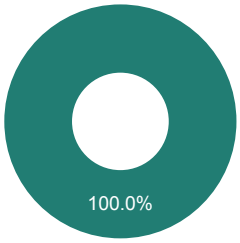
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

CORRUPTION RISK EXPOSURE

Exposure to: Regulatory risks or lost market access due to corruption scandals or political and social instability
Business Types : Percentage of operations in business segments perceived most likely to pay or receive bribes

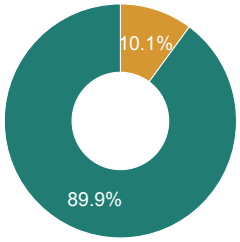
■ High Risk ■ Medium Risk ■ Low Risk



■ No exposure to high risk segments
■ No exposure to medium risk segments
■ Children apparel stores, Clothing and accessories wholesale

Source: Foreign Corrupt Practices Act (FCPA) enforcement actions, U.S. Securities and Exchange Commission (SEC); EU public procurement data, Opentender.eu; State Capture Analysis, World Bank; Lobbying data, OpenSecrets.org; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with high/moderate/low level of corruption and political instability, violence or terrorism



■ No operations in markets with high risks
■ other countries
■ USA, Canada

Source: Corruption Perception Index, Transparency International; Control of Corruption Index, World Governance Indicator; MSCI Sustainability & Climate; Refinitiv; company disclosures.

CORRUPTION RISK EXPOSURE SCORING DEDUCTION KEY

% of operations in medium and high risk geographies	% of operations in high risk business segments	>=20% government ownership	<20% government ownership	No evidence of government ownership
20% or more	50% or more	-4.00	-2.60	-2.00
	Less than 50%	-1.20	-1.20	-1.20
Less than 20%	50% or more	-0.60	-0.60	-0.60
	Less than 50%	0.00	0.00	0.00

**The Corruption Risk and Controversies Deduction is based on the maximum of deductions from the corruption risk exposure and corruption controversies category listed below*

BUSINESS ETHICS CONTROVERSIES

Controversy Cases

Category	Assessment	Headline	Status	Last Updated	Deduction
Business Ethics & Fraud	--	**No ongoing controversies.**	--	--	--
Anticompetitive Practices	--	**No ongoing controversies.**	--	--	--
Corruption	--	**No ongoing controversies.**	--	--	--

**The maximum deductions from the Anticompetitive Practices and Business Ethics & Fraud categories are summed to arrive at the overall Business Ethics Controversies deduction, which is capped at a maximum of -7.0.*

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

TAX TRANSPARENCY

0-10 score	Change (since rating)	Global Percentile Rank	Home Market Percentile Rank
10.0	0.0	100th (Best In Class)	100th (Best In Class)

TAX GAP ASSESSMENT

Indicators

Tax Gap

Estimated Effective Tax Rate	21.1%
Estimated Corporate Income Tax Rate	26.9%
Estimated Tax Gap	(5.8%)
Tax Gap Assessment	Moderate Gap

Revenue

Foreign Revenue	14.9%

Confidence

Confidence Level of Estimation	

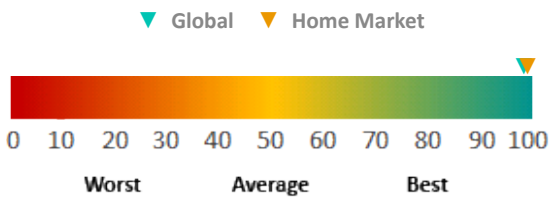
Involvement in Controversies 0.0

METHODOLOGY NOTE

Companies are evaluated on their estimated corporate tax gap (i.e. gap between estimated effective tax rate and estimated corporate income tax rate) and their involvement in tax-related controversies.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

TAX TRANSPARENCY VS.



TAX CONTROVERSIES

Controversy Cases

Category	Assessment	Headline	Status	Last Updated	Deduction
Tax Transparency	--	**No ongoing controversies.**	--	--	--

TAX CONTROVERSIES SCORING DEDUCTION KEY

Involvement in tax controversies	Estimated tax gap	Tax gap assessment	Deduction
Yes	Below 5%	Low	-0.80
	5-10%	Moderate	-1.40
	Above 10%	High	-2.00
No	Below 5%	Low	0.00
	5-10%	Moderate	0.00
	Above 10%	High	0.00

Tax related controversies are not considered for companies in Real Estate Management services or Mortgage REITs industries. Tax gap assessment is effectively low for companies with less than 5% of total revenue categorized as foreign.

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

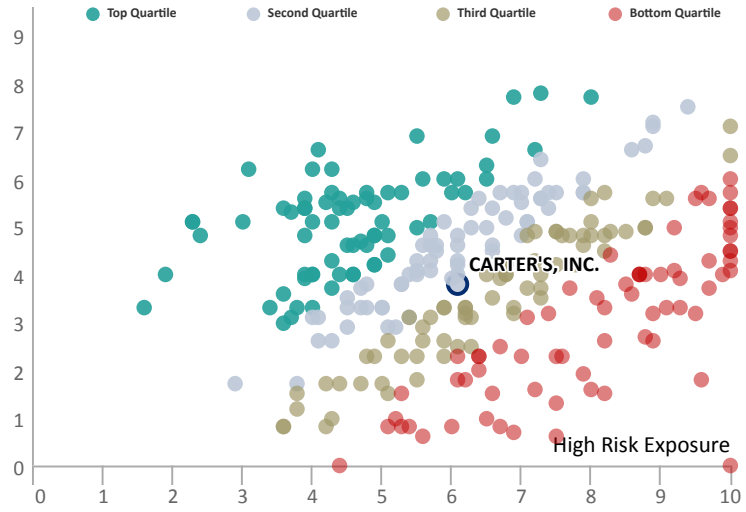
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

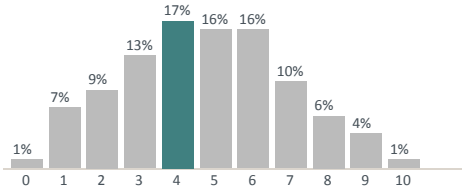
Labor Management

Score	Change (since rating)	Quartile	Weight	Last score change date
4.8	▼ -0.7	●●●	16.0%	Nov 05, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

Festi hf	10.0
Happinet Corp	9.8
SMITHS NEWS PLC	9.8
Zhejiang China Commodities City Group Co., Ltd	9.4
AUTOBACS SEVEN CO.,LTD.	9.3

BOTTOM 5 INDUSTRY LAGGARDS

Brainbees Solutions Limited	0.2
Thangamayil Jewellery Ltd	0.2
ADITYA BIRLA LIFESTYLE BRANDS LIMITED	0.0
V2 RETAIL LIMITED	0.0
VISHAL MEGA MART LIMITED	0.0

KEY ISSUE ASSESSMENT

Company	4.8
Industry	4.7

0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company	6.1
Industry	6.3

0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company	3.8
Industry	4.0

0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types

Company	7.2

0 5 10

Business Locations

Company	5.6

0 5 10

Drivers of Risk Management

Practices Score

Company	3.8

0 5 10

Controversy Deduction

Company	0.0

-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the complexity of their workforce (size, labor intensity, and regions of operation), employee relations, strength of worker protections, and employee engagement efforts.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

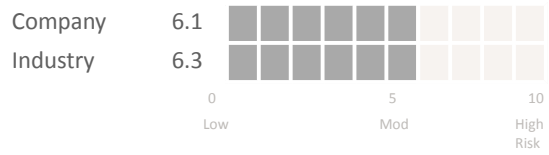
MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

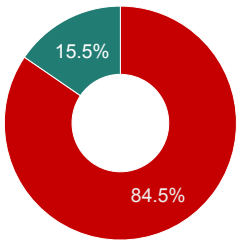
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of workflow disruptions due to labor unrest, or reduced productivity due to poor job satisfaction

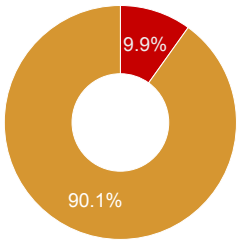
Business Types : Percentage of operations in business segments with high/moderate/low labor intensities, as measured by average sales per employee of industries



- Children apparel stores
- No exposure to medium risk segments
- Clothing and accessories wholesale

Source: MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with high/moderate/low likelihood of labor unrest (based on historic precedent)



- Canada
- USA, other countries
- No operations in markets with low risks

Source: International Labour Organization (ILO); MSCI Sustainability & Climate; Refinitiv; company disclosures.

Additional Drivers of Exposure

Size and Composition of Workforce

Number of Employees

Year	Number of employees
2024	15,349
2023	15,429
2022	15,584
2021	15,900
2020	18,000

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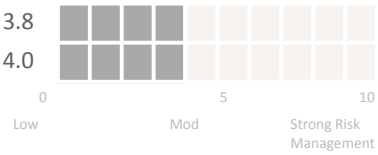
Layoffs Events

Major Layoffs:	**No**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	3.8
Industry	4.0



Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Scope of workforce eligibility for variable performance-based component to pay	No evidence of variable incentive pay for non-officer staff	Strong performance-based incentive pay structure covers all employees	0 (MID / TOP)	2
Workforce eligible for paid parental leave policy	No evidence	Benefits cover all employees	0 (MID / TOP)	3
Employee equity programs	ESOP or ESPP but scope of coverage is unknown	Sector-leading number of employees eligible for ESOP and/or ESPP	LOW 5 TOP	5
Support for degree programs or certifications for employees	Program exists but does not cover all employees	Program covers all employees (including part-time and contractors)	LOW 5 TOP	2
Employee satisfaction survey frequency	Surveys conducted sporadically	Surveys conducted annually	LOW 7 TOP	6
Skills and knowledge development training	Program exists but no indication of scope	Program covers all employees (including part-time and contractors)	LOW 5 TOP	4

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS **AAA**

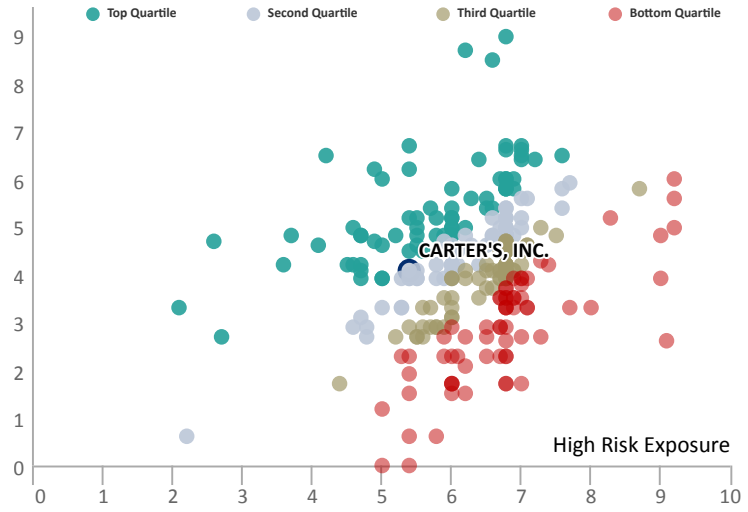
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

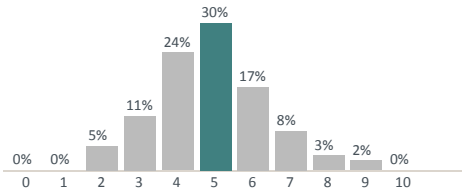
Privacy & Data Security

Score	Change (since rating)	Quartile	Weight	Last score change date
5.7	▼ -0.1	●●●	16.0%	Nov 05, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

JD.COM, INC.	9.4
JINS HOLDINGS Inc.	9.4
VIPSHOP HOLDINGS LIMITED	9.3
GENUINE PARTS COMPANY	9.0
MINISO GROUP HOLDING LIMITED	8.8

BOTTOM 5 INDUSTRY LAGGARDS

Festi hf	1.8
GROUPON, INC.	1.8
Rusta AB (publ)	1.7
Aditya Vision Ltd	1.6
PDD Holdings Inc.	0.5

KEY ISSUE ASSESSMENT

Company	5.7
Industry	4.9

0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company	5.4
Industry	6.3

0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company	4.1
Industry	4.2

0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 4.0
0 5 10

Business Locations
Company 8.3
0 5 10

Drivers of Risk Management

Practices Score
Company 4.1
0 5 10

Controversy Deduction
Company 0.0
-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the amount of personal data they collect, their exposure to evolving or increasing privacy regulations, their vulnerability to potential data breaches, and their systems for protecting personal data.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

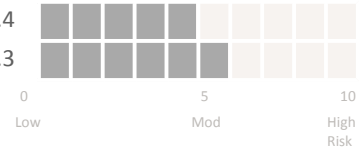
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
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EXPOSURE

RISK EXPOSURE ASSESSMENT

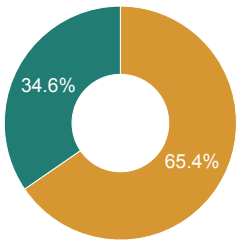
Company	5.4
Industry	6.3



Key Drivers of Risk Exposure

Exposure to: Risk of compliance cost increase or reputational damage from data breaches or controversial use of personal data

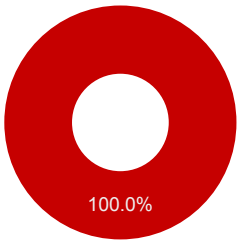
Business Types : Percentage of revenue derived from business segments that · require collection and/or handling of sensitive personal data · have witnessed high cost and frequency of data breaches



- No exposure to high risk segments
- Children apparel stores
- Clothing and accessories wholesale

Source: Ponemon Institute and IBM's Cost of a Data Breach report series; Verizon's Data Breach Investigations Report; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with strengthening or evolving data and privacy regulations, with high cost of data breaches



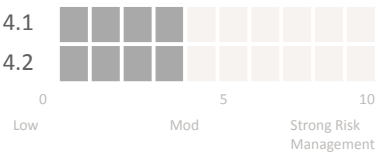
- USA, other countries, Canada
- No operations in markets with medium risks
- No operations in markets with low risks

Source: Ponemon Institute and IBM's Cost of a Data Breach report series; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	4.1
Industry	4.2



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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Data protection programs covering suppliers and business partners	No evidence	Yes - inspections are conducted to verify their compliance	0	4
Privacy enhancing technologies and initiatives	No evidence	Data protection safeguards integrated into product & service development	0	1
Consent policy for use of consumer data for secondary purposes	Opt-out for providing personal data to third parties for purposes other than completing transactions/services	Company does not rent, sell, or provide personal data to third parties for purposes other than completing transactions/ services	0	1
Scope of information security management system certifications	No evidence	Most (over 80%) owned operations are certified to widely accepted standards	0	1
Rights provided to consumers regarding the control of their data	Right of access and rectification of individuals' data	Right of access, rectification and deletion of individuals' data	5	4
Scope of data protection policy	Policy governs selected business lines/subsidiaries	Policy governs all relevant business lines/subsidiaries	5	7
Responsibility for privacy and data security	Special task force or risk officer	Board-level committee	5	6
Scope of employee training on privacy and data security	Training is provided to selected employees or scope unclear	Training is provided to all employees, including contractors	5	5
Measures to address data breaches	Proactive measures are in place	Both proactive and reactive measures are in place	5	6
Frequency of audits of information security system	External independent audits are conducted at least once every two years	External independent audits are conducted at least once every two years	10	4

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS **AAA**

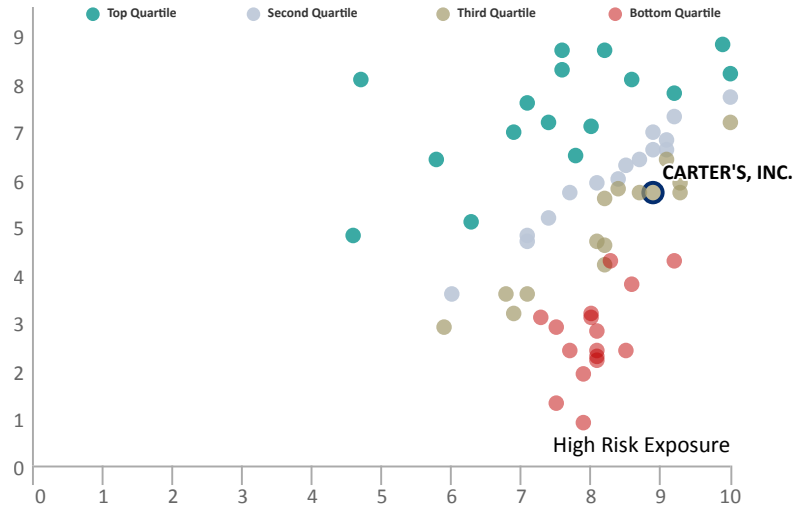
CCC | B | BB | BBB | A | AA | **AAA**

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

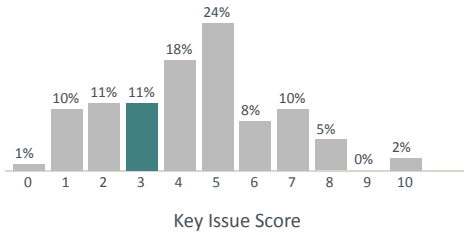
Supply Chain Labor Standards

Score	Change (since rating)	Quartile	Weight	Last score change date
3.7	0.0	●●	16.0%	Aug 03, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

KINGFISHER PLC	10.0
El Corte Ingles S.A.	8.1
C&A Modas S.A.	7.7
WH SMITH PLC	7.6
Lojas Renner S.A.	7.5

BOTTOM 5 INDUSTRY LAGGARDS

PEPKOR HOLDINGS LIMITED	1.2
LANDS' END, INC.	1.0
PAL Group Holdings Co Ltd	0.9
SHINSEGAE Inc.	0.8
ABC-MART,INC.	0.0

KEY ISSUE ASSESSMENT

Company 3.7
Industry 4.3
0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company 8.9
Industry 8.0
0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company 5.7
Industry 5.3
0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 10.0
0 5 10

Drivers of Risk Management

Practices Score
Company 5.7
0 5 10

Controversy Deduction
Company 0.0
-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the management and transparency of their supply chain and the working standards in the regions in which their suppliers are located.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS

AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

RISK EXPOSURE ASSESSMENT

Company	8.9
Industry	8.0



Additional Exposure Indicators

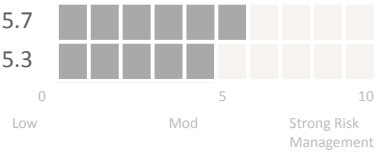
Footprint

Private label as percentage of sales (est.):	**100.00%**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	5.7
Industry	5.3



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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Supplier selection based on labor management performance	Labor management performance only used in initial screening for first-time suppliers	Preference shown for suppliers demonstrating superior labor management performance (e.g. factor is included in supplier "scorecard" along with price and quality)	LOW **2** TOP	3
Scope of supplier audits			8	6
Tier 1 supplier audits (direct suppliers)	Yes - Almost all Tier 1 suppliers or "high risk" suppliers identified through rigorous systematic analysis	Yes - Almost all Tier 1 suppliers or "high risk" suppliers identified through rigorous systematic analysis	—	—
Tier 2 suppliers audits (components)	Audits include Tier 2 suppliers (components)	Audits include Tier 2 suppliers (components)	—	—
Tier 3 suppliers audits (raw materials)	No	Yes - Includes at least some Tier 3 suppliers	—	—
Action taken to address supplier misconduct	General statement	Detailed action plan to correct specified issues	LOW **3** TOP	6
Effectiveness of Grievance Mechanisms	Grievance mechanism exists with limited detail	Comprehensive grievance mechanism available in local languages, with channels of communication specified and full safeguards	LOW TOP	4
Extent of disclosure on instances of supplier misconduct	Reports some information on instances of non-compliance but not in detail on types or frequency of violations	Reports detailed instances of non-compliance including types and frequency of violations	LOW **5** TOP	4
Trains suppliers on labor related social issues	Yes	Yes	LOW **10**	7
Evidence of supplier audits	Yes - Both internal and third-party auditors	Yes - Both internal and third-party auditors	LOW MID **10**	7

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Scope of supplier code of conduct				10	10
Supply chain code of conduct covers forced labor	Yes	Yes		—	—
Supply chain code of conduct covers child labor	Yes	Yes		—	—
Supply chain code of conduct covers working hours	Yes	Yes		—	—
Supply chain code of conduct covers paid overtime	Yes	Yes		—	—
Supply chain code of conduct covers minimum wage	Yes	Yes		—	—
Supply chain code of conduct covers anti-discrimination	Yes	Yes		—	—
Supply chain code of conduct covers freedom of association	Yes	Yes		—	—
Supply chain code of conduct covers health and safety	Yes	Yes		—	—
Commitment to pay living wage for workers in supply chains	No evidence	Commitment for its suppliers to pay a living wage to their workers, and detailed initiatives	0	TOP	3

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CARTER'S, INC. (CRI)

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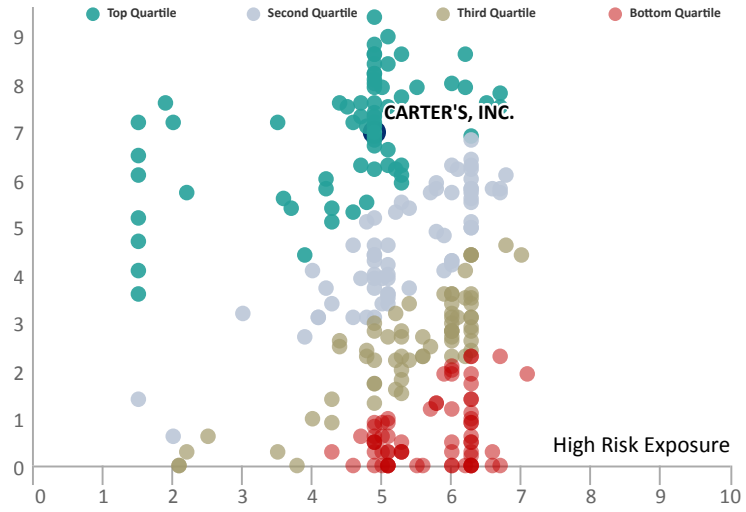
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

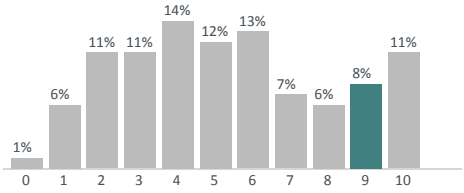
Product Carbon Footprint

Score	Change (since rating)	Quartile	Weight	Last score change date
9.1	0.0	●●●●	7.0%	Aug 03, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



Key Issue Score

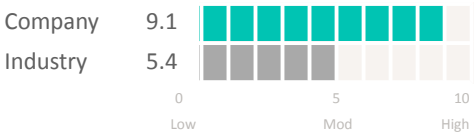
TOP 5 INDUSTRY LEADERS

ABERCROMBIE & FITCH CO.	10.0
AMERICAN EAGLE OUTFITTERS, INC.	10.0
ASOS PLC	10.0
CEWE Stiftung & Co. KGaA	10.0
Clas Ohlson Aktiebolag	10.0

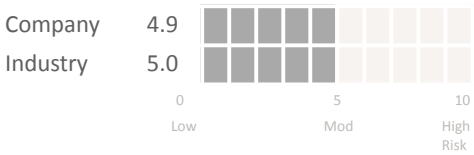
BOTTOM 5 INDUSTRY LAGGARDS

Lovisa Holdings Limited	0.7
Pattern Group Inc.	0.7
Seria Co., Ltd.	0.7
GAMESTOP CORP.	0.4
Aditya Vision Ltd	0.3

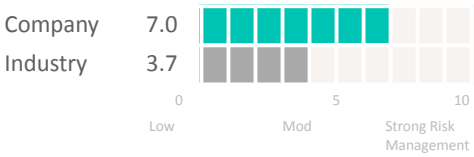
KEY ISSUE ASSESSMENT



RISK EXPOSURE ASSESSMENT



RISK MANAGEMENT ASSESSMENT



Drivers of Risk Exposure

Business Types

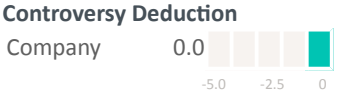


Drivers of Risk Management

Practices Score



Controversy Deduction



METHODOLOGY NOTE

Companies are evaluated on the carbon intensity of their products and their ability to reduce the carbon footprint in their supply chains or in the use of their products and services.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

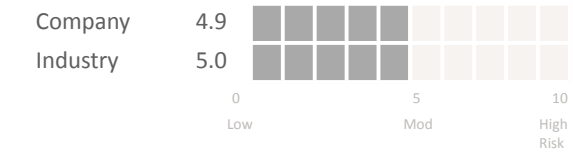
MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

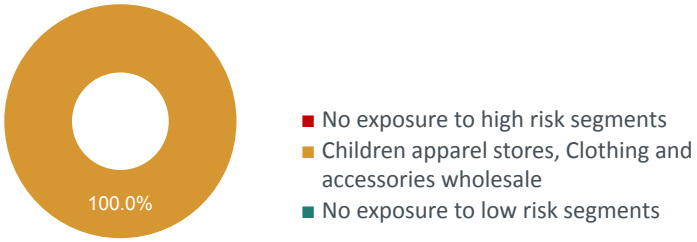
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of having to pay increased product purchasing costs (cost of goods sold) due to aggregate increase in input costs (primarily energy) throughout the upstream stages

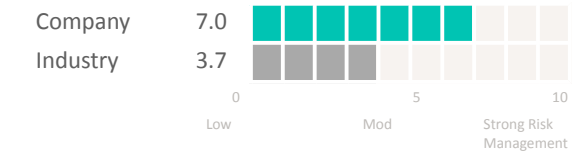
Business Types : Percent of total revenue from products with large/moderate/low carbon footprint (carbon emissions attributed to upstream supply chain per economic value of output) For Automobile: Composition of product portfolio (as percent of total revenue) by vehicle type based on regulatory requirements for vehicle carbon emissions or fuel efficiency, (expressed as fleet average gCO2/km or mpg)



Source: IERS' Comprehensive Environmental Data Archive (CEDA); MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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CARTER'S, INC. (CRI)

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CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Targets to reduce Scope 3 upstream carbon emissions	The company plans to expand its product footprint calculation to include all core products or include other stages	The company has already calculated the carbon footprint of its core products and production stages and has a plan for impact reduction	LOW 6 TOP	3
Extent of energy consumption or carbon emissions reduction programs in transportation and logistics	No	Improvements in fleet, routes, AND load/ packaging optimization	0 MID TOP	5
Extent of energy consumption or carbon emissions reduction programs in raw materials sourcing	Some products (anecdotal cases)	All or core products	LOW 6 TOP	3
Extent of energy consumption or carbon emissions reduction programs in manufacturing operations (including suppliers)	No	All or core production facilities	0 MID TOP	1
Extent of energy consumption or carbon emissions reduction programs in distribution centers or store operations	Some stores/distribution centers (anecdotal cases)	All or most stores and distribution centers	LOW 6 TOP	5
Energy consumption or carbon emissions assessment of transportation and logistics	Yes	Yes	LOW 10	6
Energy consumption or carbon emissions assessment of raw materials sourcing	Yes	Yes	LOW 10	3
Energy consumption or carbon emissions assessment of manufacturing operations (including suppliers)	Yes	Yes	LOW 10	3
Energy consumption or carbon emissions assessment of distribution and store operations	Yes	Yes	LOW 10	7

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Assessment of energy consumption and/or carbon emissions of suppliers	Core or largest direct suppliers submit carbon and/or energy use data	All suppliers submit carbon and/or energy use data	LOW 8 TOP	2
Extent of product carbon footprint assessments	Carbon footprint is calculated for core products	Carbon footprint is calculated for all products	LOW 8 TOP	5

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

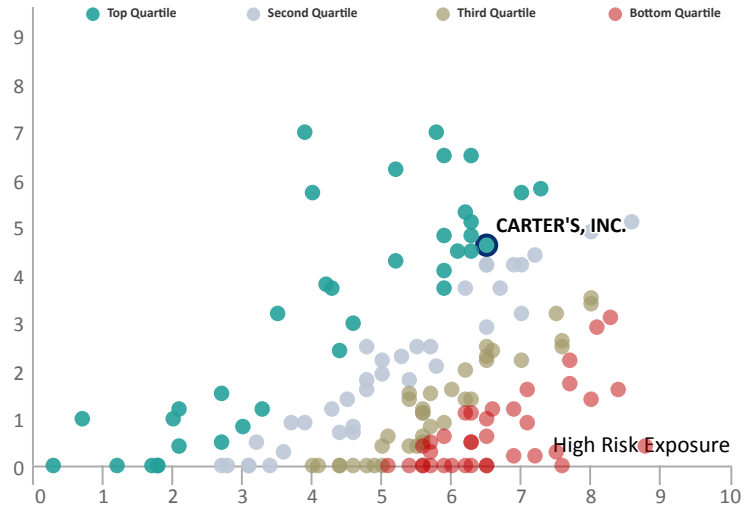
CCC | B | BB | BBB | A | AA | AAA

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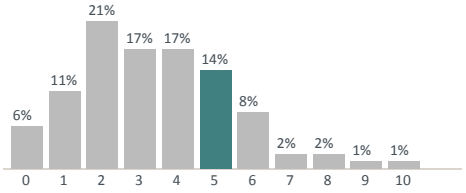
Raw Material Sourcing

Score	Change (since rating)	Quartile	Weight	Last score change date
5.1	0.0	●●●●	7.0%	Aug 03, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

WICKES GROUP PLC	10.0
MOONPIG GROUP PLC	8.7
WH SMITH PLC	8.2
KINGFISHER PLC	8.0
HORNBACH Holding AG & Co. KGaA	7.6

BOTTOM 5 INDUSTRY LAGGARDS

KOHL'S CORPORATION	0.2
DILLARD'S, INC.	0.0
FALABELLA S.A.	0.0
RH	0.0
ROSS STORES, INC.	0.0

KEY ISSUE ASSESSMENT

Company 5.1
Industry 3.4

0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company 6.5
Industry 5.5

0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company 4.6
Industry 1.8

0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 10.0

0 5 10

Drivers of Risk Management

Practices Score
Company 4.6

0 5 10

Controversy Deduction
Company 0.0

-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the environmental impacts of the raw materials used in their products and their efforts around supply chain traceability and certification.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

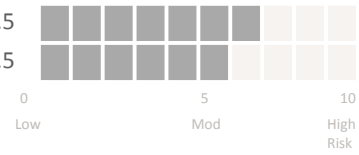
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

RISK EXPOSURE ASSESSMENT

Company	6.5
Industry	5.5



Additional Exposure Indicators

Risk: Dependency on Raw Material

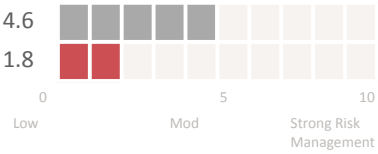
Estimated percent of sales reliant on material (private label where applicable)

Cotton:	**69.00%**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	4.6
Industry	1.8



Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Extent of supply chain initiatives to address impacts of cotton production	Educates suppliers on responsible cotton production (or how to achieve certification)	Requires all suppliers to produce or purchase sustainable cotton and verifies compliance	LOW **3** TOP	1
Percentage of cotton third-party certified to an environmental standard	Up to 30%	All Products	LOW **3** TOP	2
Future targets for cotton sourcing	The company has clear measurable targets or all products are already certified or traced	The company has clear measurable targets or all products are already certified or traced	LOW MID **10**	3
Extent of cotton traceability to place of origin	None	All Products	**0** MID TOP	1
Commitments towards responsible cotton sourcing	Company belongs to an industry group with a stated policy	Publicly stated formal policy	LOW **7** TOP	4

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

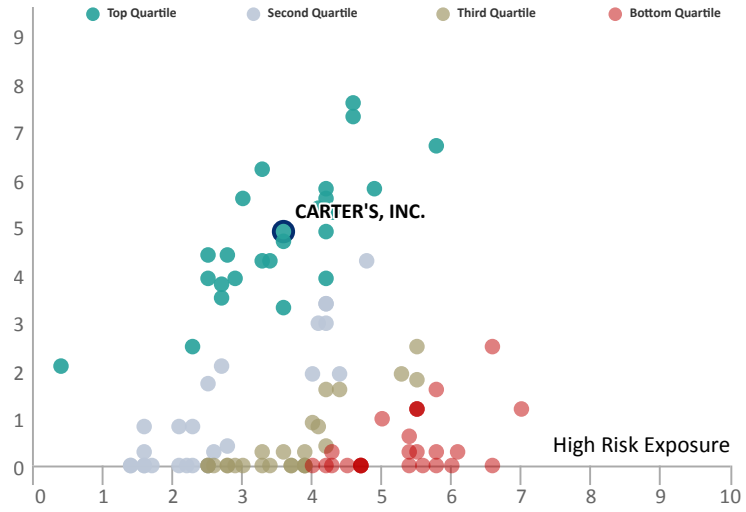
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

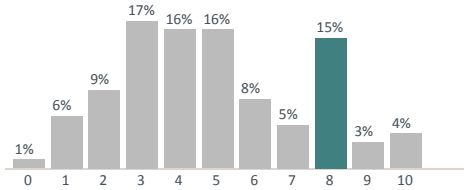
Chemical Safety

Score	Change (since rating)	Quartile	Weight	Last score change date
8.2	0.0	●●●●	5.0%	Aug 03, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

Industria de Diseno Textil, S.A.	10.0
MINISO GROUP HOLDING LIMITED	9.9
H & M Hennes & Mauritz AB	9.7
KINGFISHER PLC	9.6
ARVIND FASHIONS LIMITED	8.9

BOTTOM 5 INDUSTRY LAGGARDS

ETHAN ALLEN INTERIORS INC.	1.2
LEON'S FURNITURE LIMITED	1.2
Temple & Webster Group Ltd	1.1
Nick Scali Limited	1.0
DUNELM GROUP PLC	0.4

KEY ISSUE ASSESSMENT

Company 8.2
Industry 4.9

0 Low | 5 Mod | 10 High

RISK EXPOSURE ASSESSMENT

Company 3.6
Industry 3.3

0 Low | 5 Mod | 10 High Risk

RISK MANAGEMENT ASSESSMENT

Company 4.9
Industry 1.7

0 Low | 5 Mod | 10 Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 3.0

Business Locations
Company 7.2

Drivers of Risk Management

Practices Score
Company 4.9

Controversy Deduction
Company 0.0

METHODOLOGY NOTE

Companies are evaluated on the possible presence of harmful chemicals in their product portfolio, their potential exposure to strengthening or pending chemical regulations and their efforts to develop less harmful alternatives.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

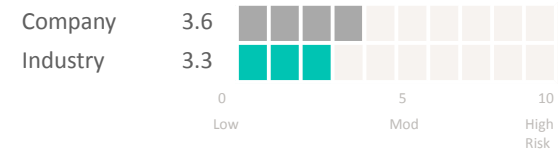
MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

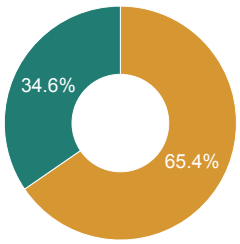
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of losing market access or reformulation costs due to presence of chemicals of concern in products

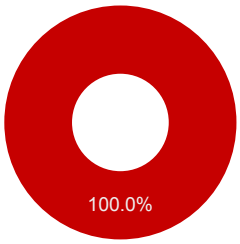
Business Types : Percentage of revenue from product lines that typically contain substances of very high concern (SVHC) and Substitute It Now (SIN) List substances



- No exposure to high risk segments
- Children apparel stores
- Clothing and accessories wholesale

Source: Danish Working Environment Authority; International Chemical Secretariat Substitute It Now List; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of revenue in markets with strengthening or evolving chemical regulations

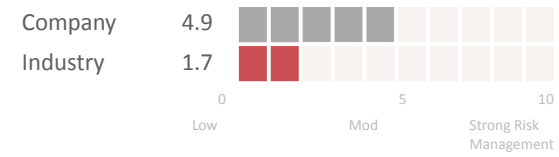


- USA, other countries, Canada
- No operations in markets with medium risks
- No operations in markets with low risks

Source: MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Scope of disclosure of registration and use of regulated substances	Only discloses substances identified as high concern	Discloses all regulatory registrations and use	LOW 3 TOP	2
Environmental and health standards in new product design	Company measures environmental/health profile of new products as part of product design (e.g. life-cycle assessments)	Company applies well-defined standards (e.g. Principles of Green Chemistry, Cradle to Cradle certification, Organic certification)	LOW 7 TOP	2
Initiatives to improve consumer awareness on product chemical content	No evidence	Extensive information explaining chemical content to consumers (e.g. website, app)	0 MID TOP	0
Demonstrated track record of phasing out and/or reformulating products with chemicals of concern	Proactively (ahead of regulations or exceeds regulations)	Proactively (ahead of regulations or exceeds regulations)	LOW MID 10	2
Level of efforts to identify substances for regulatory risk	Comprehensive list of chemicals of concern based on an industry standard or respected NGO	Comprehensive identification of all chemicals used	LOW 6 TOP	2
Scope of chemical phase-out plan	Company is targeting specific products and/or high priority chemicals for reformulation	Company has already phased out all chemicals of concern	LOW 3 TOP	1

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RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

APPENDIX

CONTENTS

ADDITIONAL ESG ISSUES

CONTROVERSIES DETAIL

ADDITIONAL CORPORATE GOVERNANCE CONTENT

KEY METRIC & SCORE CHANGES

CEO PAY CHARTS

DIRECTOR VOTES

SHAREHOLDER/MANAGEMENT PROPOSALS

GOVERNANCE STANDARDS

DIRECTOR PROFILES

EU REGULATION 2024/3005 DISCLOSURES

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS

AAA

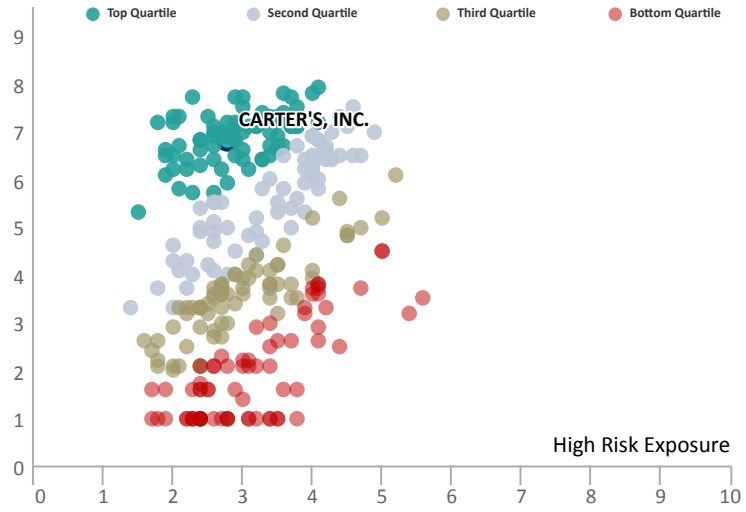
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Carbon Emissions

Score	Change (since rating)	Quartile	Weight	Last score change date
10.0	0.0	••••		Aug 03, 2026

Strong Risk Management



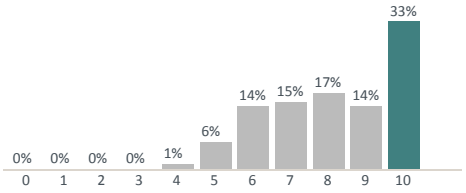
This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

MSCI Research provides additional scores on a select set of Key Issues for all companies on the MSCI ACWI Index and MSCI ACWI IMI Index. Every company on the index receives scores for the following Key Issues, regardless of whether they contribute to the overall Company ESG Rating.

The additional key issue scores and data available by index are as follows:

- MSCI ACWI: Water Stress, Labor Management, Privacy and Data Security
- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ABERCROMBIE & FITCH CO.	10.0
ADITYA BIRLA FASHION AND RETAIL LIMITED	10.0
AMERICAN EAGLE OUTFITTERS, INC.	10.0
ARATA CORPORATION	10.0
ASKUL Corporation	10.0

BOTTOM 5 INDUSTRY LAGGARDS

DELEK AUTOMOTIVE SYSTEMS LTD.	4.6
Nick Scali Limited	4.6
GIGACLOUD TECHNOLOGY INC	4.5
LEON'S FURNITURE LIMITED	4.5
Supply Network Limited	4.2

METHODOLOGY NOTE

Companies are evaluated on the carbon intensity of their operations and their efforts to manage climate-related risks and opportunities.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

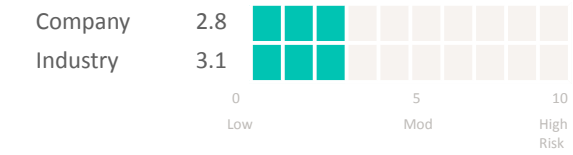
MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

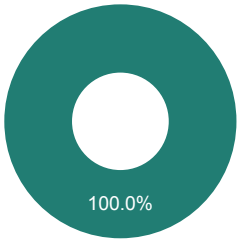
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risks of having to pay increased compliance costs tied to carbon emissions regulations

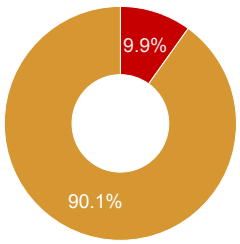
Business Types : Percentage of operations in business segments with high/moderate/low carbon intensity



- No exposure to high risk segments
- No exposure to medium risk segments
- Children apparel stores, Clothing and accessories wholesale

Source: GHG emissions intensities compiled by MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with strengthening or pending carbon emissions regulation

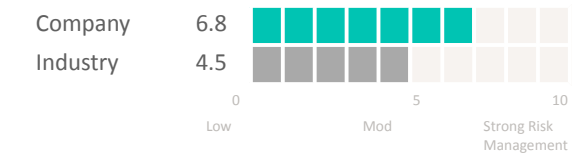


- Canada
- USA, other countries
- No operations in markets with low risks

Source: International Monetary Fund (IMF) Implied Mitigation Targets; Net Zero Tracker; Carbon Pricing Dashboard, IMF Fossil Fuel subsidies data; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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CARTER'S, INC. (CRI)

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CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Carbon emissions target verification			10	10
Carbon emissions target progress			10	3
Carbon emissions target comprehensiveness			7	4
Use of cleaner sources of energy	Some efforts	Aggressive efforts	LOW 7 TOP	5
Energy Consumption Management & Operational Efficiency	Some efforts	Aggressive efforts	LOW 7 TOP	6

Description	Company Performance	Best Practice	Performance Score	Industry Average
Performance				
Carbon emissions performance relative to peers			5	5

GHG Emissions - metric tons CO2e

Year	Scope 1 Disclosed	Scope 1 Estimate Key	Scope 2 Disclosed	Scope 2 Estimate Key	Scope 1+2 Disclosed	Scope 3 (upstream)	Scope 3 (downstream)	Scope 3 (undefined)	Scope 1 Estimated	Scope 2 Estimated	Scope 1+2 Estimated	Scope 1+2 Estimate Key	GHG Emissions Details
2024	7,153	Reported	32,241	Reported	39,394							Reported	
2023	7,433	Reported	33,840	Reported	41,273							Reported	
2022	7,042	Reported	34,818	Reported	41,860							Reported	
2021	8,117	Reported	38,698	Reported	46,816							Reported	
2020	7,536	Reported	39,896	Reported	47,432							Reported	

GHG Emissions Intensity - metric tons CO2e / USD million sales

Year	GHG Intensity	GHG Intensity Details	GHG Intensity - Reported	GHG Intensity - Reported Details
2024	13.85		14.97	metric tons CO2e per million in net sales
2023	14.01			metric tons CO2e per million in net sales
2022	13.03		333.00	metric tons CO2e per million in net sales
2021	13.43			
2020	15.68			

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

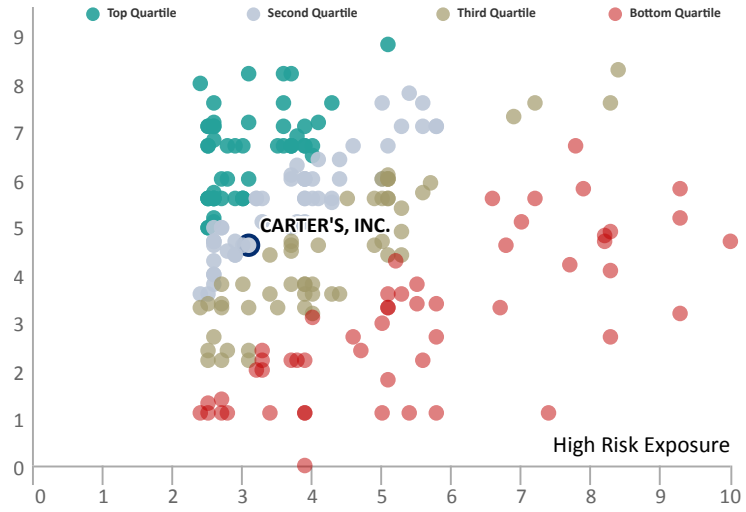
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Human Capital Development

Score	Change (since rating)	Quartile	Weight	Last score change date
8.5	▲ 0.6	●●●		Nov 05, 2026

Strong Risk Management



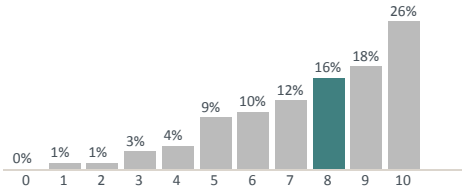
This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

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KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ABERCROMBIE & FITCH CO.	10.0
ACADEMY SPORTS AND OUTDOORS, INC.	10.0
ADITYA BIRLA FASHION AND RETAIL LIMITED	10.0
ASKUL Corporation	10.0
And ST HD Co Ltd	10.0

BOTTOM 5 INDUSTRY LAGGARDS

SILICON 2 Co.,Ltd.	2.4
Prosus N.V.	1.7
PDD Holdings Inc.	1.4
GROUPON, INC.	1.0
PREMIER INVESTMENTS LIMITED	0.7

METHODOLOGY NOTE

Companies are evaluated on their workforce talent requirements and their ability to attract, retain, and develop a highly skilled workforce.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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CARTER'S, INC. (CRI)

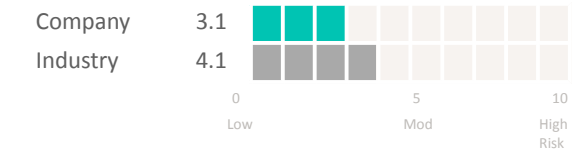
MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EXPOSURE

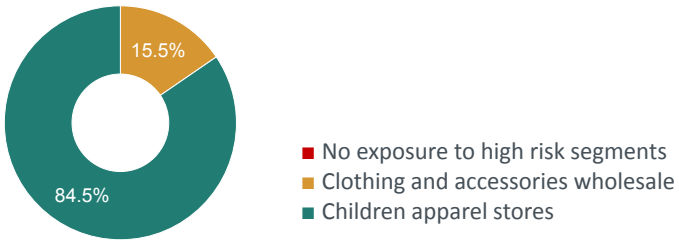
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of increased turnover and associated costs of rehiring, loss of intellectual and human capital through attrition, reduced ability to attract talent

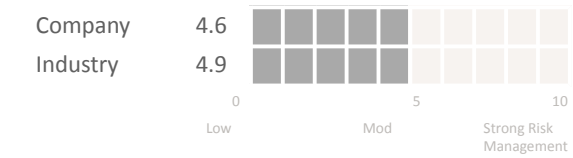
Business Types : Percentage of operations in business segments with high/moderate/low levels of employee qualification needs and compensation per employee



Source: Employment Projections Program, Bureau of Labor Statistics; Occupational Employment Statistics, Bureau of Labor Statistics; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Skills and knowledge development training	General statements on leadership training with unknown scope or achieved results	Comprehensive succession planning & development programs at multiple levels	LOW 5 TOP	4
Employee equity programs	ESOP or ESPP but scope of coverage is unknown	Sector-leading number of employees eligible for ESOP and/or ESPP	LOW 5 TOP	5
Workforce eligible for paid parental leave policy	No evidence	Benefits cover all employees	0 MID TOP	3
Employee satisfaction survey frequency	Surveys conducted sporadically	Surveys conducted annually	LOW 7 TOP	6

Workforce Diversity

Year (YYYY)	Annual employee turnover
2024	
2023	
2022	
2021	
2020	

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CARTER'S, INC. (CRI)

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RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

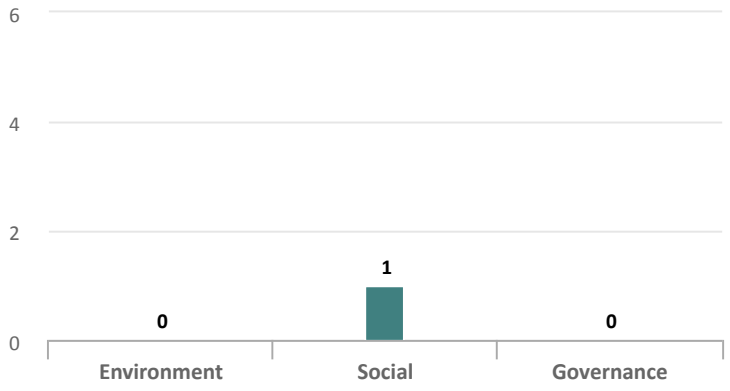
CONTROVERSIES DETAIL

Here you will find the narratives for all controversies relevant to the company. Please note while every controversy case may signal reputational risk, not every controversy is judged to pose material risks; therefore, not every controversy affects the company's overall rating.

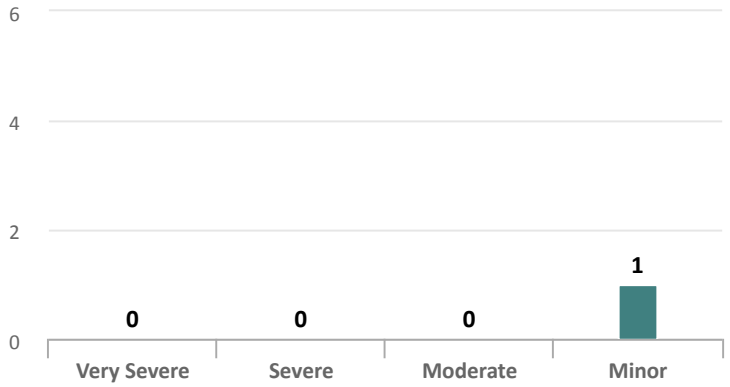
CONTROVERSY CARD

	ASSESSMENT				
	VERY SEVERE	SEVERE	MODERATE	MINOR	CONTROVERSY COUNT
Environment					
Product Carbon Footprint	0	0	0	0	0
Carbon Emissions	0	0	0	0	0
Raw Material Sourcing	0	0	0	0	0
Social					
Supply Chain Labor Standards	0	0	0	0	0
Human Capital Development	0	0	0	0	0
Chemical Safety	0	0	0	0	0
Labor Management	0	0	0	0	0
Privacy & Data Security	0	0	0	0	0
Governance					
Corporate Governance	0	0	0	0	0
Corporate Behavior	0	0	0	0	0

NUMBER OF CONTROVERSIES BY PILLAR



NUMBER OF CONTROVERSIES BY ASSESSMENT



CONTROVERSIES

- ***Very Severe:*** Indicates an action by a company that results in a very large impact on society and/or the environment.
- ***Severe:*** Indicates an action by a company that results in a large impact on society and/or the environment.
- ***Moderate:*** Indicates an action by a company that results in a moderate impact on society and/or the environment.
- ***Minor:*** Indicates an action by a company that results in a low impact on society and/or the environment.
- ***None:*** There is no evidence that a company is involved in any controversy.

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KEY METRIC & SCORE CHANGES

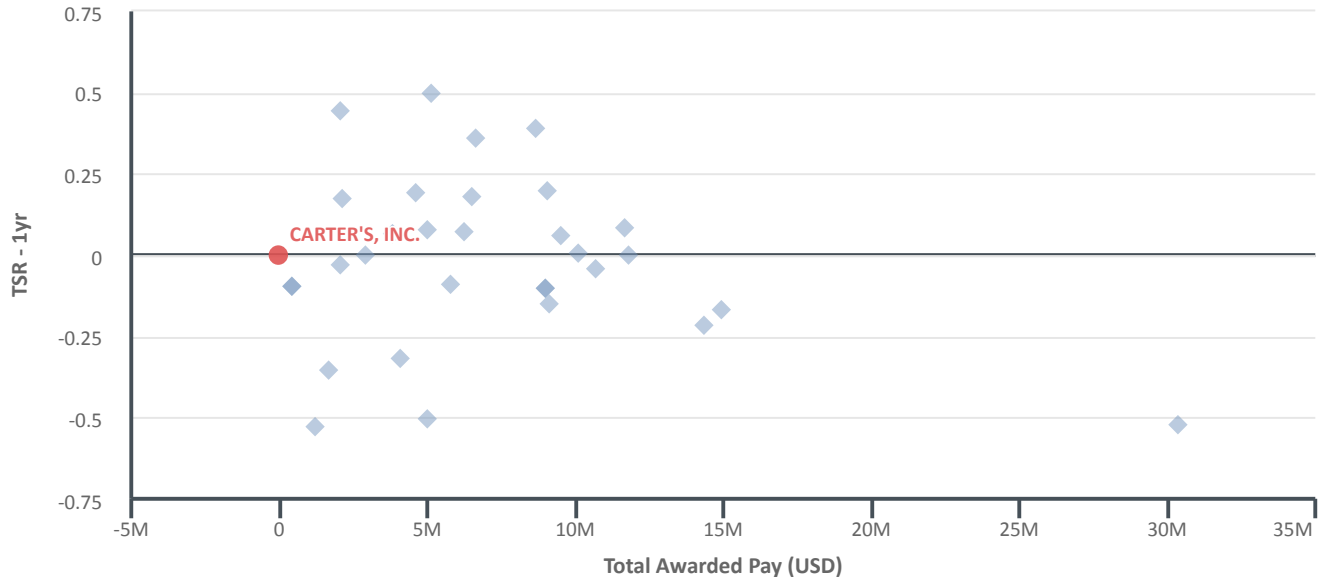
ALL KEY METRIC & SCORE CHANGES (SINCE JULY 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Jun 04, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 25, 2025	**-0.20**	
CEO Pay Total Fixed	Flag Removed	Sep 11, 2025	0.20	

CEO PAY CHARTS

Due to the large size of this peer group, only a subset of companies is displayed in this table.

CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

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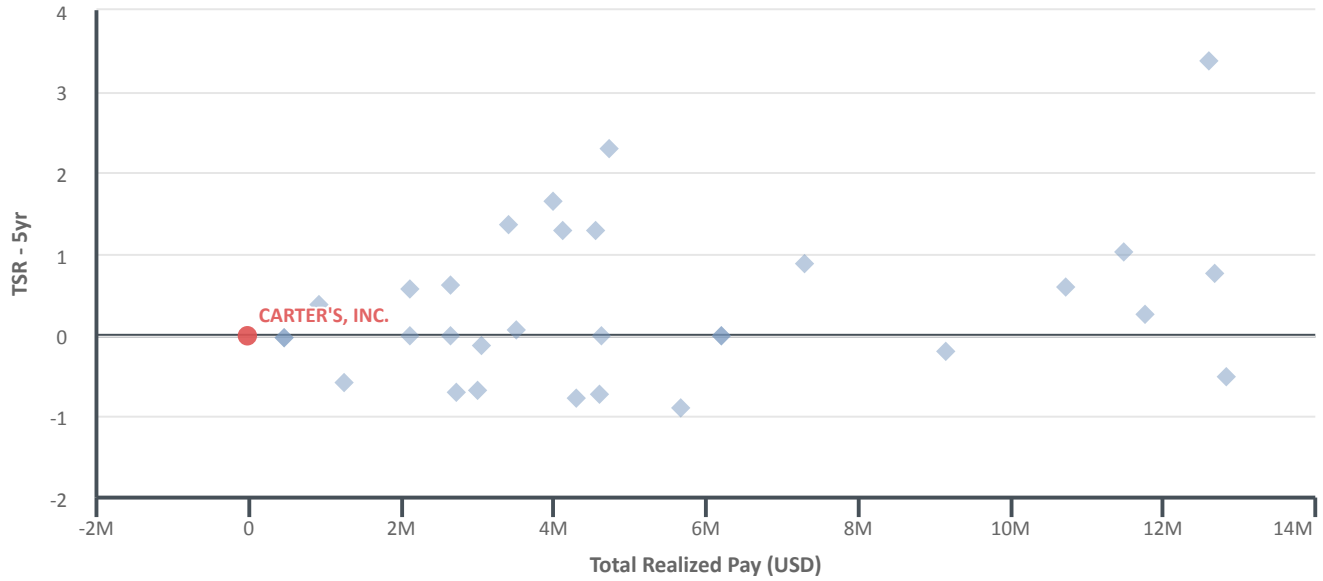
CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

DIRECTOR VOTES

Proxy Year	Name	Age	Tenure	Votes For	Votes Against, Withheld and / or Abstained
2025	Douglas C Palladini	58	1	99.4%	0.6%
2025	Gretchen Schar	71	6	99.4%	0.6%
2025	Hali Borenstein	40	6	99.1%	0.9%
2025	Jeffrey Black	71	4	99.4%	0.6%
2025	Jevin Eagle	58	15	96.6%	3.4%
2025	Luis Borgen	56	4	99.3%	0.7%
2025	Mark Hipp	63	8	98.5%	1.5%
2025	Rochester (Rock) Anderson Jr.	63	4	98.5%	1.5%
2025	Stacey Rauch	68	4	98.2%	1.8%
2025	Stephanie Stahl	59	4	98.1%	1.9%
2025	William Montgoris	78	18	93.5%	6.5%

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SHAREHOLDER/MANAGEMENT PROPOSALS

MANAGEMENT PROPOSALS

Proxy Year	Proposal	Proposal Summary	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2025	Advisory Vote on Executive Compensation	2. Advisory Vote on Executive Compensation for Named Executive Officers	Approved	93.4%	5.8%	0.7%
2025	Auditor Ratification	3. Ratification of Appointment of Independent Registered Public Accounting Firm	Approved	98.3%	1.3%	0.4%
2024	Advisory Vote on Executive Compensation	2. Advisory Vote on Executive Compensation for Named Executive Officers	Approved	97.4%	2.4%	0.2%
2024	Auditor Ratification	3. Ratification of Appointment of Independent Registered Public Accounting Firm	Approved	96.2%	3.8%	0.1%
2023	Advisory Vote on Executive Compensation	2.Advisory Vote on Executive Compensation for Named Executive Officers	Approved	87.1%	12.4%	0.5%
2023	Advisory Vote Frequency	3. Advisory Vote on the Frequency of the Say-on-Pay Vote	1 year			
2023	Auditor Ratification	4. Ratification of Appointment of Independent Registered Public Accounting Firm	Approved	98.1%	1.6%	0.3%

**For Management Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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DELAWARE



CURRENCY: UNITED STATES DOLLAR (USD)

In the United States, most governance principles are governed by state laws that are not uniform or nationally enforced. However, the majority of states have adopted the Model Business Corporation Act (MBCA) as the basis of their own laws by modifying some of the provisions of the MBCA. The MBCA is a body of laws designed to regulate corporate affairs uniformly across different states. It is the basis for business corporation statutes in 32 states and the District of Columbia and is the source of many provisions in the general corporation statutes of other states. Further, the Securities and Exchange Commission (SEC) regulates certain governance related matters on a federal level.

The majority of large U.S. businesses are listed on either the New York Stock Exchange (NYSE) or the Nasdaq Stock Market (Nasdaq), and therefore are subject to their listing rules. The U.S. has not adopted a national corporate governance code.

Delaware's corporate governance is defined by the General Corporation Law of the State of Delaware (DGCL), with annual updates and revisions by the Delaware legislature based on the recommendations of the Council of the Corporation Law Section of the Delaware State Bar Association. Judicial decisions by the state's Court of Chancery also set governance practice, with appeals heard at the Delaware Supreme Court.

Companies adopt a unitary board structure in the U.S. The NYSE and Nasdaq listing rules require the majority of directors to be independent. The SEC rules require public companies to disclose and explain their chair-CEO structure and whether one or two people hold the roles. If the roles are combined, the company must further disclose whether it has a lead independent director and specify their role within the company leadership.

Unless stated otherwise in the articles of association, directors may appoint inspectors in advance of any shareholder meeting to determine the number of shares outstanding, voting rights, shares represented at the meeting, existence of a quorum, authenticity and validity of proxies, and take all other actions with regards to the annual shareholders' meeting.

Related party transactions (RPTs) are valid if the transaction was conducted on reasonable and fair terms when it was approved, and the RPT is approved in good faith by the majority of independent directors. If the number of independent directors is less than a quorum, then it must be approved by shareholders.

The board of directors may fix director and officer pay, although most companies delegate the responsibility for defining executive pay to independent directors, usually upon the recommendation of the pay or nominating/governance committee. Officers are executive directors that are responsible for the daily management of the company.

The Dodd-Frank Act requires listed companies to hold an advisory vote every three years on "say on pay" policies, as well as disclose additional information regarding "golden parachute" arrangements linked to merger transactions.

Listed companies must annually disclose the pay of directors and officers, including stock and option awards. Disclosure must be made in a tabular format, along with a descriptive summary of the information in the table. Companies listed on Nasdaq must also disclose pay arrangements between directors or nominees and third parties.

The U.S. market is known for having widely dispersed ownership, but founder-led companies are common. There are multiple share classes with unequal voting rights and voting right limits.

Shareholders with at least 10% voting rights can request to convene a general meeting.

A notice of the meeting, specifying the date, time, place and purpose must be given no less than seven days and no more than 60 days in advance. Special meeting of shareholders may be convened by shareholders owning at least 10% of shares. Typically, each share is entitled to one vote and fractional shares are entitled to proportionate votes. Shareholders do not have preemptive rights unless specifically provided in the bylaws or articles. Dissenting shareholders are entitled to appraisal rights.

Unless otherwise stipulated in the articles, a corporation is not obligated to offer shareholders any shares, option rights or securities when issuing them.

There are no mandatory takeover bid provisions in the U.S.

In 2018, the Delaware enacted a Certification of Adoption of Transparency and Sustainability Standards Act which is a voluntary act broadly enabling entities registered in Delaware to craft a sustainability regime. The Act is primarily a disclosure regime which requires entities to disclose and provide reports regarding their standards and metrics. There are many provisions in the Federal Sarbanes-Oxley Act that govern the audit process. A public company's annual financial statements must be audited by a registered independent auditing firm. Listed companies prepare two annual reports, one for SEC (Form 10-K) and one for their shareholders. The reports to stockholders, as required by SEC, must contain certified financial statements of two-year audited balance sheets, and three-year audited statement of income and cash flows. Directors and officers of the corporation must also be identified. Interim financial statements are not audited, only reviewed by the company's auditors. If an auditor has not reviewed the interim report, it must be accompanied with a notice specifying that the report has not been reviewed by an auditor. Audit firm rotation is not required but lead audit partners are subject to rotation every five years.

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DIRECTOR PROFILES

DOUGLAS C PALLADINI

Age: 58
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Executive, Board Member, CEO Source Date: 04/04/2025

Douglas C Palladini joiined Carters on April 3 2025 as Chief Executive Officer President and a member of the Board Mr Palladini served as the founder and owner of Kickstand LLC a consulting and advisory business focused on brand and consumer strategy from April 2022 until March 2025 Prior to founding Kickstand LLC from June 2004 to March 2022 Mr Palladini served in various roles of increasing responsibility at Vans a subsidiary of VF Corporation culminating in his role as Global Brand President of Vans from July 2016 through March 2022 Director Qualifications Deep experience with growing brands and consumer driven strategies and expertise in creating global brand connections Valuable perspective as an executive with decades of experience working in the retail and apparel industry and operating within multiple sales channels

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Executive, Board Member, CEO	1	Apr 03, 2025		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.4%	0.6%

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

GRETCHEN SCHAR

Age: 71
Gender: F
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Household & Personal Products - Personal Care Products

BIOGRAPHICAL INFORMATION

CINCINNATI FINANCIAL CORPORATION - Board Member Source Date: 03/18/2026

Ms. Schar retired in 2018 from Arbonne International LLC, a beauty and nutritional product company headquartered in Irvine, California. As executive vice president and chief financial and administrative officer of the firm since 2011, she led the firm's financial, accounting, strategy and business planning, operations, information technology, human resources and international functions. She was executive vice president and chief financial officer from 2008 to 2011 of Philosophy Inc., an international, prestige beauty brand based in Phoenix, Arizona. Director Qualifications üBrings to the board leadership skills in key areas, including accounting, auditing and financial reporting, investor relations, capital management, human resources, information technology, strategic planning and business planning üDraws on knowledge of customer relationship management and distribution chains to benefit board discussions and decisions Other Public Company Directorships Board Member, Carter's Inc. (2019-present) Selected Directorships and Memberships Nonprofit boards benefiting fine and performing arts, arts education, a hospital, children's dental services and general philanthropy

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Gretchen W Schasrerved as Executive Vice President and Chief Financial and Administrative Officer of Arbonne International LLC a beauty and nutritional products company from 2011 until 2018 and from 2008 until 2011 served as Executive Vice President and Chief Financial Officer of philosophy inc an international prestige beauty brand Prior to that Ms Schar spent over 30 years at The Procter Gamble Company in finance general management and global operations roles of increasing responsibility Director Qualifications Broad experience in finance accounting auditing and financial reporting capital management investor relations and global operations Meaningful experience with strategic growth including mergers and acquisitions Significant public company board oversight experience including in financial and accounting controls public company reporting engagement with independent public accounting firms corporate governance and executive compensation

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	6	Jul 10, 2019		Yes	Yes	
CINCINNATI FINANCIAL CORPORATION	Board Member	24	Aug 01, 2002		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Chair
CARTER'S, INC.	Risk	Chair
CINCINNATI FINANCIAL CORPORATION	Audit	Chair
CINCINNATI FINANCIAL CORPORATION	Pay	Member
CINCINNATI FINANCIAL CORPORATION	Corporate Governance	Member
CINCINNATI FINANCIAL CORPORATION	Nomination	Member
CINCINNATI FINANCIAL CORPORATION	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.4%	0.6%
CINCINNATI FINANCIAL CORPORATION	2026	89.5%	10.5%

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	6	2024	158,000	318,006	13,066
CINCINNATI FINANCIAL CORPORATION	Non-Executive	24	2025	160,000	307,333	34,960

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

HALI BORENSTEIN

Age: 40
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Hali Borensteinis the Chief Executive Officer of Reformation LLC a womens lifestyle brand focused on fashion and sustainability a position she has held since June 2020 From December 2017 until June 2020 Ms Borenstein was President of Reformation LLC and from 2014 to 2017 Ms Borenstein held various merchandising and design roles of increasing responsibility at Reformation LLC Prior to joining Reformation LLC Ms Borenstein was a senior merchandiser at Gymboree Group Inc and began her career at Bain Company Director Qualifications Deep strategic and leadership experience in a consumerfocused retail apparel business Valuable perspective and insight in eCommerce brand marketing sustainability and retail businesses Expansive expertise in apparel marketing and merchandising

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	6	Dec 02, 2019		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Corporate Governance	Member
CARTER'S, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.1%	0.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	6	2024	123,000	283,006	12,519

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

JEFFREY BLACK

Age: 71
Gender: M
Nationality: United States of America

Financial: Yes
Risk: No
Industry: Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

OTIS WORLDWIDE CORPORATION - Board Member Source Date: 04/17/2026

Jeffrey H. Black is the Chair of the Audit Committee. He most recently served as Senior Partner and Vice Chairman of Deloitte LLP. In addition to his management roles, he held the position of Vice Chairman of Deloitte's Board of Directors and chaired its Governance and Risk Committees. Prior to Deloitte, Black was a partner at Arthur Andersen. He serves as a Board Director of Carters, Inc., Vantage Airport Group, Ltd. (non public), and Basin Holdings, LLC (non public).

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Jeffrey H Blackserved as Senior Partner and Vice Chairman of Deloitte LLP from 2002 to 2016 and as PartnerinCharge of Arthur Andersen LLPs Metro New York audit practice from 1988 to 2002 Mr Black has 40 years of experience leading teams serving those firms largest and most complex global clients Director Qualifications Significant accounting financial reporting and executive leadership experience as well as valuable insights into risk and crisis management and oversight of publiclytraded global businesses Valuable experience in cyber and information governance oversight and has earned a Computer Emergency Readiness Team CERT Certificate in Cybersecurity Oversight issued by the CERT Division of the Software Engineering Institute at Carnegie Mellon University as well as the National Association of Corporate Directors master course in Cybersecurity

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	
OTIS WORLDWIDE CORPORATION	Board Member	6	Apr 01, 2020		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Risk	Member
OTIS WORLDWIDE CORPORATION	Audit	Chair
OTIS WORLDWIDE CORPORATION	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.4%	0.6%
OTIS WORLDWIDE CORPORATION	2026	99.1%	0.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	119,000	279,006	8,628
OTIS WORLDWIDE CORPORATION	Non-Executive	6	2025	134,000	335,000	33,646

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

JEVIN EAGLE

Age: 58
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Jevin S Eaglheas served as Professor of the Practice Strategy and Innovation and Executive Director of Social Impact Initiatives for Boston Universitys Questrom School of Business since September 2022 and as Chief Executive Officer of Boston University Hillel since 2017 Mr Eagle served as Chief Executive Officer and director of DAVIDsTEA Inc a specialty tea retailer in the United States and Canada from April 2012 to April 2014 Mr Eagle previously held several senior leadership positions at Staples Inc from 2002 to 2012 including Executive Vice President Merchandising and Marketing Prior to joining Staples Inc Mr Eagle worked for McKinsey Company Inc from 1994 to 2001 ultimately serving as a partner in the firms retail practice Director Qualifications Broad experience in a number of areas as the former Chief Executive Officer and director of DAVIDsTEA Inc and Executive Vice President Merchandising and Marketing of Staples Inc including retail management merchandising sourcing strategic planning and brand marketing Valuable experience with developing strategies and programs for teaching social impact business education including matters relating to environmental social and governance ESG through his role as Professor and Executive Director of Social Impact Initiatives for Boston Universitys Questrom School of Business Meaningful experience in business strategy and the retail industry provides our Board with critical insights

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	15	Jul 20, 2010		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Pay	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	96.6%	3.4%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	15	2024	148,000	308,006	18,241

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

LUIS BORGEN

Age: 56
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Health Care Equipment & Services - Health Care Technology,Software & Services - IT Services

BIOGRAPHICAL INFORMATION

EASTERN BANKSHARES, INC. - Board Member Source Date: 03/26/2026

Luis Borgen has served as a director of Eastern Bank and a trustee of its predecessor holding company, Eastern Bank Corporation, since 2016. From September 2019 through April 2022, he was Chief Financial Officer for athenahealth, Inc., a leading SaaS provider of healthcare software that automates and manages revenue cycle management and electronic health records for physician practices and health systems. Prior to that, he was Chief Financial Officer for Vistaprint, an e- commerce company that produces marketing products for small businesses. Previously, he served as Chief Financial Officer for two publicly traded companies: DAVIDsTEA (from 2012-2017) and DaVita Inc. (from 2010-2012). Beginning in 1997, Mr. Borgen served in increasing roles of responsibility at Staples, Inc., leading to his appointment as Senior Vice President, Finance for the U.S. Retail business. He has served on the Boards of Directors of Carter's, Inc., since November 2021 and Synopsys, Inc., since May 2022. Mr. Borgen served in the U.S. Air Force from 1992 to 1997 and attained the rank of Captain. He holds a B.S. in Management from the United States Air Force Academy, an M.S. in Finance from Boston College and an MBA with Honors from the University of Chicago Booth School of Business. Qualifications We believe Mr. Borgen's experience with financial accounting matters and oversight of the financial reporting process of public companies qualifies him to serve on our Board of Directors.

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Luis Borgenhas over 25 years of finance and operational experience at various public and private equitybacked companies He was the Chief Financial Officer of athenahealth Inc a healthcare technology company from 2019 to 2022 Prior to that he was Chief Financial Officer for Vistaprint an ecommerce company that produces marketing products for small and microcap businesses from 2017 to 2019 Prior to that he served from 2012 to 2017 as Chief Financial Officer for DAVIDsTEA Inc a specialty tea retailer in the United States and Canada that became publiclytraded in 2015 and from 2010 to 2012 he served as Chief Financial Officer of DaVita Inc DaVita a publicly traded healthcare provider Prior to DaVita Mr Borgen spent 13 years at Staples Inc culminating in his role as Senior Vice President Finance and Chief Financial Officer for the US Retail division Mr Borgen began his career as an officer in the US Air Force Director Qualifications Broad experience in finance accounting capital markets investor relations MA and international expansion Meaningful experience in the oversight of executive compensation risk management and corporate governance Substantial operational experience in retail and consumerfocused businesses

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	Nov 02, 2021		Yes	Yes	
EASTERN BANKSHARES, INC.	Board Member	10	Jan 01, 2016		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Pay	Member
CARTER'S, INC.	Risk	Member
EASTERN BANKSHARES, INC.	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	99.3%	0.7%
EASTERN BANKSHARES, INC.	2026	89.2%	10.8%

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	132,000	292,006	8,996
EASTERN BANKSHARES, INC.	Non-Executive	10	2025	94,750	183,271	20,011
SYNOPSYS, INC.	Non-Executive		2025	140,000	339,783	1,833

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

MARK HIPP

Age: 63
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Financial Services - Capital Markets,Technology Hardware & Equipment - Technology Hardware, Storage & Peripherals

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Mark P Hipphas been the Chief Executive Officer of H2IDD an advisory firm focused on public and private mergers and acquisitions since January 2013 From November 2013 until April 2017 Mr Hipp was the operating partner at Sterling Partners a private equity firm Prior to that he spent over 28 years at Hewlett Packard Enterprise Company most recently as Vice President General Manager HP Software and Global Networking Business Management Director Qualifications Valuable perspective and insight with respect to issues relating to information technology including cybersecurity and eCommerce as well as global supply chain and logistics Meaningful experience in strategic growth transactions including through investments strategic relationships and mergers and acquisitions

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	8	Feb 01, 2018		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Pay	Member
CARTER'S, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.5%	1.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	8	2024	133,000	293,006	12,509

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

ROCHESTER (ROCK) ANDERSON JR.

Age: 63
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Software & Services - Internet Software & Services

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Rochester Anderson hJars over 30 years of human resources and operational experience at various public and private corporations including more than 15 years of experience leading human resource organizations and more than 15 years of operational experience with public and private corporations and nonprofit organizations Mr Anderson is currently Chief Human Resources Officer Emory Healthcare which he joined in September 2022 Previously from February 2020 to September 2022 Mr Anderson served as Chief Human Resources Officer of AutoNation Inc a publiclytraded company and the nations largest automobile dealer with over 21000 associates working in over 400 locations across 18 states Mr Anderson previously served as Senior Vice President People Solutions for the Financial Industry Regulatory Authority from May 2019 to February 2020 and served from 2006 to 2018 in various human resource focused and operational roles at Cox Automotive Inc including serving as Chief Human Resources Officer and Executive Vice President from 2014 to 2018 Mr Andersons experience focuses on human capital management career development and training operational management and diversity and inclusion 6 Director Qualifications Significant human capital management organizational improvement compensation and benefits and executive management experience Valuable insights into workforce dynamics diversity equity and inclusion and executive development Substantial operational experience in retail and consumerfocused businesses

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Pay	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.5%	1.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	122,000	282,006	8,628

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

STACEY RAUCH

Age: 68
Gender: F
Nationality: United States of America

Financial: No
Risk: No
Industry: Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Stacey S Raucihs a Senior Partner Emeritus of McKinsey Company McKinsey Ms Rauch was a leader in McKinseys Retail and Consumer Goods Practices served as Head of the North American Retail and Apparel Practice and as Global Retail Practice Convener A 24year veteran of McKinsey Ms Rauch led engagements for a wide range of retailers apparel wholesalers and consumer goods manufacturers in the US and internationally Ms Rauch was a cofounder of McKinseys New Jersey office and was the first woman at McKinsey appointed as an industry practice leader Since retiring from McKinsey Ms Rauch has served as a member or chair of various companies boards Director Qualifications Strategic leadership expertise and deep experience in international business with a significant focus on the retail apparel and consumer goods industries Meaningful experience in the oversight of executive compensation corporate governance and financial reporting

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Audit	Member
CARTER'S, INC.	Corporate Governance	Member
CARTER'S, INC.	Nomination	Member
CARTER'S, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.2%	1.8%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	135,000	295,006	8,628

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

STEPHANIE STAHL

Age: 59
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Household & Personal Products - Personal Care Products,Consumer Durables & Apparel - Leisure Products

BIOGRAPHICAL INFORMATION

DOLLAR TREE, INC. - Board Member Source Date: 05/01/2026

Stephanie P Stahl Former Global Marketing and Strategy Officer of Coach Inc Director since 2018 Independent Board Committees Nominating and Governance Sustainability and CSR Chair Other Public Company Board Experience Carters Inc since 2022 Newell Brands Inc since 2023 Edgewell Personal Care Company since 2024 Knoll Inc 2013 to 2021 Key Skills Experience and Expertise Ms Stahl brings to our Board significant experience in marketing data analytics digital strategy sustainability and brand development Ms Stahl has spent her career focused on the retail consumer sector with extensive experience in developing executing and optimizing major change initiatives including fundamental business transformation mergers and acquisitions and post merger integrations Biography Ms Stahl is the former Global Marketing and Strategy Officer of Coach Inc She held that position from 2012 to 2015 Prior to that she served as the Chief Executive Officer of Tracy Anderson Mind and Body LLC from 2010 to 2011 Executive Vice President Chief Marketing Officer of Revlon Inc from 2003 to 2006 and Partner and Managing Director of The Boston Consulting Group Inc from 1998 to 2003 Ms Stahl is also the Founder of her investment and advisory company Studio Pegasus LLC Ms Stahl serves on the Board of Directors of Carters Inc Newell Brands Inc and Edgewell Personal Care Company

NEWELL BRANDS INC. - Board Member Source Date: 03/26/2026

Stephanie P. Stahl • 2022 – Present: Senior Advisor at Boston Consulting Group (“BCG”) • 2015 – Present: Founder of Studio Pegasus, an early stage advisory and angel investing company • 2017 – 2021: Chief Executive Officer and Co-Founder at Ace of Air, a B Corp certified sustainable beauty venture • 2012 – 2015: Global Marketing and Strategy Officer at Coach, Inc. • Prior to 2012: Executive positions at several leading retail and consumer products companies and partner at BCG Current Board Appointments: Dollar Tree, Inc. and Carter’s Inc. Former Board Appointments: Brumate, Founder’s Table and Knoll, Inc. Director Qualifications: Ms. Stahl is a consumer driven and sustainability focused leader, who brings to the Board extensive experience within the consumer sector in marketing, data analytics, digital, sustainability, brand building and strategic planning.

CARTER'S, INC. - Board Member Source Date: 04/04/2025

Stephanie P Stahisl currently a Senior Advisor and Executive Coach at the Boston Consulting Group since 2022 and is a former Global Marketing Strategy Officer of Coach Inc where she served from 2012 through 2015 She is the Founder of her investment and advisory company Studio Pegasus LLC which she launched in 2015 to focus on supporting earlystage consumer ventures Ms Stahl previously held executive positions at several leading retail and consumer products companies and served as a Partner at The Boston Consulting Group from 1992 until 2003 Director Qualifications Significant experience in the retailconsumer sector including experience developing executing and optimizing major change initiatives including fundamental business transformations mergers and acquisitions and postmerger integrations Deep experience in marketing data analytics digital strategy sustainability brand building and strategy Meaningful experience in the oversight of corporate governance investor engagement and ESG

Edgewell Personal Care Company - Board Member Source Date: 11/18/2025

Stephanie Stahl Ms. Stahl is a consumer-driven and corporate citizenship-focused leader with extensive experience in marketing, data analytics, digital, sustainability, brand building and strategy. Ms. Stahl currently acts as a Senior Advisor to Boston Consulting Group and provides coaching and advisory services to early-stage ventures. Ms. Stahl has led global brand transformations at Coach and Revlon with responsibility for creative services, PR/brand communications, CRM, consumer insights and database & advanced analytics.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
Edgewell Personal Care Company	Board Member	2	Sep 10, 2024		Yes	Yes	
NEWELL BRANDS INC.	Board Member	3	Jan 01, 2023		Yes	Yes	
CARTER'S, INC.	Board Member	4	May 18, 2022		Yes	Yes	
DOLLAR TREE, INC.	Board Member	8	Jan 11, 2018		Yes	Yes	

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CARTER'S, INC. (CRI)

MSCI ESG RATINGS AAA

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Pay	Member
CARTER'S, INC.	Corporate Governance	Member
CARTER'S, INC.	Nomination	Member
DOLLAR TREE, INC.	Corporate Governance	Member
DOLLAR TREE, INC.	Nomination	Member
Edgewell Personal Care Company	Pay	Member
Edgewell Personal Care Company	Corporate Governance	Chair
Edgewell Personal Care Company	Nomination	Chair
NEWELL BRANDS INC.	Pay	Member
NEWELL BRANDS INC.	Corporate Governance	Member
NEWELL BRANDS INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	98.1%	1.9%
DOLLAR TREE, INC.	2026	97.5%	2.5%
Edgewell Personal Care Company	2026	98.4%	1.6%
NEWELL BRANDS INC.	2026	91.8%	8.2%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Non-Executive	4	2024	167,000	327,006	8,628
DOLLAR TREE, INC.	Non-Executive	8	2025	180,000	330,000	20,897
Edgewell Personal Care Company	Non-Executive	2	2025	103,750	263,750	9,112
NEWELL BRANDS INC.	Non-Executive	3	2025	115,000	274,999	22,474

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

WILLIAM MONTGORIS

Age:	78	Financial:	Yes
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	Banks - Banks

BIOGRAPHICAL INFORMATION

CARTER'S, INC. - Board Member, Chairman Source Date: 04/04/2025

William J Montgorirsetired as Chief Operating Officer of The Bear Stearns Companies Inc Bear Stearns in 1999 a position he held since August 1993 after spending 20 years with the company While at Bear Stearns Mr Montgoris also served as the companys Chief Financial Officer from April 1987 until October 1996 Mr Montgoris is a trustee of the Hackensack Meridian School of Medicine and a trustee emeritus of Colby College and St Johns University Director Qualifications Valuable perspectives and insights with respect to finance and accounting after spending over 20 years in the investment banking industry His financial expertise provides our Board a deep understanding of financial and auditrelated matters Valuable insight with respect to the retail industry and the oversight of public companies

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
CARTER'S, INC.	Board Member, Chairman	18	Aug 01, 2007		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
CARTER'S, INC.	Corporate Governance	Chair
CARTER'S, INC.	Nomination	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
CARTER'S, INC.	2025	93.5%	6.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
CARTER'S, INC.	Chair	18	2024	191,000	351,006	45,203

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RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

EU Regulation 2024/3005 disclosures

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- the ***Social Weight*** represents the sum of the weights of all Key Issues that fall under the Social Pillar
- the ***Governance Weight*** represents the sum of the weights of Corporate Governance and Corporate Behavior, with a minimum weight set at 33% for all rated issuers

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- ***Exposure*** Score (available for companies published since June 2011; excluding Raw Material Sourcing – Environmental)
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WEIGHTED-AVERAGE KEY ISSUE SCORE VS. INDUSTRY RELATIVE SCORE

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CARTER'S, INC. (CRI)



RATING ACTION DATE: August 03, 2026
LAST REPORT UPDATE: November 05, 2026

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RATING ACTION DATE: August 03, 2026
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News

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Carter's Q3 Earnings Beat Estimates on Pricing and Margin Gains
11/02/2026

CRI's Q3 earnings beat estimates as pricing, productivity and retail momentum lift margins, while cautious consumer demand prompts a lowered sales outlook.

Carter's, Inc. CRI reported solid third-quarter fiscal 2026 results, wherein earnings and revenues surpassed the Zacks Consensus Estimate. Revenues declined year over year, while earnings increased.
CRI posted adjusted earnings of $1.03 per share, beating the Zacks Consensus Estimate of 85 cents. Earnings increased 39.2% from 74 cents in the year-ago quarter.

Net sales declined 0.7% year over year to $752.5 million but exceeded the Zacks Consensus Estimate of $750 million. Higher realized pricing, productivity improvements and stronger retail performance in September supported profitability. U.S. Retail comparable sales increased 0.4%, aided by double-digit comparable-sales growth in September.

Carter's, Inc. Price, Consensus and EPS Surprise

Carter's, Inc. price-consensus-eps-surprise-chart | Carter's, Inc. Quote

CRI's Q3 Segment Performance

U.S. Retail segment sales remained nearly flat year over year at $362.6 million, beating the Zacks Consensus Estimate of $357 million. Comparable sales increased 0.4%, building on 2% growth in the prior-year quarter. Average unit retail prices rose in the low-single digits, while units declined in the low-single digits. Continued strength in baby and toddler products offset softer demand for older kids' back-to-school assortments.

U.S. Wholesale net sales declined 3.8% year over year to $273.1 million, missing the Zacks Consensus Estimate of $282 million, primarily due to shipment timing that benefited the preceding quarter. Higher pricing was more than offset by lower units. However, segment operating income increased 10.7% to $48.7 million, beating the Zacks Consensus Estimate of $27.8 million, while operating margin expanded 230 basis points to 17.8%.

International segment sales increased 4.5% to $116.7 million, beating the Zacks Consensus Estimate of $111 million, supported by growth across Canada, Mexico and international wholesale partners. Canadian sales rose 4%, while comparable sales increased 2%. Mexico recorded 8% comparable-sales growth. International operating income advanced 27.6% to $11.7 million, beating the Zacks Consensus Estimate of $7.6 million, with operating margin expanding 180 basis points to 10%.

Carter's Retail Initiatives Support Demand

The company benefited from targeted merchandising and promotional initiatives that helped reverse weaker consumer demand earlier in the quarter. September's double-digit retail comparable-sales growth reflected improved engagement with core baby products and more focused marketing efforts.

Carter's launched its first major brand refresh in 25 years, introducing a new logo and positioning aimed at younger parents. The initiative generated more than 1.6 billion media impressions and an 18% increase in branded searches. Its Stellar Sleep initiative also gained traction, with comparable sleepwear sales increasing 18% during the quarter.

Focus on CRI's Q3 Margins

Adjusted gross margin expanded 200 basis points year over year to 47.1%. A higher sales mix from U.S. Retail and improved realized pricing supported profitability, offsetting increased tariff costs and investments in product quality. Consolidated average unit retail prices increased in the mid-single digits.

Adjusted selling, general and administrative expenses declined nearly 2% to $303 million. Productivity initiatives, including store closures, more than offset increased marketing spending and inflationary pressures on wages and rents. The company achieved 30 basis points of expense leverage.

Adjusted operating income increased 44.6% to $56.9 million, while adjusted operating margin expanded 240 basis points to 7.6%. Higher pricing and disciplined spending supported the improvement despite relatively flat consolidated sales.

Carter's Financial Position Remains Strong

Carter's ended the quarter with $451 million in cash and cash equivalents and $75 million in short-term investments. Total liquidity stood at approximately $1.1 billion. Inventories declined 10.5% year over year to $587 million, reflecting improved working-capital management.

Operating cash flow totaled $101.8 million during the first nine months compared with cash used of $136.3 million in the prior-year period. Free cash flow reached $72 million against negative $179 million a year earlier. The improvement reflected tariff recoveries and working-capital benefits. Carter's paid $27.5 million in dividends during the nine-month period without repurchasing shares.

CRI's Q4 Outlook Reflects Cautious Demand

For the fourth quarter of fiscal 2026, Carter's expects net sales of $860-$880 million compared with $925 million in the prior-year period, which included an additional week. Adjusted operating income is projected to be $74-$83 million, while adjusted earnings are anticipated to be $1.37-$1.55 per share.

The outlook assumes higher gross margin, comparable to low-single-digit lower SG&A expenses and approximately $10 million in net interest expense. Management expects softer U.S. Retail demand and moderated wholesale replenishment orders amid continued consumer spending pressures.

Carter's Updates Fiscal 2026 Sales Guidance

The Zacks Rank #2 (Buy) company now expects its full-year net sales to be between $2.91-$2.93 billion, which suggests year over year increase of approximately 1%, or 2% excluding the prior year's additional week, compared to the previously guided 2% to 3% growth.

CRI maintained its adjusted operating income outlook of $178-$187 million and adjusted earnings guidance of $3.05-$3.23 per share. Operating cash flow is now projected to be in the range of $240-$250 million, with capital expenditures of approximately $50 million. Management expects a slightly lower gross margin, comparable SG&A expenses and net interest expense of approximately $32 million.

In the past six months, CRI's shares have lost 6.4% compared with the industry's 10.9% growth.

Image Source: Zacks Investment Research

Other Stocks to Consider

Some other top-ranked stocks have been discussed below:

Vince Holding Corp. VNCE provides luxury apparel and accessories in the United States and internationally. It operates through Vince Wholesale and Vince Direct-to-Consumer segments. At present, the company carries a Zacks Rank of 1 (Strong Buy).

The Zacks Consensus Estimate for VNCE's current fiscal-year sales and earnings implies growth of 14% and 175%, respectively, from the year-ago reported figures. VNCE has delivered a trailing four-quarter earnings surprise of 561.4%, on average.

The Crocs, Inc. CROX designs, develops, manufactures, markets, distributes, and sells casual lifestyle footwear and accessories for men, women, and kids. At present, CROX carries a Zacks Rank of 1.

The Zacks Consensus Estimate for CROX's current fiscal-year sales and earnings implies growth of 2.1% and 16.9%, respectively, from the year-ago figures. CROX delivered a trailing four-quarter earnings surprise of 10.9%, on average.

G-III Apparel Group, Ltd. GIII designs, sources, and markets women's and men's apparel in the United States and internationally. GIII currently carries a Zacks Rank of 2.

The Zacks Consensus Estimate for GIII's current financial-year sales and earnings is expected to decline 8.4% and 13.8%, respectively, from the corresponding year-ago reported figures. GIII delivered a trailing four-quarter negative earnings surprise of 1.4%, on average.

Source: zacks.com

Sarah Crockett Appointed Global Chief Brand Officer at Carter’s Inc.
11/02/2026

Sarah Crockett has announced her appointment as Global Chief Brand Officer at Carter’s Inc. , marking a new chapter in her professional career.

Sharing the update on LinkedIn, Crockett expressed her enthusiasm about taking on the global leadership role at the American children’s apparel company, known for its Carter’s, OshKosh B’gosh and other children’s clothing brands.
In her new position, Crockett will take on global brand leadership responsibilities, contributing to the company’s brand strategy, positioning and continued development across its portfolio.

Her appointment comes as Carter’s continues to strengthen its presence in the global children’s apparel market, focusing on brand relevance and consumer engagement.

About Carter

Carter’s, Inc. is the largest branded marketer in the United States and Canada of apparel and related products exclusively for babies and young children. The Company owns the Carter’s and OshKosh B’gosh brands, two of the most recognized brands in the marketplace. These brands are sold in leading department stores, national chains, and specialty retailers domestically and internationally. They are also sold through nearly 1,000 Company-operated stores in the United States and Canada and on-line at www.carters.com, www.oshkosh.com, and www.cartersoshkosh.ca. The Company’s Just One You, Precious Firsts, and Genuine Kids brands are available at Target, its Child of Mine brand is available at Walmart, and its Simple Joys brand is available on Amazon.com. The Company also owns Skip Hop, a global lifestyle brand for families with young children. Carter’s is headquartered in Atlanta, Georgia. If you dream of working with innovative colleagues who support and inspire you, Count on Carter’s.

Source: Perfect Sourcing

Carter's reports Q3 adjusted EPS $1.03, consensus 85c
10/30/2026

Reports Q3 revenue $752M, consensus $748.13M. "I am pleased with the significant progress of the company's profitability improvement initiatives in the third quarter, especially in light of delivering slight growth in U.S. Retail comparative sales and overall net sales that were slightly above our outlook amid an uneven macroeconomic environment. As the quarter unfolded, the U.S. Retail team quickly and effectively worked to adjust our marketing and promotional efforts in response to the challenges to help deliver these results. Our solid third quarter performance is currently expected to contribute to another year of growth in net sales, U.S. Retail comparable sales, and operating profit for fiscal 2026, even as we moderate our revenue outlook to reflect the continued pressure on our consumers from the ongoing economic and geopolitical uncertainty," said Sharon Price John, Chief Executive Officer & President.
"Separately, over the past several months in my new role, we have continued to define a strategic framework based on our tenets of keeping the consumer at the center of all that we do, leveraging the power of our market-leading brands, and utilizing our meaningful data and insights to drive innovation and decision making while staying focused on delivering profitable sales. Indicative of our intent to take significant and rapid steps to improve the business, for the first time in 25 years, during the quarter we successfully launched a comprehensive initiative for our flagship Carter's brand, including a reimagined logo and brand promise of "let every child's light shine", with the goal of increasing appeal and relevance to today's generation of parents. Separately, we announced the evolution of our leadership structure designed to increase synergy, improve processes, and better align with our go-forward strategy. While early, I'm encouraged by our progress and believe we are well positioned to continue to unlock this iconic company's potential to deliver meaningful shareholder returns over time," John concluded.

Source: thefly.com

Carter's: Q3 Earnings Snapshot
10/30/2026

ATLANTA (AP) — ATLANTA (AP) — Carter's Inc. (CRI) on Friday reported earnings of $36.6 million in its third quarter.

On a per-share basis, the Atlanta-based company said it had net income of $1. Earnings, adjusted for non-recurring costs, were $1.03 per share.
The maker of children's apparel and accessories posted revenue of $752.5 million in the period.

For the current quarter ending in December, Carter's expects its per-share earnings to range from $1.37 to $1.55.

The company said it expects revenue in the range of $860 million to $880 million for the fiscal fourth quarter.

Carter's expects full-year earnings in the range of $3.05 to $3.23 per share, with revenue ranging from $2.91 billion to $2.93 billion.

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This story was generated by Automated Insights (http://automatedinsights.com/ap) using data from Zacks Investment Research. Access a Zacks stock report on CRI at https://www.zacks.com/ap/CRI

Source: Associated Press Newswires

***Carter's 3Q Net $155.9M >CRI**
10/30/2026

30 Oct 2026 06:04 ET Press Release: Carter's, Inc. Reports Third Quarter Fiscal 2026 Results

-- Net sales $752 million vs. $758 million in Q3 2025, decrease of 0.7% -- U.S. Retail comparable sales increased 0.4% -- Operating income $56 million vs. $29 million in Q3 2025 -- Adjusted operating income $57 million vs. $39 million in Q3 2025, growth of 45% -- Diluted EPS $1.00 vs. $0.32 in Q3 2025 -- Adjusted diluted EPS $1.03 vs. $0.74 in Q3 2025, growth of 39% -- Returned $27 million to shareholders through dividends in the first three quarters of fiscal 2026 -- Announced strategic evolution of leadership structure; see separate press release issued today -- Updates full year 2026 outlook ATLANTA--(BUSINESS WIRE)--October 30, 2026--
Carter's, Inc. (NYSE:CRI), North America's largest and most-enduring apparel company exclusively for babies and young children, today reported its third quarter fiscal 2026 results.

"I am pleased with the significant progress of the company's profitability improvement initiatives in the third quarter, especially in light of delivering slight growth in U.S. Retail comparative sales and overall net sales that were slightly above our outlook amid an uneven macroeconomic environment. As the quarter unfolded, the U.S. Retail team quickly and effectively worked to adjust our marketing and promotional efforts in response to the challenges to help deliver these results. Our solid third quarter performance is currently expected to contribute to another year of growth in net sales, U.S. Retail comparable sales, and operating profit for fiscal 2026, even as we moderate our revenue outlook to reflect the continued pressure on our consumers from the ongoing economic and geopolitical uncertainty," said Sharon Price John, Chief Executive Officer & President. "Separately, over the past several months in my new role, we have continued to define a strategic framework based on our tenets of keeping the consumer at the center of all that we do, leveraging the power of our market-leading brands, and utilizing our meaningful data and insights to drive innovation and decision making while staying focused on delivering profitable sales. Indicative of our intent to take significant and rapid steps to improve the business, for the first time in 25 years, during the quarter we successfully launched a comprehensive initiative for our flagship Carter's brand, including a reimagined logo and brand promise of "let every child's light shine", with the goal of increasing appeal and relevance to today's generation of parents. Separately, we announced the evolution of our leadership structure designed to increase synergy, improve processes, and better align with our go-forward strategy. While early, I'm encouraged by our progress and believe we are well positioned to continue to unlock this iconic company's potential to deliver meaningful shareholder returns over time," Ms. John concluded.

Adjustments to Reported GAAP Results

In addition to the results presented in this earnings release in accordance with GAAP, the Company has provided adjusted, non-GAAP financial measurements, as presented below. The Company believes these non-GAAP financial measurements provide a meaningful comparison of the Company's results and afford investors a view of what management considers to be the Company's core performance. These measures are presented for informational purposes only. See "Reconciliation of Adjusted Results to GAAP" section of this release for additional disclosures and reconciliations regarding these non-GAAP financial measures.

Third quarter fiscal 2026 results included expenses associated with intellectual property litigation costs. Results for the first three quarters of fiscal 2026 included a benefit related to the receipt of a refund of previously paid import duties and related interest as well as expenses associated with leadership transition and intellectual property litigation costs. Third quarter and the first three quarters of fiscal 2025 results included expenses related to organizational restructuring initiatives, operating model improvement costs, leadership transition costs, a non-cash charge for settlement of the OshKosh B'Gosh Pension Plan, and a tax charge associated with the termination of the Company's deferred compensation plan.

Third Fiscal Quarter ---------- 2026 2025 ---------- ---------- (In millions, except earnings Operating % Net Net Diluted Operating % Net Net Diluted per share) Income Sales Income EPS Income Sales Income EPS ----------- ------- ------ --------- ----------- ------ ------ --------- As reported (GAAP) $ 55.8 7.4% $ 36.6 $ 1.00 $ 29.1 3.8% $ 11.6 $ 0.32 IP litigation 1.2 0.9 0.02 -- -- -- Organizational restructuring -- -- -- 6.1 4.6 0.13 Operating model improvement costs -- -- -- 3.7 2.8 0.08 Leadership transition costs -- -- -- 0.5 0.4 0.01 Pension plan settlement -- -- -- -- 6.7 0.18 Deferred compensation plan termination -- -- -- -- 0.8 0.02 ------- ----- ----- ------- ----- ----- As adjusted $ 56.9 7.6% $ 37.5 $ 1.03 $ 39.4 5.2% $ 26.8 $ 0.74 ======= ===== ===== ======= ===== ===== First Three Quarters ---------- 2026 2025 ---------- ---------- (In millions, except earnings Operating % Net Net Diluted Operating % Net Net Diluted per share) Income Sales Income EPS Income Sales Income EPS ----------- -------- -------- ------- ----------- ------- ------ --------- As reported (GAAP) $ 224.0 10.9% $ 155.9 $ 4.27 $ 59.2 3.0% $ 27.6 $ 0.75 Tariff refund recovery (127.7) (100.1) (2.74) -- -- -- Leadership transition costs 4.7 3.6 0.10 7.7 7.0 0.19 IP litigation 2.4 1.8 0.05 -- -- -- Organizational restructuring -- -- -- 6.1 4.6 0.13 Operating model improvement costs -- -- -- 13.5 10.2 0.29 Pension plan settlement -- -- -- -- 6.7 0.19 Deferred compensation plan termination -- -- -- -- 0.8 0.02 ------ ------ ----- ------- ----- ----- As adjusted $ 103.5 5.0% $ 61.2 $ 1.68 $ 86.5 4.4% $ 56.9 $ 1.57 ====== ====== ===== ======= ===== ===== Note: Results may not be additive due to rounding.

Consolidated Results

Third Quarter Fiscal 2026 compared to Third Quarter Fiscal 2025

Net sales decreased $5.4 million, or 0.7%, to $752.5 million, compared to $757.8 million in the third quarter of fiscal 2025. Net sales increased 4.5% in the International segment, were comparable to prior year in U.S. Retail, and decreased 3.8% in U.S. Wholesale. U.S. Retail comparable net sales increased 0.4%. Changes in foreign currency exchange rates used for translation had a favorable effect on consolidated net sales of approximately $0.9 million, or 0.1% in the third quarter of fiscal 2026, as compared to the third quarter of fiscal 2025.

Operating income increased $26.7 million, or 91.7%, to $55.8 million, compared to $29.1 million in the third quarter of fiscal 2025, reflecting higher realized pricing, benefits from productivity initiatives, and the non-recurrence of organizational restructuring and operating model improvement costs in the prior year period. These benefits were partially offset by increased marketing investments as well as general cost inflation. Operating margin increased to 7.4%, compared to 3.8% in the prior year.

Adjusted operating income (a non-GAAP measure) increased $17.6 million, or 44.6% to $56.9 million, compared to $39.4 million in the third quarter of fiscal 2025, principally due to higher realized pricing and benefits from productivity initiatives, which more than offset increased marketing investments and general cost inflation. Adjusted operating margin increased to 7.6%, compared to 5.2% in the prior year period.

Net income was $36.6 million, or $1.00 per diluted share, compared to $11.6 million, or $0.32 per diluted share, in the third quarter of fiscal 2025.

Adjusted net income (a non-GAAP measure) was $37.5 million, compared to $26.8 million in the third quarter of fiscal 2025. Adjusted earnings per diluted share (a non-GAAP measure) was $1.03, compared to $0.74 in the prior-year quarter.

First Three Quarters of Fiscal 2026 compared to First Three Quarters of Fiscal 2025

30 Oct 2026 06:04 ET Press Release: Carter's, Inc. Reports Third -2-

Net sales increased $76.1 million, or 3.9%, to $2.05 billion, compared to $1.97 billion in the first three quarters of fiscal 2025, reflecting growth in each segment. Net sales in the International, U.S. Retail, and U.S. Wholesale segments grew 6.8%, 4.5%, and 1.8%, respectively. U.S. Retail comparable net sales increased 5.0%. Changes in foreign currency exchange rates used for translation had a favorable effect on consolidated net sales of approximately $8.9 million, or 0.5% in the first three quarters of fiscal 2026, as compared to the first three quarters of fiscal 2025.

Operating income increased $164.8 million to $224.0 million, compared to $59.2 million in the first three quarters of fiscal 2025, reflecting a recovery of previously paid import

duties, benefits from productivity initiatives, and the non-recurrence of organizational restructuring and operating model improvement costs in the prior year period. These benefits were partially offset by incremental tariff costs, increased marketing investments, and general cost inflation. Operating margin increased to 10.9%, compared to 3.0% in the prior year period.

Adjusted operating income (a non-GAAP measure) increased $17.0 million, or 19.6% to $103.5 million, compared to $86.5 million in the first three quarters of fiscal 2025, principally due to higher net sales and the benefits from productivity initiatives, which more than offset incremental tariff costs, increased marketing investments, and general cost inflation. Adjusted operating margin increased to 5.0%, compared to 4.4% in the prior year period.

Net income was $155.9 million, or $4.27 per diluted share, compared to $27.6 million, or $0.75 per diluted share, in the first three quarters of fiscal 2025.

Adjusted net income (a non-GAAP measure) was $61.2 million, compared to $56.9 million in the first three quarters of fiscal 2025. Adjusted earnings per diluted share (a non-GAAP measure) was $1.68, compared to adjusted earnings per diluted share of $1.57 in the first three quarters of fiscal 2025.

Net cash provided by operations in the first three quarters of fiscal 2026 was $101.8 million, compared to net cash used in operations of $136.3 million in the first three quarters of fiscal 2025. The improved operating cash flow was primarily driven by the receipt of a refund of previously paid import duties and improved working capital.

See "Reconciliation of Adjusted Results to GAAP" sections of this release for additional disclosures regarding non-GAAP measures.

Return of Capital

In the third quarter of fiscal 2026, the Company paid a cash dividend of $0.25 per common share totaling $9.1 million. In the first three quarters of fiscal 2026, the Company paid cash dividends totaling $27.5 million. No shares were repurchased in the first three quarters of fiscal 2026.

Future declarations of quarterly dividends and the establishment of future record and payment dates will be at the discretion of the Company's Board of Directors based on a number of factors, including business conditions, the Company's future financial performance, investment priorities, and other considerations.

2026 Business Outlook

The Company does not reconcile forward-looking adjusted operating income or adjusted diluted earnings per share to its most directly comparable GAAP measures because it cannot predict with reasonable certainty the ultimate outcome of certain components of such reconciliations that are not within its control due to factors described above, or others that may arise, without unreasonable effort. For these reasons, the Company is unable to assess the probable significance of the unavailable information, which could materially impact the amount of future operating income or diluted EPS, the most directly comparable GAAP metrics to adjusted operating income and adjusted diluted earnings per share, respectively.

The Company's fiscal year 2025 and fourth quarter of 2025 included a 53rd week, which contributed approximately $37 million in consolidated net sales.

The Company's outlook (and related assumptions) for the fourth quarter 2026 includes an anticipated non-GAAP adjustment for third-party legal costs related to IP litigation of approximately $1 million to $2 million. The Company's full-year fiscal 2026 outlook (and related assumptions) includes anticipated non-GAAP adjustments for leadership transition costs and third-party legal costs related to IP litigation of approximately $8 million to $9 million and a recovery of previously paid import duties and related interest of $132 million.

For fiscal year 2026 (a 52 week fiscal year), the Company projects approximately:

-- $2.91 billion to $2.93 billion in net sales ($2.898 billion in fiscal 2025, a 53 week fiscal year); -- $178 million to $187 million in adjusted operating income, reflecting low-single digit to mid-single digit percentage growth ($176 million in fiscal 2025); -- $3.05 to $3.23 in adjusted diluted earnings per share, reflecting a high-single digit to low-double digit percentage decline ($3.47 in fiscal 2025); -- Operating cash flow of $240 million to $250 million; and -- Capital expenditures of $50 million.

The Company's outlook for fiscal year 2026 assumes (comparisons vs. prior year unless otherwise noted):

-- Slightly lower gross margin rate; -- Comparable SG&A expense; -- Net interest expense of approximately $32 million; -- Effective tax rate of approximately 23%; and -- Average number of shares outstanding of approximately 36 million.

For the fourth quarter of fiscal 2026 (a 13 week fiscal quarter), the Company projects approximately:

-- $860 million to $880 million in net sales ($925 million in Q4 fiscal 2025, a 14 week fiscal quarter); -- $74 million to $83 million in adjusted operating income ($89 million in Q4 fiscal 2025); and -- $1.37 to $1.55 in adjusted diluted earnings per share ($1.90 in Q4 fiscal 2025).

The Company's outlook for fourth quarter fiscal 2026 assumes (comparisons vs. prior year unless otherwise noted):

-- Higher gross margin rate; -- Comparable to low-single digit decrease in SG&A expense; -- Net interest expense of approximately $10 million; -- Average number of shares outstanding of approximately 36 million.

Conference Call

The Company will hold a conference call with investors to discuss third quarter fiscal 2026 results and its business outlook on October 30, 2026, at 8:30 a.m. Eastern Time (ET). To listen to a live webcast and view the accompanying presentation materials, please visit ir.carters.com and select links for "News & Events" followed by "Events." To access the call by phone, please preregister on https://register-conf.media-server.com/register/BI7875ac900b784e79b5a34e479a9e48d7 to receive your dial-in number and unique passcode. A presentation of third quarter results will be available in the "Events" section at ir.carters.com at approximately 7:00 a.m. ET. Important information may be disseminated initially or exclusively via the website; investors should consult the site to access this information.

A webcast replay will be available shortly after the conclusion of the call at ir.carters.com.

About Carter's, Inc.

Carter's, Inc. is North America's largest and most-enduring apparel company exclusively for babies and young children. The Company's core brands are Carter's and OshKosh B'gosh, iconic and among the sector's most trusted names. These brands are sold through more than 1,000 Company-operated stores in the United States, Canada, and Mexico, and online at www.carters.com, www.oshkosh.com, www.cartersoshkosh.ca, and www.carters.com.mx. Carter's also is the largest supplier of baby and young children's apparel to North America's biggest retailers. The Company's Child of Mine brand is available exclusively at Walmart, its Just One You brand is available at Target, and its Simple Joys brand is available on Amazon.com. The Company's emerging brands include Little Planet, crafted with organic fabrics and sustainable materials, Otter Avenue, a toddler-focused apparel brand, and Skip Hop, baby essentials from tubs to toys. Carter's is headquartered in Atlanta, Georgia. Additional information may be found at www.carters.com.

Forward Looking Statements

Statements in this press release that are not historical fact and use predictive words such as "estimates", "outlook", "guidance", "expect", "believe", "intend", "designed", "target",

"plans", "may", "will", "opportunities", "are confident" and similar words are forward-looking statements (as such term is defined in the Private Securities Litigation Reform Act of 1995). These forward-looking statements and related assumptions involve risks and uncertainties that could cause actual results and outcomes to differ materially from any forward-looking statements or views expressed in this press release. These risks and uncertainties include, but are not limited to, those disclosed in Part II, Item 1A. "Risk Factors" of the Company's Quarterly Report on Form 10-Q for the fiscal quarter ended October 3, 2026 and Part I, Item 1A. "Risk Factors" of the Company's Annual Report on Form 10-K for the fiscal year ended January 3, 2026, and otherwise in our reports and filings with the Securities and Exchange Commission, as well as the following factors: changes in global economic and financial conditions, and the resulting impact on consumer confidence and consumer spending, as well as other changes in consumer discretionary spending habits; risks related to public health crises; risks related to the organizational restructuring plan, including, but not limited to, our ability to achieve the expected savings from the plan and to fully implement the plan; risks related to consumer tastes and preferences, as well as fashion trends; the failure to protect our intellectual property; the diminished value of our brands, potentially as a result of negative publicity

or unsuccessful branding and marketing efforts; delays, product recalls, or loss of revenue due to a failure to meet our quality standards; risks related to uncertainty regarding the future of international trade agreements and the United States' position on international trade, as well as significant political, trade, and regulatory developments and other circumstances beyond our control; the roll-back of incremental tariffs imposed under the International Emergency Economic Powers Act (the "incremental tariffs") and any additional actions taken in response to their roll-back, including, but not limited to, tariffs imposed pursuant to Section 122 of the Trade Act of 1974 and tariffs imposed under Section 301 of the Trade Act of 1974; our ability to recover refunds of incremental tariff amounts or other tariff amounts paid; increased competition in the marketplace; ongoing political and economic conflicts that could impact our global and domestic operations, including, but not limited to, the conflict between the United States, Israel, and Iran; financial difficulties for one or more of our major customers; identification of locations and negotiation of appropriate lease terms for our retail stores; distinct risks facing our eCommerce business; failure to forecast demand for our products and our failure to manage our inventory; increased margin pressures, including increased cost of materials and labor and our inability to successfully increase prices to offset these increased costs; continued inflationary pressures with respect to labor and raw materials and global supply chain constraints that have, and could continue, to affect freight, transit, and other costs; fluctuations in foreign currency exchange rates; unseasonable or extreme weather conditions; risks associated with corporate responsibility issues; our foreign sourcing arrangements; a relatively small number of vendors supply a significant amount of our products; disruptions in our supply chain, including increased transportation and freight costs; our ability to effectively source and manage inventory; problems with our Braselton, Georgia distribution facility; pending and threatened lawsuits; a breach of our information technology systems and the loss of personal data or a failure to implement new information technology systems successfully; unsuccessful expansion into international markets; failure to comply with various laws and regulations; failure to properly manage strategic initiatives; retention of key individuals; acquisition and integration of other brands and businesses; failure to achieve sales growth plans and profitability objectives to support the carrying value of our intangible assets; our continued ability to meet obligations related to our debt; changes in our tax obligations, including additional customs, duties or tariffs; our continued ability to declare and pay a dividend; the timing of, and our ability to conduct, share repurchases; volatility in the market price of our common stock; and the cost or effort required for our shareholders to bring certain claims or actions against us, as a result of our designation of the Court of Chancery of the State of Delaware as the sole and exclusive forum for certain types of actions and proceedings. Except for any ongoing obligations to disclose material information as required by federal securities laws, the Company does not undertake any obligation to publicly update or revise any forward-looking statements, whether as a result of new information, future events, or otherwise. The inclusion of any statement in this press release does not constitute an admission by the Company or any other person that the events or circumstances described in such statement are material.

CARTER'S, INC. CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (dollars in thousands, except per share data) (unaudited) Three Fiscal Quarters Fiscal Quarter Ended Ended ---------- ---------- October September October 3, September 27, 3, 2026 27, 2025 2026 2025 --------- ---------- ---------- ---------- Net sales $752,456 $757,836 $2,049,060 $1,972,975 Cost of goods sold 397,690 416,208 987,822 1,058,497 ------- ------- --------- --------- Gross profit 354,766 341,628 1,061,238 914,478 Royalty income, net 5,176 5,428 13,158 14,008 Selling, general, and administrative expenses 304,172 317,963 850,357 869,246 ------- ------- --------- --------- Operating income 55,770 29,093 224,039 59,240 Interest expense 11,826 7,173 34,895 22,849 Interest income (4,797) (2,573) (16,536) (10,007) Other expense (income), net 329 882 766 (265) Pension plan settlement -- 8,777 -- 8,777 ------- ------- --------- --------- Income before income taxes 48,412 14,834 204,914 37,886 Income tax provision 11,801 3,241 49,009 10,308 ------- ------- --------- --------- Net income $ 36,611 $ 11,593 $ 155,905 $ 27,578 ======= ======= ========= ========= Basic net income per common share $ 1.00 $ 0.32 $ 4.27 $ 0.75 Diluted net income per common share $ 1.00 $ 0.32 $ 4.27 $ 0.75 Dividend declared and paid per common share $ 0.25 $ 0.25 $ 0.75 $ 1.30 CARTER'S, INC. BUSINESS SEGMENT RESULTS (dollars in thousands) (unaudited) Fiscal Quarter Ended Three Fiscal Quarters Ended ---------- ---------- October % of Total Net September % of Total Net October % of Total Net September % of Total Net 3, 2026 Sales 27, 2025 Sales 3, 2026 Sales 27, 2025 Sales --------- ---------- --------- ---------- ---------- ---------- ---------- ---------- Net sales: ---------- U.S. Retail $362,624 48.2% $362,307 47.8% $ 999,549 48.8% $ 956,288 48.5% U.S. Wholesale 273,110 36.3% 283,805 37.4% 740,069 36.1% 726,899 36.8% International 116,722 15.5% 111,724 14.8% 309,442 15.1% 289,788 14.7% ------- ------ ------ ------- ------ ------ --------- ------ ------ --------- ----- ------- Total consolidated net sales $752,456 100.0% $757,836 100.0% $2,049,060 100.0% $1,972,975 100.0% ======= ====== ====== ======= ====== ====== ========= ====== ====== ========= ===== ======= Segment Segment Segment Segment Segment operating operating operating operating operating income: margin margin margin margin ---------- ---------- ---------- ---------- ---------- U.S. Retail $ 19,307 5.3% $ 9,976 2.8% $ 32,597 3.3% $ 16,052 1.7% U.S. Wholesale 48,715 17.8% 43,998 15.5% 115,240 15.6% 126,369 17.4% International 11,705 10.0% 9,172 8.2% 21,273 6.9% 12,564 4.3% ------- ------- --------- --------- Total segment operating income $ 79,727 10.6% $ 63,146 8.3% $ 169,110 8.3% $ 154,985 7.9% ======= ======= ========= ========= Items not included in Consolida-ted Consolida-ted Consolida-ted Consolida-ted segment operating operating operating operating operating income: margin margin margin margin ---------- ---------- ---------- ---------- ---------- Tariff refund recovery (a) $ -- n/a $ -- n/a $ 127,669 n/a $ -- n/a Unallocated corporate expenses (b) (22,794) n/a (23,767) n/a (65,635) n/a (68,465) n/a

IP litigation (c) (1,163) n/a -- n/a (2,379) n/a -- n/a Leadership transition costs (d) -- n/a (500) n/a (4,726) n/a (7,694) n/a Operating model improvement costs (e) -- n/a (3,669) n/a -- n/a (13,469) n/a Organizational restructuring (f) -- n/a (6,117) n/a -- n/a (6,117) n/a ------- ------- --------- --------- Consolidated operating income $ 55,770 7.4% $ 29,093 3.8% $ 224,039 10.9% $ 59,240 3.0% ======= ======= ========= ========= (a) Related to $128 million of IEEPA tariff recoveries, excluding interest received, which are reflected as a reduction of Cost of goods sold in the first three quarters of fiscal 2026. (b) Unallocated corporate expenses include corporate overhead expenses that are not directly attributable to one of the Company's business segments and include unallocated accounting, finance, legal, human resources, and information technology expenses, occupancy costs for its corporate headquarters, and other benefit and compensation programs, including performance-based compensation. (c) Related legal defense costs arising from intellectual property litigation not in the ordinary course of business. (d) Related to costs associated with the retirement of Michael D. Casey, the Company's former Chief Executive Officer, in the first quarter of fiscal 2025 and costs related to the departure of Douglas C. Palladini, the Company's former Chief Executive Officer, in the second quarter of fiscal 2026. (e) Primarily related to third-party consulting costs. (f) Related to charges for severance and other termination benefits as a result of organizational restructuring. Note: Results may not be additive due to rounding. CARTER'S, INC. CONDENSED CONSOLIDATED BALANCE SHEETS (dollars in thousands, except per share data) (unaudited) October 3, January 3, September 27, 2026 2026 2025 ---------- ---------- ---------- ASSETS Current assets: Cash and cash equivalents $ 450,957 $ 487,075 $ 184,190 Short-term investments 75,000 -- -- Accounts receivable, net of allowance for credit losses of $11,231, $7,587, and $12,026, respectively 228,858 178,566 237,866 Finished goods inventories, net of inventory reserves of $15,394, $8,897, and $12,347, respectively 587,035 544,624 656,149 Prepaid expenses and other current assets 74,497 60,508 55,576 --------- --------- --------- Total current assets 1,416,347 1,270,773 1,133,781 Property, plant, and equipment, net of accumulated depreciation of $581,338, $609,059, and $599,467, respectively 177,632 186,307 189,012 Operating lease assets 562,384 591,806 611,569 Tradenames, net 268,483 268,659 268,718 Goodwill 207,559 208,994 208,351 Customer relationships, net 17,483 20,128 20,993 Other assets 19,389 18,803 37,015 --------- --------- --------- Total assets $2,669,277 $2,565,470 $2,469,439 ========= ========= ========= LIABILITIES AND SHAREHOLDERS' EQUITY Current liabilities: Accounts payable $ 254,353 $ 235,700 $ 240,235 Current operating lease liabilities 131,492 136,488 150,548 Other current liabilities 123,781 133,809 110,907 --------- --------- --------- Total current liabilities 509,626 505,997 501,690 Long-term debt, net 568,135 567,173 498,738 Deferred income taxes 43,340 39,380 41,200 Long-term operating lease liabilities 479,181 508,461 529,139 Other long-term liabilities 14,767 19,411 34,030 --------- --------- --------- Total liabilities $1,615,049 $1,640,422 $1,604,797 Commitments and contingencies Shareholders' equity: Preferred stock; par value $0.01 per share; 100,000 shares authorized; none issued or outstanding $ -- $ -- $ -- Common stock, voting; par value $0.01 per share; 150,000,000 shares authorized; 36,692,152, 36,425,877, and 36,518,637 shares issued and outstanding, respectively 367 364 365 Additional paid-in capital 26,751 19,584 18,029 Accumulated other comprehensive loss (30,719) (24,361) (28,107) Retained earnings 1,057,829 929,461 874,355 --------- --------- --------- Total shareholders' equity 1,054,228 925,048 864,642 --------- --------- --------- Total liabilities and shareholders' equity $2,669,277 $2,565,470 $2,469,439 ========= ========= ========= CARTER'S, INC. CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (dollars in thousands) (unaudited) Three Fiscal Quarters Ended ---------- October 3, 2026 September 27, 2025 ---------- ----------

Cash flows from operating activities: Net income $ 155,905 $ 27,578 Adjustments to reconcile net income to net cash provided by (used in) operating activities: Depreciation of property, plant, and equipment 36,698 37,797 Amortization of intangible assets 2,825 2,781 Provision for excess and obsolete inventory, net 6,581 3,912 Amortization of debt issuance costs 1,723 1,253 Stock-based compensation expense 10,951 18,667 Unrealized foreign currency exchange loss (gain), net 394 (393) Provision for credit losses 3,657 6,864 Unrealized gain on investments (1,589) (1,477) Pension plan settlement -- 8,777 Deferred income taxes expense 4,317 879 Other operating items, net (620) 21 Effect of changes in operating assets and liabilities: Accounts receivable (54,436) (48,893) Finished goods inventories (51,836) (153,621) Prepaid expenses and other assets (14,448) (25,509) Accounts payable and other liabilities 1,689 (14,946) --- ---------- ---------- Net cash provided by (used in) operating activities $ 101,811 $ (136,310) --- ---------- ---------- Cash flows from investing activities: Capital expenditures $ (29,663) $ (42,662) Purchases of short-term investments (75,000) -- --- ---------- ---------- Net cash used in investing activities $ (104,663) $ (42,662) --- ---------- ---------- Cash flows from financing activities: Dividends paid $ (27,465) $ (47,247) Withholdings from vesting of restricted stock (3,817) (4,489) Other -- (370) --- ---------- ---------- Net cash used in financing activities $ (31,282) $ (52,106) --- ---------- ---------- Net effect of exchange rate changes on cash and cash equivalents (1,984) 2,342 --- ---------- ----------

Net decrease in cash and cash equivalents $ (36,118) $ (228,736) Cash and cash equivalents, beginning of period 487,075 412,926 --- ---------- ---------- Cash and cash equivalents, end of period $ 450,957 $ 184,190 === ========== ========== CARTER'S, INC. RECONCILIATION OF GAAP TO ADJUSTED RESULTS (dollars in millions, except earnings per share) (unaudited) Fiscal Quarter Ended October 3, 2026 ---------- Cost of Goods Gross % Net SG&A % Net Operating % Net Interest Income Net Diluted Sold Profit Sales Expenses Sales Income Sales Income Taxes Income EPS ------ ------- --------- ---------- --------- ---------- --------- ------- ------- --------- As reported (GAAP) $397.7 $ 354.8 47.1% $ 304.2 40.4% $ 55.8 7.4% $ 4.8 $ 11.8 $ 36.6 $ 1.00 IP litigation (b) -- -- (1.2) 1.2 -- 0.3 0.9 0.02 ----- ------ ----- --------- --------- ------ ------ -------- As adjusted (a) $397.7 $ 354.8 47.1% $ 303.0 40.3% $ 56.9 7.6% $ 4.8 $ 12.1 $ 37.5 $ 1.03 ===== ====== ===== ========= ======== ====== ====== ======== Three Fiscal Quarters Ended October 3, 2026 -------- ---------- Cost of Goods Gross % Net SG&A % Net Operating % Net Interest Income Net Diluted Sold Profit Sales Expenses Sales Income Sales Income Taxes Income EPS -------- --------- --------- ---------- --------- ---------- --------- ---------- ------- -------- --------- As reported (GAAP) $ 987.8 $1,061.2 51.8% $ 850.4 41.5% $ 224.0 10.9% $ 16.5 $ 49.0 $ 155.9 $ 4.27 Tariff refund recovery (d) 127.7 (127.7) -- (127.7) (4.0) (31.6) (100.1) (2.74) Leadership transition costs (c) -- -- (4.7) 4.7 -- 1.1 3.6 0.10 IP litigation (b) -- -- (2.4) 2.4 -- 0.6 1.8 0.05 ------- ------- ----- ------ ---- ----- ------ ----- As adjusted (a) $1,115.5 $ 933.6 45.6% $ 843.2 41.2% $ 103.5 5.0% $ 12.5 $ 19.1 $ 61.2 $ 1.68 ======= ======= ===== ====== ==== ===== ====== ===== Fiscal Quarter Ended September 27, 2025 ------ ---------- Cost of Goods Gross % Net SG&A % Net Operating % Net Interest Income Net Diluted Sold Profit Sales Expenses Sales Income Sales Income Taxes Income EPS ------ ------- --------- ---------- --------- ---------- --------- --------- ------- --------- As reported (GAAP) $416.2 $ 341.6 45.1% $ 318.0 42.0% $ 29.1 3.8% $ 2.6 $ 3.2 $ 11.6 $ 0.32 Organizational restructuring (e) -- -- (6.1) 6.1 -- 1.5 4.6 0.13 Operating model improvement costs (f) -- -- (3.7) 3.7 -- 0.9 2.8 0.08 Leadership transition costs (c) -- -- (0.5) 0.5 -- 0.1 0.4 0.01 Pension plan settlement (g) -- -- -- -- -- 2.1 6.7 0.18 Deferred compensation plan termination (h) -- -- -- -- -- (0.8) 0.8 0.02 ----- ------ ----- --------- --------- ---- ------ ----- As adjusted (a) $416.2 $ 341.6 45.1% $ 307.7 40.6% $ 39.4 5.2% $ 2.6 $ 7.1 $ 26.8 $ 0.74 ===== ====== ===== ========= ======== ==== ====== ===== Three Fiscal Quarters Ended September 27, 2025 -------- ---------- Cost of Goods Gross % Net SG&A % Net Operating % Net Interest Income Net Diluted Sold Profit Sales Expenses Sales Income Sales Income Taxes Income EPS -------- ------- --------- ---------- --------- ---------- --------- --------- --------- ------- --------- As reported (GAAP) $1,058.5 $ 914.5 46.4% $ 869.2 44.1% $ 59.2 3.0% $ 10.0 $10.3 $ 27.6 $ 0.75 Operating model improvement costs (f) -- -- (13.5) 13.5 -- 3.2 10.2 0.29 Leadership transition costs (c) -- -- (7.7) 7.7 -- 0.7 7.0 0.19 Organizational restructuring (e) -- -- (6.1) 6.1 -- 1.5 4.6 0.13 Pension plan settlement (g) -- -- -- -- -- 2.1 6.7 0.19 Deferred compensation plan termination (h) -- -- -- -- -- (0.8) 0.8 0.02 ------- ------ ----- --------- -------- ---- ------ ----- As adjusted (a) $1,058.5 $ 914.5 46.4% $ 842.0 42.7% $ 86.5 4.4% $ 10.0 $17.0 $ 56.9 $ 1.57 ======= ====== ===== ========= ======== ==== ====== ===== Fiscal quarter ended January 3, 2026 (14 weeks) ---------- SG&A % Net Operating % Net Income Net Diluted Expenses Sales Income Sales Taxes Income EPS ---------- ---------- ---------- -------- ------- ------- --------- As reported (GAAP) $319.6 34.5% $ 84.7 9.2% $ 11.7 $ 64.2 $ 1.76 Organizational restructuring (e) (3.7) 3.7 0.9 2.8 0.08 Operating model improvement costs (f) (0.7) 0.7 0.2 0.5 0.01 Leadership transition costs (c) (0.4) 0.4 -- 0.3 0.01 Loss on extinguishment of debt (i) -- -- 0.4 1.3 0.03 ----- ---------- ------ ------ ----- As adjusted (a) $314.8 34.0% $ 89.5 9.7% $ 13.2 $ 69.2 $ 1.90 ===== ========== ====== ====== ===== Fiscal Year Ended January 3, 2026 (53 weeks) ---------- SG&A % Net Operating % Net Income Net Diluted Expenses Sales Income Sales Taxes Income EPS ---------- ---------- ---------- --------- --------- ------- --------- As reported (GAAP) $1,188.8 41.0% $ 143.9 5.0% $22.0 $ 91.8 $ 2.53 Operating model improvement costs (f) (14.2) 14.2 3.4 10.8 0.30 Organizational restructuring (e) (9.8) 9.8 2.4 7.5 0.20 Leadership transition costs (c) (8.1) 8.1 0.7 7.3 0.20 Pension plan

settlement (g) -- -- 2.1 6.7 0.18 Loss on extinguishment of debt (i) -- -- 0.4 1.3 0.03 Deferred compensation plan termination (h) -- -- (0.8) 0.8 0.03 ------- --------- ---- ------ ----- As adjusted (a) $1,156.7 39.9% $ 176.0 6.1% $30.3 $ 126.1 $ 3.47 ======= ========= ==== ====== ===== (a) In addition to the results provided in this earnings release in accordance with GAAP, the Company has provided adjusted, non-GAAP financial measurements that present COGS, gross profit, SG&A, operating income, interest income, income tax, net income, and net income on a diluted share basis excluding the adjustments discussed above. The Company believes these adjustments provide a meaningful comparison of the Company's results and afford investors a view of what management considers to be the Company's core performance. The adjusted, non-GAAP financial measurements included in this earnings release should not be considered as an alternative to net income or as any other measurement of performance derived in accordance with GAAP. The adjusted, non-GAAP financial measurements are presented for informational purposes only and are not necessarily indicative of the Company's future condition or results of operations. (b) Related legal defense costs arising from intellectual property litigation not in the ordinary course of business. (c) Related to costs associated with the retirement of Michael D. Casey, the Company's former Chief Executive Officer, in the first quarter of fiscal 2025 and costs related to the departure of Douglas C. Palladini, the Company's former Chief Executive Officer, in the second quarter of fiscal 2026. (d) Related to $132 million of IEEPA tariff recoveries, including $4 million of interest received. (e) Related to charges for severance and other termination benefits as a result of organizational restructuring. (f) Primarily related to third-party consulting costs. (g) Non-cash charges for settlement of the OshKosh B'Gosh Pension Plan. (h) Incremental income tax impact resulting from the announced termination of the Company's deferred compensation plan. (i) Related to redemption of the $500 million senior notes due 2027 and cash-flow based revolving credit facility. Note: Results may not be additive due to rounding. CARTER'S, INC. RECONCILIATION OF NET INCOME ALLOCABLE TO COMMON SHAREHOLDERS (unaudited) Fiscal Quarter Ended Three Fiscal Quarters Ended ---------- ---------- October 3, September October 3, September 27, 2026 27, 2025 2026 2025 ---------- ---------- ---------- ---------- Weighted-average number of common and common equivalent shares outstanding: Basic number of common shares outstanding 35,623,722 35,443,712 35,569,482 35,388,596 Dilutive effect of equity awards 12,505 146 7,957 348 ---------- ---------- ---------- ---------- Diluted number of common and common equivalent shares outstanding 35,636,227 35,443,858 35,577,439 35,388,944 ========== ========== ========== ========== As reported on a GAAP Basis: ---------- (dollars in thousands, except per share data) Basic net income per common share: Net income $ 36,611 $ 11,593 $ 155,905 $ 27,578 Income allocated to participating securities (842) (305) (4,103) (1,118) ---------- ---------- ---------- ---------- Net income available to common shareholders $ 35,769 $ 11,288 $ 151,802 $ 26,460 ========== ========== ========== ========== Basic net income per common share $ 1.00 $ 0.32 $ 4.27 $ 0.75 Diluted net income per common share: Net income $ 36,611 $ 11,593 $ 155,905 $ 27,578 Income allocated to participating securities (842) (305) (4,102) (1,118) ---------- ---------- ---------- ---------- Net income available to common shareholders $ 35,769 $ 11,288 $ 151,803 $ 26,460 ========== ========== ========== ========== ========== Diluted net income per common share $ 1.00 $ 0.32 $ 4.27 $ 0.75 As adjusted (a) : ---------- Basic net income per common share: Net income $ 37,491 $ 26,846 $ 61,238 $ 56,898 Income allocated to participating securities (863) (743) (1,561) (1,377) ---------- ---------- ---------- ---------- Net income available to common shareholders $ 36,628 $ 26,103 $ 59,677 $ 55,521 ========== ========== ========== ========== Basic net income per common share $ 1.03 $ 0.74 $ 1.68 $ 1.57 Diluted net income per common share: Net income $ 37,491 $ 26,846 $ 61,238 $ 56,898 Income allocated to participating securities (863) (743) (1,561) (1,377) ---------- ---------- ---------- ---------- Net income available to common shareholders $ 36,628 $ 26,103 $ 59,677 $ 55,521 ========== ========== ========== ========== Diluted net income per common share $ 1.03 $ 0.74 $ 1.68 $ 1.57 (a) In addition to the results provided in this earnings release in accordance with GAAP, the Company has provided adjusted, non-GAAP financial measurements that present per share data excluding the adjustments discussed above. The Company has excluded $0.9 million in after-tax expenses from these results for the fiscal quarter ended October 3, 2026, and $94.7 million in after-tax benefits from these results for the three fiscal quarters ended October 3, 2026. Additionally, the Company has excluded $15.3 million and $29.3 million in after-tax expenses from these results for the fiscal quarter and three fiscal quarters ended September 27, 2025, respectively. Note: Results may not be additive due to rounding. RECONCILIATION OF U.S. GAAP AND NON-GAAP INFORMATION (dollars in millions) (unaudited) The following table provides a reconciliation of net income to EBITDA and Adjusted EBITDA for the periods indicated: Four Fiscal Three Fiscal Quarters Quarters Fiscal Quarter Ended Ended Ended ---------- ---------- ---------- October September 27, October 3, September October 3, 3, 2026 2025 2026 27, 2025 2026 --------- ---------- ---------- ---------- ---------- Net income $36.6 $ 11.6 $ 155.9 $ 27.6 $ 220.1 Interest expense 11.8 7.2 34.9 22.8 46.3 Interest income (4.8) (2.6) (16.5) (10.0) (20.0) Income tax expense 11.8 3.2 49.0 10.3 60.7 Depreciation and amortization 12.9 13.8 39.5 40.6 54.2 ---- ----- ------ ------ ------ EBITDA $68.3 $ 33.2 $ 262.8 $ 91.3 $ 361.3

==== ===== ====== ====== ====== Adjustments to EBITDA Tariff refund recovery (a) $ -- $ -- $(127.7) $ -- $(127.7) IP litigation (b) 1.2 -- 2.4 -- 2.4 Leadership transition costs (c) -- 0.5 4.7 7.7 5.1 Operating model improvement costs (d) -- 3.7 -- 13.5 0.7 Organizational restructuring (e) -- 6.1 -- 6.1 3.7 Loss on extinguishment of debt (f) -- -- -- -- 1.7 Pension plan settlement (g) -- 8.8 -- 8.8 -- ---- ----- ------ ------ ------ Total

30 Oct 2026 06:04 ET Press Release: Carter's, Inc. Reports Third -7-

adjustments 1.2 19.1 (120.6) 36.1 (114.1) ---- ----- ------ ------ ------ Adjusted EBITDA $69.5 $ 52.3 $ 142.2 $ 127.4 $ 247.2 ==== ===== ====== ====== ====== (a) Related to $128 million of IEEPA tariff recoveries, excluding $4 million of interest received in the first three quarters of fiscal 2026. (b) Related legal defense costs arising from intellectual property litigation not in the ordinary course of business. (c) Related to costs associated with the retirement of Michael D. Casey, the Company's former Chief Executive Officer, in the first quarter of fiscal 2025 and costs related to the departure of Douglas C. Palladini, the Company's former Chief Executive Officer, in the second quarter of fiscal 2026. (d) Primarily related to third-party consulting costs. (e) Related to charges for severance and other termination benefits as a result of organizational restructuring. (f) Related to redemption of the $500 million senior notes due 2027 and cash-flow based revolving credit facility. (g) Non-cash charges for settlement of the OshKosh B'Gosh Pension Plan. Note: Results may not be additive due to rounding. EBITDA and Adjusted EBITDA are supplemental financial measures that are not defined or prepared in accordance with GAAP. The Company defines EBITDA as net income before interest, income taxes, and depreciation and amortization. Adjusted EBITDA is EBITDA adjusted for the items described in footnotes (a) - (g) to the table above. The Company presents EBITDA and Adjusted EBITDA because it considers them important supplemental measures of its performance and believe they are frequently used by securities analysts, investors, and other interested parties in the evaluation of companies in our industry. These measures also afford investors a view of what management considers to be the Company's core performance. The use of EBITDA and Adjusted EBITDA instead of net income or cash flows from operations has limitations as an analytical tool, and should not be considered in isolation, or as a substitute for analysis of the Company's results as reported under GAAP. EBITDA and Adjusted EBITDA do not represent net income or cash flow from operations as those terms are defined by GAAP and do not necessarily indicate whether cash flows will be sufficient to fund cash needs. While EBITDA, Adjusted EBITDA and similar measures are frequently used as measures of operations and the ability to meet debt service requirements, these terms are not necessarily comparable to other similarly titled captions of other companies due to the potential inconsistencies in the method of calculation. EBITDA and Adjusted EBITDA do not reflect the impact of earnings or charges resulting from matters that the Company considers not to be indicative of its ongoing operations. Because of these limitations, EBITDA and Adjusted EBITDA should not be considered as discretionary cash available to the Company for working capital, debt service and other purposes. RECONCILIATION OF U.S. GAAP AND NON-GAAP INFORMATION (dollars in millions) (unaudited) The table below reflects the calculation of constant currency net sales on a consolidated and International segment basis for the fiscal quarter and first three fiscal quarters ended October 3, 2026: Fiscal Quarter Ended ---------- Reported Impact of Reported Net Sales Foreign Constant-Currency Net Sales Reported October Currency Net Sales October September Net Sales Constant-Currency 3, 2026 Translation 3, 2026 27, 2025 % Change Net Sales % Change --------- ---------- ---------- ---------- ---------- ---------- Consolidated net sales $ 752.5 $ 0.9 $ 751.5 $ 757.8 (0.7)% (0.8)% International segment net sales $ 116.7 $ 0.9 $ 115.8 $ 111.7 4.5% 3.6% Three Fiscal Quarters Ended ---------- Reported Impact of Reported Net Sales Foreign Constant-Currency Net Sales Reported October Currency Net Sales October September Net Sales Constant-Currency 3, 2026 Translation 3, 2026 27, 2025 % Change Net Sales % Change --------- ---------- ---------- ---------- ---------- ---------- Consolidated net sales $ 2,049.1 $ 8.9 $ 2,040.2 $ 1,973.0 3.9% 3.4% International segment net sales $ 309.4 $ 8.9 $ 300.5 $ 289.8 6.8% 3.7% Note: Results may not be additive due to rounding. The Company evaluates its net sales on both an "as reported" and a "constant currency" basis. The constant currency presentation, which is a non-GAAP measure, excludes the impact of fluctuations in foreign currency exchange rates that occurred between the comparative periods. Constant currency net sales results are calculated by translating current period net sales in local currency to the U.S. dollar amount by using the currency conversion rate for the prior comparative period. The Company consistently applies this approach to net sales for all countries where the functional currency is not the U.S. dollar. The Company believes that the presentation of net sales on a constant currency basis provides useful supplemental information regarding changes in its net sales that were not due to fluctuations in currency exchange rates and such information is consistent with how the Company assesses changes in its net sales between comparative periods.

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30 Oct 2026 06:06 ET *Carter's 3Q Sales $752.5M >CRI

30 Oct 2026 06:06 ET *Carter's 3Q EPS $1.00 >CRI

30 Oct 2026 06:06 ET *Carter's 3Q Adj EPS $1.03 >CRI

30 Oct 2026 06:07 ET *Carter's Sees FY26 Sales $2.91B-$2.93B >CRI

30 Oct 2026 06:07 ET *Carter's Sees FY26 Adj EPS $3.05-Adj EPS $3.23 >CRI

30 Oct 2026 06:08 ET *Carter's Sees 4Q Sales $860M-$880M >CRI

30 Oct 2026 06:08 ET *Carter's Sees 4Q Adj EPS $1.37-Adj EPS $1.55 >CRI

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